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DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS
OF
PHR MAINTENANCE ASSOCIATION

THIS DECLARATION CONTAINS A BINDING ARBITRATION PROVISION IN ACCORDANCE WITH THE FEDERAL ARBITRATION ACT IN SECTION 15.11 HEREOF. YOU MUST READ THE ARBITRATION PROVISION CAREFULLY AND SHOULD CONSULT LEGAL COUNSEL WITH ANY QUESTIONS.

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**DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS
OF
PHR MAINTENANCE ASSOCIATION**

THIS DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS OF PHR MAINTENANCE ASSOCIATION ("**Declaration**") is made this 26th day of August, 2009, by PARDEE HOMES, a California corporation ("**Declarant**") with reference to the facts set forth below.

RECITALS

All initially capitalized terms used but not defined in the Recitals shall have the meanings set forth in **Article 1**.

A. Covered Property. Declarant is the master developer of the real property situated in the City of San Diego, County of San Diego, State of California, described on **Exhibit "A"** attached hereto ("**Covered Property**"). The Covered Property is included within an area of San Diego known as Pacific Highlands Ranch. As part of the development of the Covered Property, certain improvements have been installed for the benefit of the Covered Property, including, without limitation, detention basins and other drainage facilities, trails, parkways and other landscape areas and an area commonly known as the Urban Amenity Area, which areas and facilities are referred to as the Maintenance Responsibility Areas. Other areas and amenities may, in the future, be also designated as Maintenance Responsibility Areas in Supplementary Declarations.

B. Annexable Areas. Declarant may add all or any of the real property situated in the City of San Diego, County of San Diego, State of California described on **Exhibit "B"** attached hereto ("**Annexable Property**"), to the Covered Property already subject to this Declaration by annexing such Annexable Property and such Annexable Property will thereupon be subject to this Declaration, and will become a part of and be included within the definition of the Covered Property.

C. Maintenance Association. The Maintenance Association will be formed to maintain the Maintenance Responsibility Areas and perform any other obligations imposed upon the Maintenance Association. Prior to the formation of the Maintenance Association and the Maintenance Association Activation Date, the Declarant or other Owner delegated by Declarant shall perform the maintenance obligations otherwise required to be performed by the Maintenance Association and allocate the Common Expenses as provided under the Declaration Establishing Maintenance and Cost Sharing Obligations.

D. Description of Community and Areas in the Community. If developed as planned, the Covered Property may consist of many divergent uses, including, without limitation, office, hospitality, retail, residential, research and development mixed-use buildings with commercial and residential components and other uses permitted under zoning and other Governmental Entitlements. There may be different Owners and Unit Owners with interests in various defined Areas of the Covered Property. For example, some of the Areas within the Covered Property may consist of commercial uses, including retail, office and hospitality, subdivisions governed by an Owners Association and/or mixed-use retail, residential and/or commercial uses for which Owners Associations may be formed to govern and maintain such Areas. Some areas may have multiple levels of associations which govern the Areas, including a Master Association. There may also be areas which are not governed by an Owners Association or Master Association.

E. Governance and Representation After the Maintenance Association Activation Date. To achieve a governance system which can operate effectively, not all Owners or Unit Owners will be Members of the Maintenance Association. Instead, a Representative will be selected to serve as the Member for each Area within the Covered Property. Unless otherwise specified in a Supplementary Declaration, for those Areas where an Owners Association has been formed, the Owners Association shall be the Representative for such Area. In other Areas where no Owners Association has been formed, the Declarant may designate the Owner of the Parcel as the Representative. To the extent any Areas within the Covered Property are owned by Governmental Agencies, such Areas may not have a Representative unless otherwise specified in a Supplementary Declaration. Each of the Representatives will be identified in a Supplementary Declaration. By designating one Representative for each Area, the Maintenance Association will be better able to perform its obligations under this Declaration and the other Governing Documents and satisfy the requirements of the Governmental Entitlements.

F. Maintenance Association Governance. Since there are distinct, divergent Areas within the Covered Property, the Board of Directors will consist of five (5) members representing the different Areas. Upon expiration of the Class C membership of the Declarant, the Representatives for the Commercial Areas will elect two members and the other Representatives will be elected by the Voting Power of the Association.

G. Purpose of Declaration. This Declaration is intended to establish a flexible, governance structure and provide the Maintenance Association with the tools and powers it needs to operate and maintain the Maintenance Responsibility Areas. Since this Declaration will cover areas where development will evolve over time, this Declaration and the process of recording Supplementary Declarations is intended to also reflect changes which occur over time and Supplementary Declarations will be recorded to reflect the nature of any real property which is annexed to this Declaration. It also allows for further rights, obligations, allocations, easements and other matters affecting the Covered Property or portions thereof to be identified in Supplementary Declarations in the future.

NOW, THEREFORE, Declarant declares that all of the Covered Property is, and shall be, held, conveyed, encumbered, hypothecated, leased, rented, used, occupied and improved subject to the following limitations, covenants, conditions, restrictions, easements, liens and charges, all of which are declared and agreed to be in furtherance of a general plan for the subdivision, improvement, protection, maintenance and sale of all of the Covered Property, and all of which are declared and agreed to be for the purpose of enhancing, maintaining and protecting the value, synergy and appearance of the Covered Property. All of the limitations, covenants, conditions, restrictions, easements, liens and charges are equitable servitudes and shall run with the Covered Property, shall be binding on and inure to the benefit of all Owners and Unit Owners having or acquiring any right, title or interest in the Covered Property, shall be enforceable equitable servitudes and shall be binding on and inure to the benefit of all Owners and Unit Owners and successor Owners and Unit Owners.

Throughout this Declaration, there are summaries (like this summary), which appear in italics, to aid the reader's comprehension and use of this Declaration. In the event of a conflict between any summary and the text of any of the Governing Documents, the text shall control. In the event of any question as to interpretation of the summaries, the text of the Governing Documents shall control.

ARTICLE 1

DEFINITIONS

The defined terms which are set forth in this Article are used throughout this Declaration and many of the Governing Documents. The definitions in this Article will assist in reading and reviewing the balance of this Declaration.

Unless the context otherwise specifies or requires, the terms defined in this Article shall, for all purposes of this Declaration, have the meanings specified below.

1.1 **"Additional Charges"** means costs, fees, charges and expenditures, including, without limitation, attorneys' fees and costs, late charges, interest and recording and filing fees actually incurred by the Maintenance Association in collecting and/or enforcing payment of Assessments, and other amounts levied under this Declaration. Additional Charges include, without limitation, the following:

1.1.1 Reasonable attorneys' fees and costs incurred in the event an attorney is employed to collect any Assessment or sum due, whether by suit or otherwise;

1.1.2 A late charge in an amount to be fixed by the Maintenance Association in accordance with California Civil Code Section 1366 to compensate the Maintenance Association for additional collection costs incurred in the event any Assessment or other sum is not paid when due or within any "grace" period established by Applicable Laws;

1.1.3 Costs of suit and court costs incurred as are allowed by the court;

1.1.4 Interest at the Applicable Rate; and

1.1.5 Any such other additional costs that the Maintenance Association may incur in the process of collecting delinquent Assessments.

1.2 **"Affiliate"** means with respect to a specified Person, any other Person that directly, or indirectly through one or more intermediaries, controls or is controlled by, or is under common control with, the specified Person. "Control" as used herein is defined as possession, direct or indirect, of the power to direct or cause the direction of the management and policies of a Person, whether through the ownership of voting securities, by contract, or otherwise.

1.3 **"Affordable Area"** means an Area designated in a Supplementary Declaration as an affordable area where low and/or moderate increase requirements have been imposed upon the rental and/or sale of the residences.

1.4 **"Allocable Share"** refers to the share of Assessments allocated to an Area which shall be a fraction, the numerator of which is the Land Area of the Area and the denominator of which is the Land Area of all Areas subject to this Declaration as to which Assessments have commenced. The Allocable Share shall be set forth in the records of the Association and may, but shall not be required to be set forth in a Supplementary Declaration.

1.5 **"Allocable Votes"** refers to the votes allocated to each Area which shall be based upon the Allocable Share for such Area.

1.6 **"Annexable Property"** means any or all of the real property described on Exhibit "B" and any other real property designated by Declarant in a Supplementary Declaration which may be made subject to this Declaration in accordance with the provisions set forth in Article 12.

1.7 **"Annexation"** means the process by which the Annexable Property may be made subject to this Declaration as set forth in Article 12.

1.8 **"Annual Operating Budget"** means the budget adopted by the Maintenance Association from time to time.

1.9 **"Applicable Laws"** means any law, regulation, rule, order and ordinance of any Governmental Agencies which are applicable to the Covered Property, now in effect or as hereafter promulgated.

1.10 **"Applicable Rate"** means the rate of interest chargeable under this Declaration equal to the rate established by the Maintenance Association from time to time, but not to exceed the maximum rate allowed by Applicable Laws.

1.11 **"Area"** means the following unless otherwise designated in a Supplementary Declaration (a) all Parcels and Buildings governed by an Owners Association, (ii) any Parcel or Building Portion which is not governed by an Owners Association, and (iii) any other portions of the Covered Property designated as an "Area" in a Supplementary Declaration.

1.12 **"Assessable Area"** means an Area as to which Assessments have commenced.

1.13 **"Assessment Commencement Date"** refers to the first day of the month following the Maintenance Association Activation Date.

1.14 **"Assessments"** means the assessments which are levied to cover the Common Expenses under Article 5 or other Assessments permitted to be levied by the Maintenance Association under this Declaration and the other Governing Documents, which include the Assessments described below.

1.14.1 **"Capital Improvement Assessments"** means the Capital Improvement Assessments which are levied by the Maintenance Association pursuant to Section 5.5.

1.14.2 **"Cost Center Assessments"** means the Assessments levied and assessed by the Maintenance Association under a Cost Center Budget in accordance with Article 5, including, without limitation, any such costs and expenses under a third party operating or management agreement made by the Maintenance Association for such Cost Center.

1.14.3 **"Regular Assessments"** means the Regular Assessments that are levied by the Maintenance Association pursuant to Section 5.3.

1.14.4 **"Reimbursement Assessment"** means the Reimbursement Assessments that are levied by the Maintenance Association pursuant to Section 5.7.

1.14.5 **"Special Assessments"** means the Special Assessments that are levied by the Maintenance Association pursuant to Section 5.4.

1.15 **"Board"** means the Board of Directors established to operate the Maintenance Association.

1.16 **"Brush Management Areas"** refers collectively to any Brush Management Areas designated on a Final Map or in a Supplementary Declaration.

1.17 **"Brush Management Program"** refers to any City required Brush Management Program for all or a portion of the Covered Property as modified from time to time by the City or any other program identified as a Brush Management Program in a Supplementary Declaration.

1.18 **"Building"** refers to the building or buildings located on or within a Parcel.

1.19 **"Building Portion"** refers to (a) the separate areas of a Building that have been depicted on a Condominium Plan as a module or other three-dimensional division of the Building within which Condominiums are located or (b) any Parcels created under a Final Map which creates a vertical subdivision for a Building.

1.20 **"City"** means the City of San Diego, California.

1.21 **"Commercial Association"** refers to an Owners Association formed to govern a Commercial Property or Commercial Condominiums.

1.22 **"Commercial Declaration"** refers to any declaration of covenants, restrictions and easements covering any Commercial Property which establishes a Commercial Association and provides for governance, maintenance, easements and other matters relating to such Commercial Property.

1.23 **"Commercial Owner"** means the Owner of a Commercial Property.

1.24 **"Commercial Property"** refers to an Area, a Parcel or Building Portion that is designated and described in a Supplementary Declaration as a Commercial Property.

1.25 **"Common Expenses"** means the actual costs and expenses incurred by the Maintenance Association including, without limitation, the following:

1.25.1 expenses incurred for the maintenance, management, operation, repair and replacement of the Maintenance Responsibility Areas and all other areas and facilities which are required to be maintained by the Maintenance Association;

1.25.2 expenses incurred in performing the duties and obligations of the Maintenance Association set forth in this Declaration and the other Governing Documents;

1.25.3 expenses incurred in maintaining any Cost Centers, which costs shall be included in a Cost Center Budget;

1.25.4 expenses of any services provided from time to time by the Maintenance Association;

1.25.5 expenses incurred in complying with the Governmental Entitlements and Applicable Laws;

1.25.6 expenses incurred in administering any committees formed by the Maintenance Association;

1.25.7 expenses incurred to cover due but unpaid Assessments;

1.25.8 expenses of management and administration of the Maintenance Association, including, without limitation, compensation paid by the Maintenance Association to managers, accountants, attorneys, architects, employees and consultants;

1.25.9 expenses incurred in maintaining the legal status and qualifications of the Maintenance Association as an entity in good standing and entitled to do business in the State of California;

1.25.10 expenses of any inspections required or deemed appropriate by the Maintenance Association;

1.25.11 expenses, if any, required for the maintenance of any areas required by any Governmental Agency to be maintained by the Maintenance Association;

1.25.12 expenses of insurance and bonds maintained by the Maintenance Association;

1.25.13 expenses incurred in the activation of the Maintenance Association;

1.25.14 expenses incurred under any Cost Sharing Agreements, reasonable reserves as deemed appropriate by the Maintenance Association or otherwise required to be maintained under the Governing Documents or Applicable Laws;

1.25.15 taxes and assessments paid by the Maintenance Association, including, without limitation any taxes payable for any reserves of the Maintenance Association;

1.25.16 expenses paid by the Maintenance Association for the discharge of any lien or encumbrance levied against all or any portion of the Maintenance Association Property; and

1.25.17 expenses for any other services or items designated by, or in accordance with other expenses incurred by the Maintenance Association, for any reason whatsoever in connection with the operation, maintenance and/or governance of the Covered Property or in furtherance of the purposes or the discharge of any obligations imposed on the Maintenance Association by the Governing Documents.

1.26 **"Community"** refers to all of the Covered Property subject to the Declaration.

1.27 **"Community Rules"** refers to the rules and regulations for the Covered Property adopted by the Board as amended or supplemented from time to time.

1.28 **"Community Use Areas"** refers to those portions of the Maintenance Responsibility Areas intended for use by the Owners and Unit Owners and their Permitted Users. The Community Use Areas may, but shall not be required to be, identified in a Supplementary Declaration.

1.29 **"Condominium"** refers to a condominium within the Covered Property established under Section 1351(f) of the California Civil Code.

1.30 **"Condominium Owner"** means the fee title Owner of a Condominium.

1.31 **"Condominium Plan"** refers to a condominium plan filed for record pursuant to California Civil Code Section 1351(f) in the Official Records.

1.32 **"Conservation Easement Agreements"** refers to that certain Conservation Easement recorded on August 31, 2007 as Document Number 2007-0579382 and that certain Conservation Easement recorded November 16, 2007 as Document Number 2007-0723455, and any amendments or no defects to such Conservation Easement Agreements and any other conservation easement agreements identified in a Supplementary Declaration.

1.33 **"Conservation Easement Areas"** refers to those certain portions of the Community that are designated as conservation easement areas in the Conservation Easement Agreements within which many of the Detention Basins are located. The approximate locations of the Conservation Easement Areas are depicted on Exhibit "C". Additional Conservation Easement Areas may be identified in a Supplementary Declaration.

1.34 **"Cost Center Allocable Shares"** refers to an allocation formula which is set forth in a Supplementary Declaration to allocate the expenses set forth in a Cost Center Budget. To the extent a Supplementary Declaration does not set forth a Cost Center Allocable Share, then the Cost Center Allocable Share shall be calculated based upon the Land Area, except that the denominator shall be the Land Area of the Parcels included within the Cost Center.

1.35 **"Cost Center Budget"** refers to those elements of the Annual Operating Budget which itemizes the cost components to be assessed against portions of the Covered Property within a Cost Center, as provided in this Declaration and the other Governing Documents.

1.36 **"Cost Center Restricted Areas"** refers to those portions of the Maintenance Responsibility Areas which are designated from time to time by Declarant in a Supplementary Declaration or otherwise as being for the common use and benefit of fewer than all Owners and Unit Owners. Any such designation shall specify the Owners and/or Unit Owners or any other Persons who are entitled to use such Cost Center Restricted Areas.

1.37 **"Cost Center Services"** means those services and activities provided to a Cost Center by the Maintenance Association, including, without limitation, services that are specified in a Supplementary Declaration as Cost Center Services.

1.38 **"Cost Centers"** refers to those portions of the Covered Property which directly receive a special benefit (which benefit may be in the form of amenities provided or maintenance or other services offered) and for which additional Assessments will be imposed on the Owners and Unit Owners within the applicable Cost Center who receive such special benefits. Additional Cost Centers may be described in Supplementary Declarations. Additional provisions related to Cost Centers are included in the Master Association Bylaws.

1.39 **"Cost Sharing Agreements"** refers to any agreements entered into by Declarant, a Declarant Party and/or the Maintenance Association with any Person which provides for the sharing of costs for any services provided by the Maintenance Association and/or the Declarant, including, without limitation, the Declaration of Covenants, Conditions and Restrictions to perform obligations under any Pacific Highlands Ranch Runoff Management Plan.

1.40 "Covered Property" means all the real property described on **Exhibit "A"** attached hereto and all improvements thereon, and, any real property which shall become subject to this Declaration by Annexation. In the event of the de-annexation of any Covered Property previously subject to this Declaration, the term "Covered Property" shall not be deemed to include any such de-annexed land.

1.41 "Declarant" means Pardee Homes, a California corporation ("**Pardee Homes**") and shall include those successors and assigns of Pardee Homes who acquire or hold title to any part or all of the Covered Property for purposes of development and are expressly named as a successor Declarant to all or a portion of Declarant's rights in an Assignment of Declarant's Rights ("**Assignment of Declarant's Rights**") executed by the Declarant, or a successor Declarant, and recorded in the Official Records assigning the rights and duties of Declarant to such successor Declarant, with such successor Declarant accepting and assuming the assignment of such rights and duties. A successor Declarant shall also be deemed to include the beneficiary under any deed of trust securing an obligation from a then existing Declarant encumbering all or any portion of the Covered Property, which beneficiary has acquired any such property by foreclosure power of sale or deed in lieu of such foreclosure or sale.

1.42 "Declarant Party" means the Declarant and its current and future Affiliates, and the respective current and future directors, officers, employees, members, managers, partners, trustees, trust beneficiaries, agents, and representatives, of Declarant and its current and future Affiliates.

1.43 "Declaration" means this Declaration of Covenants, Conditions and Restriction of PHR Maintenance Association, as it may be amended and supplemented from time to time.

1.44 "Declaration Establishing Maintenance and Cost Sharing Obligations" refers to that certain Declaration Establishing Maintenance and Cost Sharing Obligations imposing obligations on Declarant to perform certain maintenance obligations prior to the Maintenance Association Activation Date recorded or to be recorded in the Official Records.

1.45 "Detention Basin" refers to the detention basins identified on **Exhibit "D"** which shall, unless otherwise specified in a Supplementary Declaration, be maintained by the Maintenance Association and any other detention basins identified in a Supplementary Declaration.

1.46 "Eligible Mortgage Holder" means any First Mortgagee who has given written notice to the Maintenance Association specifying its name, address and the Parcel or Condominium encumbered by its First Mortgage and requesting written notice of any or all of the events to which such Eligible Mortgage Holder is entitled to notice specified in this Declaration.

1.47 "Emergency" means any situation, condition or event which threatens substantial imminent damage or injury to person or property.

1.48 "Final Map" refers to a subdivision map filed in the Official Records that divides any portion of the Covered Property into legal lots or parcels, including, without limitation, "airspace", or "vertical" parcels and any lot line or other adjustments to a Parcel.

1.49 "First Mortgage" means a Mortgage that is first in priority over all other Mortgages.

1.50 "First Mortgagee" means the holder of a First Mortgage.

1.51 **"Fiscal Year"** means the fiscal accounting and reporting period of the Maintenance Association.

1.52 **"Governing Documents"** refers collectively to the Maintenance Association Articles, Maintenance Association Bylaws, this Declaration, the Community Rules, any Supplementary Declarations, any rules established for a Cost Center and any amendments or supplements to any of the foregoing.

1.53 **"Governmental Agency"** means the City, the County and any other federal, state, local or municipal governmental entity or quasi-governmental entity jurisdiction over a particular subject matter for any portion of the Covered Property.

1.54 **"Governmental Entitlements"** refers to any entitlements, permits and authorizations relating to the Covered Property and any conditions imposed in connection with such entitlements, permits and authorizations issued or imposed, by any Governmental Agencies, including without limitation, the City of San Diego, the Army Corps of Engineers and California Department of Fish and Game.

1.55 **"Guest Builder" or "Guest Builders"** refers to an Owner who acquires a Parcel or Building Portion from Declarant and is designated as a Guest Builder by Declarant for the purpose of the original construction of a Building or Residence in a Supplementary Declaration.

1.56 **"Hazardous Materials"** means any biologically or chemically active, or toxic or hazardous waste or materials as defined or regulated by Applicable Laws. Without limitation, "Hazardous Materials" shall include those described in the Comprehensive Environmental Response, Compensation and Liability Act of 1980, as amended, 42 U.S.C. Section 9601 et seq.; the Resource Conservation and Recovery Act, as amended, 42 U.S.C. Section 6901 et seq.; any applicable state, local or federal laws, and the regulations adapted under these Acts.

1.57 **"Hotel Property"** means a Commercial Property that is used and operated from time to time as a hotel or designated as a Hotel Property in a Supplementary Declaration or other recorded document for hotel use, including any areas used exclusively by, or designated for the exclusive use or benefit of a hotel.

1.58 **"Improvements"** means any improvements constructed or installed above or below ground, including, without limitation, all Buildings, parking areas, roadways, walkways, curbs, gutters, sewer laterals, walls, poles, signs, exterior lighting and light standards, exterior air conditioning equipment, antennae, hedges, berms, windbreaks, trash enclosures, the paint and other exterior facades on all Buildings, landscaping, irrigation facilities, trees, shrubs, plazas, planters, stairways, railings, ramps, Utility Facilities, pipes and conduits and any replacements, additions, repairs or alterations thereto of any kind whatsoever.

1.59 **"Land Area"** means the gross acreage of the real property situated within a Parcel, with fractional portions of an acre being rounded to the nearest hundredth of an acre. Notwithstanding the foregoing, for any Affordable Area, the Land Area shall be calculated based upon the ratio which the number of Residences within the Affordable Area designated as Affordable Residences bears to the total number of Residences in the Affordable Area, multiplied by the gross acreage for the applicable Parcel. For illustration purposes only, if an Affordable Area has a gross acreage of ten (10) acres and one hundred (100) Residences and twenty (20) Residences are affordable Residences, then, the Land Area shall be deemed to be eight (8) acres. Upon any subdivision of the Parcels, the Land Area for such subdivided Parcels shall be the area of the

Parcel designated on the Final Map rounded to the nearest hundredths of an acre and in such case, the Declarant may, but shall not be required to, record a Supplementary Declaration specifying the Land Area of the newly subdivided Parcel. If no designation is included on the Final Map, the Land Area shall be the Land Area designated by Declarant's engineer and identified in the records of the Association.

1.60 "Landscape Maintenance Areas" means the landscape areas, including the landscaping, planters, retaining walls, irrigation systems and other landscape improvements located within the Maintenance Responsibility Areas. The Landscape Maintenance Areas may be designated in a Supplementary Declaration.

1.61 "Lessee" means any tenant or lessee occupying a portion of the Covered Property with a written lease agreement.

1.62 "Maintaining Owner" refers to Declarant or any successor owner who is performing the maintenance obligations under the Declaration Establishing Maintenance and Cost Sharing Obligations.

1.63 "Maintenance Association" refers to the PHR Maintenance Association, a California non-profit mutual benefit corporation, or any successor entity charged with the duties, obligations and powers of the Maintenance Association.

1.64 "Maintenance Association Activation Date" means the date of the activation of the Maintenance Association as described in **Section 3.2**.

1.65 "Maintenance Association Articles" means the Articles of Incorporation of the Maintenance Association to be filed in the Office of the Secretary of State upon the Maintenance Association Activation Date, substantially in the form attached hereto as **Exhibit "E."**

1.66 "Maintenance Association Bylaws" means the Bylaws of the Maintenance Association to be adopted by the Maintenance Association upon the Maintenance Association Activation Date, substantially in the form attached hereto as **Exhibit "F,"** as the same may from time to time be amended.

1.67 "Maintenance Association Property" means all real property owned or to be owned in fee title by the Maintenance Association designated as Maintenance Association Property in a Supplementary Declaration and the Improvements situated on such real property. The Maintenance Association Property will be designated and recorded in a Supplementary Declaration after the Maintenance Association Activation Date.

1.68 "Maintenance Manual" refers to the maintenance manual which shall be provided by Declarant or its consultants to the Maintenance Association which includes the obligations and schedules for the maintenance, repair, replacement and preservation of the Improvements situated within the Maintenance Responsibility Areas by the Maintenance Association, as updated and amended from time to time by the Declarant or the Board, pursuant to the terms of this Declaration.

1.69 "Maintenance Obligations" means the Maintenance Association's obligation to perform (i) all reasonable maintenance consistent with the terms of the Maintenance Manual; and (ii) any maintenance obligations of the Maintenance Association set forth in this Declaration, as updated and amended from time to time.

1.70 "Maintenance Responsibility Areas" means (a) any portion of the Covered Property, which the Maintenance Association is obligated to maintain, designated as Maintenance Responsibility Areas in this Declaration or in a Supplementary Declaration, and (b) any property adjacent to the Covered Property (including any adjacent public property, parkways, medians, public right-of-way and any Improvements located thereon) which is not owned, in fee title or leased, by the Maintenance Association but which the Maintenance Association is obligated to maintain as provided in this Declaration, any Supplementary Declaration, any recorded documents or separate maintenance or easement agreements entered into by the Maintenance Association and (c) any signage or other Improvements within the Maintenance Responsibility Areas and/or designated for maintenance by the Maintenance Association. Such areas may also be described in agreements (such as an encroachment removal agreement) or in a governmental permit or the Governmental Entitlements.

1.71 "Majority of the Voting Power" means the vote, consent or approval of all of the following: (a) the vote, consent or approval of the Representatives representing a majority of the Allocable Votes, and (b) the vote, consent, or approval of Declarant until the Turnover Date.

1.72 "Master Association" refers to an owners association (excluding the Maintenance Association formed pursuant to this Declaration) which governs an area for which other subordinate Owners Associations have been formed.

1.73 "Master Association Area" means an Area governed by a Master Association and designated as a Master Association Area in a Supplementary Declaration.

1.74 "Member" refers to the members of the Maintenance Association which, unless otherwise designated in a Supplementary Declaration, consist of (i) the Master Association, (ii) for any Area without a Master Association Area, the Owners Association, if any, for such Area, (iii) each Owner of a Parcel for any Parcel or Area which is not governed by an Owners Association or a Master Association, and (iv) any other Owner or Owners Association designated as a Member in a Supplementary Declaration.

1.75 "Mixed Use Buildings" means any Buildings within which Commercial Property and Residential Property are located.

1.76 "Mortgage" means a mortgage, deed of trust, assignment of rents, issues and profits or other proper instruments (including, without limitation, those instruments and estates created by sublease or assignment), that is given as security for the repayment of loan(s) or financing(s) that encumbers a Parcel or Condominium, made in good faith and for value.

1.77 "Mortgagee" means the holder of a Mortgage, including, without limitation, a beneficiary under a deed of trust as well as a mortgagee.

1.78 "Notice and Hearing" means the procedure which gives an Owner or Unit Owner notice of an alleged violation of the Governing Documents and the opportunity for a hearing before the Board.

1.79 "Occupant" refers to a Person that is entitled to occupy from time to time all or a portion of a Parcel, Building, Building Portion or Condominium, whether pursuant to ownership, lease, sublease, license, concession or other similar agreement.

1.80 **"Official Records"** refers to the Official Records of the County Recorder of San Diego County.

1.81 **"Owner"** means the record owner from time to time, whether one (1) or more Persons, of fee simple title to any Parcel or Building Portion except that if an Owners Association or Master Association has been formed for a Condominium, Building Portion, Parcels or an Area, the term "Owner" shall refer to the Owners Association or Master Association formed to govern and manage such Condominiums, Building Portion, Parcels or Area. An Owner shall exclude those Persons merely having a security interest in a Parcel or Building Portion for the performance of an obligation, unless and until such Person acquires fee title thereto.

1.82 **"Owners Association"** means a Residential Association or Commercial Association or a combination thereof, as the context requires. Owners Association shall not include a Master Association.

1.83 **"Owners Association Declaration"** refers to either a Commercial Declaration, a Residential Declaration or a Master Declaration or any combination thereof, as applicable.

1.84 **"Owners Association Documents"** refers to an Owners Association Declaration and any bylaws, articles of incorporation, rules, guidelines and other governing instruments of an Owners Association or Master Association.

1.85 **"Parcel"** refers to each of the separate parcels or lots shown and described on a Final Map.

1.86 **"Permitted Users"** means all Occupants and any Person whose presence within the Covered Property is approved by or is at the request of a particular Owner, Owner's Association, Master Association, Unit Owner or Occupant, including, without limitation, the respective employees, agents, contractors, customers, family, guests, invitees, licensees and concessionaires of an Owner, Owner's Association, Unit Owner or Lessee.

1.87 **"Person"** means a natural individual or any legal entity recognized under California law. When the word "person" is not capitalized, the word refers only to natural persons.

1.88 **"Private Storm Water Improvements"** refers to the private storm water improvements (including, without limitation, all detention basins, filters and associated water quality protection systems) located within the Maintenance Responsibility Areas.

1.89 **"Private Streets"** means those streets, roads, drives and lighting Improvements and other corresponding infrastructure which are owned and maintained by the Maintenance Association, designated as Private Streets in a Supplementary Declaration.

1.90 **"Property"** means the real property interest owned by an Owner or a Unit Owner (i.e. a Parcel, Building Portion or Condominium).

1.91 **"Public Report"** means a final subdivision public report issued by the DRE for a portion of the Project.

1.92 **"Public Use Areas"** means any portion of the Maintenance Responsibility Areas in addition to the Urban Amenity Trail required to be made available for public or quasi-public use

under the Governmental Entitlements. Public Use Areas may be designated in a Supplementary Declaration.

1.93 "Representative" refers to an Owner or Owners Association appointed to serve as the Member for an Area under a Supplementary Declaration. The Representative for a Master Association Area shall be the Master Association unless otherwise specified in a Supplementary Declaration.

1.94 "Residence" means a residential dwelling unit (including a Condominium) located within a Residential Property.

1.95 "Residential Association" refers to any Owners Association formed to govern, manage and/or maintain Residential Condominiums or Parcels located within the Residential Property.

1.96 "Residential Declaration" refers to any declaration of covenants, restrictions and easements covering any Residential Property which establishes a Residential Association and provides for governance, maintenance, easements and other matters relating to such Residential Property.

1.97 "Residential Owner" means the fee title owner of a Residence.

1.98 "Residential Property" refers to an Area designated in a Supplementary Declaration as Residential Property.

1.99 "Sierra Highlands Association" refers to the owners association formed to operate and govern the Sierra Highlands Project after the Maintenance Association Activation Date.

1.100 "Sierra Highlands Project" refers to all of the real property which is or may be made subject to the Declaration of Covenants, Conditions and Restrictions of Sierra Highlands recorded or to be recorded in the Official Records.

1.101 "Supplementary Declaration" refers to an instrument recorded pursuant to Section 8.13.

1.102 "Turnover Date" means the earlier of (a) the date when Declarant and a Declarant Party collectively own fewer than four hundred (400) acres of the Covered Property and Additional Property, or (b) with respect to a specific Area or portion of an Area, the date Declarant or a Declarant Party assigns or turns over a right or easement specifically granted or reserved by Declarant to the Maintenance Association.

1.103 "Unit Owner" means an Owner of a Parcel or Condominium governed by an Owners Association.

1.104 "Urban Amenity Area" refers to the area depicted on Exhibit "G" which is included in the Maintenance Responsibility Areas and which is intended to be conveyed to and owned by the Maintenance Association. The description of the Urban Amenity Area may be modified or supplemented in a Supplementary Declaration.

1.105 "Urban Amenity Trail" refers to the trail located within the Urban Amenity Area in the location generally depicted on Exhibit "G".

1.106 "Utility Facilities" means all utility facilities serving the Maintenance Responsibility Areas, including without limitation, electrical, irrigation and other utility systems.

1.107 "Voting Power" refers to the votes attributable to all of the Members based upon Land Area as set forth in a Supplementary Declaration.

ARTICLE 2

DESCRIPTION OF COVERED PROPERTY AND CREATION OF EASEMENTS

Since the Covered Property consists of many Areas, various easements have been created under this Declaration. This Article describes the easements necessary for the operation, use and functioning of the Covered Property and the scope of each of these easements.

2.1 Description of Covered Property. As more particularly described in the Recitals, the Covered Property consist of commercial and residential and mixed use commercial and residential areas. The Maintenance Association shall be obligated to undertake all maintenance responsibilities for the Maintenance Responsibility Areas when title is conveyed and/or maintenance responsibilities are tendered by Declarant.

2.2 Limitations. All of the easements and licenses described in this Article 2 are subject to the limitations set forth in Section 2.8 and any other limitations and restrictions set forth in the Governing Documents.

2.3 Commencement of Easements. All of the easements set forth in this Article 2 shall commence upon recordation of this Declaration.

2.4 Easements in Favor of Owners and Unit Owners.

2.4.1 Non-Exclusive Easements for Community Use Areas. Declarant hereby grants to the Owners and Unit Owners for their own benefit and the benefit of their Permitted Users a non-exclusive easement for ingress, egress and use in and to the Community Use Areas, subject to the terms of the Governmental Entitlements.

2.4.2 Drainage. Declarant hereby grants to the Owners and Unit Owners for their benefit and the benefit of their Occupants a non-exclusive easement through and across the Private Storm Water Improvements for the drainage of water from such Owner's and Unit Owner's Parcel, Building Portion or Condominium.

2.5 Easements in Favor of Maintenance Association.

2.5.1 Maintenance Association Easements for Performance of Obligations. Declarant hereby reserves and grants to the Maintenance Association for its benefit and the benefit of its agents, employees and contractors a non-exclusive easement on, over, under, through and across the Maintenance Responsibility Areas and any other portions of the Covered Property for performing its duties and exercising its powers described in this Declaration. Such easements include, without limitation, a non-exclusive easement over, upon, across and through all Maintenance Responsibility Areas, and (to the extent applicable) all portions of the Covered Property, for the purpose of performing such maintenance, repair, replacement, reconstruction or restoration as the Maintenance Association is authorized or required to perform under the Governing Documents, and such access as may be reasonably required in connection with such

activities. In the case of any such entry over, upon, across and through any Covered Property that is not owned by the Maintenance Association, (a) the Maintenance Association shall endeavor to provide reasonable prior notice to the Owner and/or Occupant, except in the case of an Emergency, where no such notice shall be required, and (b) the Maintenance Association shall use commercially reasonable efforts to minimize any inconvenience to the Owner and/or Occupants. It shall be the responsibility of any Owners' Association or Master Association who receives notice from the Maintenance Association to provide such notice to affected Unit Owners of such Owners Association or the Master Association to the extent necessary.

2.5.2 Utilities. Declarant hereby reserves to itself, with the right and power to grant the same to other Persons and Governmental Agencies and grants to the Maintenance Association, for its benefit and the benefit of its agents, employees and contractors a non-exclusive easement over, through and under each Parcel in favor of the other Parcels for the purpose of allowing the Maintenance Association and its agents, employees and contractors and any utility companies or service providers to maintain, repair, replace and service any Utility Facilities servicing the Maintenance Responsibility Areas and to enter upon the Maintenance Responsibility Areas to upgrade, modify or supplement from time to time, such Utility Facilities as may be required in connection with the issuance of any permits or obtaining any other Governmental Entitlements for the benefit of Declarant or any Declarant Parties or any Guest Builder.

2.6 Easements in Favor of Declarant.

2.6.1 Declarant's Easements to Exercise of Rights. Declarant hereby reserves to itself, with the right and power to grant the same, a non-exclusive easement to perform its duties and exercise its powers under this Declaration, including, without limitation, the rights and powers described in **Article 8** and any rights, powers and obligations reserved or granted to Declarant or a Declarant Party under any Cost Sharing Agreements or any other agreements of record.

2.6.2 Easements to Declarant for Annexable Property. Declarant shall have, and hereby expressly reserves for itself with the right and power to grant the same, an easement over, upon, through and across the Covered Property for the purpose of reasonable ingress to and egress from, over and across the Covered Property, to the Annexable Property until all of such Annexable Property is annexed to the Covered Property and made subject to this Declaration.

2.6.3 Installation of Additional Improvements. Declarant hereby reserves to itself (effective until the Turnover Date), with the right and power to grant the same, the right to install and operate within the Maintenance Responsibility Areas such landscaping, sidewalks, walkways, courtyards, parks, water features, drainage areas, lighting, street improvements, signage, comfort stations, monumentation, Utility Facilities, and other facilities and Improvements, as may be deemed appropriate by Declarant and/or required by the Governmental Entitlements or in connection with the issuance of any permits or approvals for the benefit of Declarant, any Declarant Party or any Guest Builders. In addition, Declarant hereby reserves to itself a non-exclusive easement over, upon and across all such Maintenance Responsibility Areas for purposes of such access as may be reasonably required in connection with such activities. Declarant shall be entitled to permit the use of such non-exclusive easements by any Guest Builder.

2.6.4 Utility Facilities. Declarant hereby reserves to itself, together with the right to grant and transfer the same, easements on, over, under, through and across the Covered Property for the purpose of constructing, erecting, operating and maintaining facilities and improvements, including, without limitation, easements for the installation and maintenance of

electric, telephone, cable television, water, gas, sanitary sewer lines, and drainage facilities, as may be shown on any recorded subdivision or Final Maps of the Covered Property or as are required by any Governmental Agencies or as may be required in connection with the development of the Covered Property.

2.6.5 Development Easements in Favor of Declarant. Declarant reserves to itself, together with the right to grant and transfer the same and with the consent of Declarant, to any Guest Builders, non-exclusive easements over the Covered Property for access to, and ingress and egress over and across, any portions of the Covered Property as is reasonable and necessary to undertake and complete the work of development, construction, marketing, conveyance and/or repair and replacement of the Improvements and the right to exercise any warranty or rights to repair granted to Declarant or a Guest Builder under this Declaration, any Owner's Association Declaration or Applicable Laws.

2.6.6 Easements for Signage. Declarant hereby reserves to itself, together with the right to grant and transfer the same to the Maintenance Association, any Owner or any other Person, easements on, over, under, through and across the Shared Maintenance Areas to install, maintain, repair and replace, identification, promotional, and other signage required or deemed necessary by Declarant or a Guest Builder, including, without limitation, any signage in connection with the exercise of the activities described in Section 2.6.5 above.

2.7 Easements in Favor of Declarant and/or the Maintenance Association.

2.7.1 Enforcement Easement. Declarant hereby reserves to itself and grants to the Maintenance Association, a non-exclusive easement and right of access over, upon, across and through the Maintenance Responsibility Areas and all other portions of the Covered Property, for the purpose of taking such action as may be reasonably required to exercise the remedies of the Declarant or the Maintenance Association (as applicable) in regard to any violation of this Declaration or any of the other Governing Documents. In the case of any such entry over, upon, across and through any portion of the Covered Property that is not owned by the Maintenance Association, (a) Declarant or the Maintenance Association shall endeavor to provide reasonable prior notice to the Owner, except in the case of Emergency where no such notice shall be required, and (b) Declarant or the Maintenance Association shall use commercially reasonable efforts to minimize any inconvenience to the Owner and/or Occupants. It shall be the responsibility of any Owners Association who receives notice from the Maintenance Association to provide notice to any Unit Owners.

2.7.2 Public Use. Declarant hereby reserves to itself (until the Turnover Date) and grants to the Maintenance Association (with the consent of the Declarant) (a) the right and authority to grant to the City or other Governmental Agency one or more easements, licenses or other rights over, upon and across one or more Maintenance Responsibility Areas, or any portion thereof, and (b) to the public or to other Persons who are not Owners or Unit Owners one or more easements, licenses or other rights over, upon and across one or more Maintenance Responsibility Areas for such purposes as Declarant or the Maintenance Association may deem appropriate in its sole and absolute discretion, including, without limitation, for the purpose of permitting the City to perform various obligations and responsibilities within or adjacent to the Covered Property, including ingress and egress easements for Emergency purposes.

2.7.3 Other Easements. Declarant anticipates that each Area shall be subject to additional easements as set forth in the Supplementary Declarations, as well as in any Final Map covering any portion of the Covered Property. Nothing in this Declaration shall be deemed to limit

the right of Declarant or the Maintenance Association, to grant or reserve any additional easements over any portion of the Covered Property to such grantees and for such purposes as Declarant or the Maintenance Association (as applicable) may deem appropriate in its sole and absolute discretion, provided that any such easement shall not be inconsistent with the easement rights granted in this Declaration.

2.8 Limitations on Easements and License Rights. The easement rights, and the reservations of the right and authority to grant easements, described in the foregoing provisions of this **Article 2** and elsewhere in this Declaration, shall be subject to the limitations set forth below.

2.8.1 Easements of Record. The Covered Property and all of the easements granted or reserved herein are subject to all covenants, conditions, restrictions, encumbrances, easements, dedications, and rights of way as shown on any Final Maps and any other matters of record, including, without limitation, the Governmental Entitlements and any agreements recorded by Declarant to memorialize the easement and other rights reserved to Declarant under **Section 2.6**.

2.8.2 Governing Documents. All of the easements and other rights granted herein are subject to the limitations, restrictions and easements set forth in the Governing Documents. Without limiting the foregoing, all of such easements and rights shall be subject to the easements and other rights granted or reserved to the Declarant, the Maintenance Association, the Guest Builders, any Master Association or Owners Association, Owners and Unit Owners and their Permitted Users, as specified above.

2.8.3 Restricted Access. All of the easements are subject to the right of Declarant or the Maintenance Association to restrict access to certain areas, including without limitation, open space areas, as may be necessary to comply with Governmental Entitlements or to perform maintenance and repair obligations under this Declaration or any warranty or other agreements entered into by Declarant or the Maintenance Association.

2.8.4 Suspend Right to Use Community Use Areas. The Maintenance Association shall have the right, after Notice and Hearing, to temporarily suspend the right to use the Community Use Areas or Cost Center Restricted Areas by an Owner, Unit Owner or Occupant pursuant to the terms of the Governing Documents.

2.8.5 Easements and Dedication. The Maintenance Association shall have the right to dedicate or transfer all or any part of the Maintenance Association Property or any interest therein to the City (with the prior consent of the City and until the Turnover Date, the consent of the Declarant), which dedication or transfer shall be subject to the provisions of this Declaration and such other conditions as the Maintenance Association deems proper.

2.8.6 Duration of Easement Rights. Except for the rights of Declarant and any Declarant Party, the easement rights granted under this Declaration shall be for a term and duration coextensive with the Owner's or Unit Owner's title or interest in and to a Property. Upon conveyance of a Parcel or Condominium, such rights shall pass to the successor Owner(s) or Unit Owners of the Parcel or Condominium being conveyed.

2.8.7 Limitation on Access Rights in Connection with Maintenance. The Maintenance Association and the Declarant shall have the right to temporarily close or restrict access to the Community Use Areas or other Maintenance Responsibility Areas as may be reasonably necessary in connection with the exercise of any maintenance, repair or replacement

obligations under this Declaration or in the event of an Emergency or to exercise any other rights reserved or granted by Declarant or the Maintenance Association hereunder, or the other Governing Documents.

2.8.8 Rights of Permitted Users. Notwithstanding any other provisions of this Declaration or the Governing Documents, nothing contained in this Article is intended to grant any third party beneficiary rights or any other rights to a Permitted User. No Permitted User shall have any rights under this Article independent of the rights granted to an Owner, Unit Owner, the Maintenance Association, any Owners Association or Master Association under this Declaration.

2.9 Delegation of Use. Subject to the Governing Documents, an Owner or Unit Owner may delegate its right to access and use the Community Use Areas, to its Occupants provided no such delegation shall relieve the Owner or Unit Owner of its duties and obligations with respect thereto.

2.10 Review of Operations. The grant of any easements contained in this Article or in the grant of any other rights set forth in this Declaration shall not be deemed to grant to the Maintenance Association, any Owners Association or Master Association or any Owner or Unit Owner any rights to any revenues, profits or other monies derived directly or indirectly by any Commercial Owner or Declarant or Declarant Party for any commercial or other operations within the Covered Property.

2.11 No Separate Transfer. None of the easements described above shall be conveyed, transferred, assigned, or encumbered separately from the fee interests in the individual Condominiums, Building Portions or Parcels. Easements that benefit or burden any Condominium, Building Portion or Parcel shall be appurtenant to that Condominium, Building Portion and Parcel and shall automatically accompany the transfer or conveyance of such Condominium, Building Portion and Parcel, even though the description in the instrument of transfer may refer only to the interests in the Condominium, Building Portion and Parcel as transferred or conveyed.

ARTICLE 3

MAINTENANCE ASSOCIATION

The Maintenance Association will be formed upon the Maintenance Association Activation Date, to primarily maintain the Maintenance Responsibility Areas and perform the other powers and duties of the Maintenance Association which are described in this Article. The Maintenance Association acts by and through a Board of Directors. Given the diverse nature of the Covered Property, the Maintenance Association has been granted certain powers in order to assure the efficient operation of the Covered Property. Prior to the Maintenance Association Activation Date, the Declarant shall have the right to exercise the easement and other rights granted to the Maintenance Association under this Declaration and the right to perform the duties of the Association with respect to maintenance of the Maintenance Responsibility Areas.

3.1 Maintenance Association Activation Date. The Maintenance Association shall be activated upon the earlier to occur of the following events:

3.1.1 Thirty (30) days after the first Close of Escrow in the last phase of the Sierra Highlands Project covered by a final subdivision public report issued by the California Department of Real Estate;

3.1.2 The date an Owner's Association exercises its rights to activate the Maintenance Association as a result of a failure by the Maintenance Association to perform its maintenance obligations as authorized under **Section 3.2.1**;

3.1.3 Any date required by the City for the activation of the Maintenance Association; or

3.1.4 Such earlier date as may be elected to by Declarant.

3.2 Procedure for Activating the Maintenance Association. Except as otherwise provided in **Section 3.1**, the Declarant shall cause the activation of the Maintenance Association. The activation of the Maintenance Association shall occur by the filing of the Maintenance Association Articles in the Office of the Secretary of State. Upon filing of the Maintenance Association Articles in the Office of the Secretary of State, the Maintenance Association shall adopt the Maintenance Association Bylaws. The Declarant or any Authorized Activating Party (as defined below) who is causing such activation shall initially bear the costs of the filing of the Maintenance Association Articles (and any other costs reasonably necessary for the activation of the Maintenance Association), but such costs shall then be reimbursed by the Maintenance Association to such Authorized Activating Party from the Assessments which are collected under this Declaration. No later than thirty (30) days after activation of the Maintenance Association, the following shall occur:

(a) Declarant shall convey to the Maintenance Association any Maintenance Association Property;

(b) Declarant (or the Authorized Activating Party if applicable), shall record a Supplementary Declaration designating the Maintenance Association Property conveyed to the Maintenance Association in connection with the Maintenance Association Activation Date;

(c) The Maintenance Association shall adopt the Budget based upon the Budget approved by the California Department of Real Estate, but adjusted for any increases or decreases necessary to reflect the then current Budget;

(d) The Maintenance Association shall provide notice to the Owners of such activation; and

(e) Regular Assessments shall commence as of the date which is thirty (30) days after the Maintenance Association Activation Date.

3.2.1 Failure by Declarant to Activate the Maintenance Association. If the Declarant fails to activate the Maintenance Association within thirty (30) days after the occurrence of the events specified in **Sections 3.1.1, 3.1.3 or 3.1.4**, then the Sierra Highlands Association or any other owners association or master association who is designated the right to activate the Master Association in a Supplementary Declaration by Declarant ("Authorized Activating Party") may give notice to the Declarant to cause such activation, and if the Declarant fails to cause such activation within fifteen (15) days after receipt of notice from the Authorized Activating Association, the Authorized Activating Association may cause such activation, and upon filing the Maintenance Association Articles, shall deliver notice thereof to the other Owners and Declarant.

3.3 Maintenance Disputes.

3.3.1 Resolution of a Maintenance Dispute. If an Authorized Activating Association ("**Non-Maintaining Owner**") determines that the Maintaining Owner who is performing the maintenance obligations under the Declaration Establishing Maintenance and Cost Sharing Obligations is not performing the maintenance required under the Declaration Establishing Maintenance and Cost Sharing Obligations, the Non-Maintaining Owner shall deliver written notice to the Maintaining Owner and the Maintaining Owner shall have thirty (30) days to either cure the maintenance failure ("**Maintenance Failure**") or deliver notice to the Non-Maintaining Owner that it does not believe there is a Maintenance Failure; provided however, if the Maintenance Failure is not reasonably susceptible of cure within such thirty (30) day period, the Maintaining Owner shall have such period of time as may be reasonable under the circumstances to correct the Maintenance Failure. If the Maintaining Owner disputes that there is a Maintenance Failure ("**Maintenance Dispute**"), the Maintaining Owner shall deliver notice ("**Dispute Notice**") to the Non-Maintaining Owner and in such case, the matter shall be resolved in accordance with the procedures set forth below. The Maintaining Owner and the Non-Maintaining Owner shall have thirty (30) days from the delivery of the Dispute Notice to meet and reach agreement upon the terms for maintenance and whether there has been a Maintenance Failure ("**Initial Resolution Period**"). If the Maintaining Owner and the Non-Maintaining Owner are unable to resolve the dispute within the Initial Resolution Period, then the Maintenance Dispute shall be resolved in accordance with the procedures set forth below.

(a) **Resolution of a Maintenance Dispute.** The Maintaining Owner and the Non-Maintaining Owner shall have fifteen (15) days from the expiration of the Initial Resolution Period to agree upon an independent arbitrator (who may be a retired judge) with at least fifteen (15) years' experience in resolving real property disputes ("**Resolution Party**"); provided, however, that a Resolution Party shall not be any Person who is, prior to the date of appointment or within six (6) months prior to such date, employed, either directly or indirectly as a consultant in connection with any other matter, by a party attempting to appoint such Person. If the Maintaining Owner and the Non-Maintaining Owner fail to agree upon a Resolution Party within such fifteen (15) day period, then the Maintaining Owner and the Non-Maintaining Owner shall, within thirty (30) days after expiration of the Initial Resolution Period, each select a Resolution Party and notify the other of such selection. Within ten (10) days after the two Resolution Parties have been selected, the two (2) Resolution Parties so selected shall select the third Resolution Party, and the third Resolution Party so selected shall make the determination as to the Maintenance Dispute.

(b) **Maintenance Dispute.** With respect to any Maintenance Dispute, the use of the Resolution Party shall be the exclusive remedy of the parties and neither party shall attempt to adjudicate any Maintenance Dispute in any other forum. The decision of the Resolution Party shall be final and binding on the parties and shall not be capable of challenge, whether by arbitration, in court or otherwise.

(c) **Written Submission.** Each party to the Maintenance Dispute shall be entitled to make written submissions to the Resolution Party. If a party makes any submission, it shall also provide a copy to the other party, and the other party shall have the right to comment on such submission (all within the applicable time periods established pursuant to subsection (e) below). The parties shall make available to the Resolution Party all records relating to the issue in dispute and shall render to the Resolution Party any assistance requested by the other party. The Resolution Party shall also be entitled to inspect the area of the alleged Maintenance Failure. The costs of the Resolution Party and the proceedings shall be borne as directed by the Resolution Party.

(d) **Decisions.** The Resolution Party shall make its decision with respect to any matter relating to maintenance by applying the standard set forth in this Declaration regarding the maintenance of the area or facility in question.

(e) **Terms of Engagement.** The terms of engagement of the Resolution Party shall include the obligation of the Resolution Party to (i) notify the Maintaining Owner and Non-Maintaining Owner in writing of his or her decision within forty-five (45) days from the date on which the last Resolution Party has been selected (or such other period as the parties may agree or as set forth herein); and (ii) establish a timetable for making submissions and replies.

(f) **Basis for Decision.** Any decision by a Resolution Party on any matter submitted shall be based upon what is commonly referred to as the "baseball arbitration" approach, whereby the Resolution Party may only decide in favor of the position presented by either the Maintaining Owner or Non-Maintaining Owner and may not make a determination other than in favor of one of the two positions presented.

(g) **Activation of Maintenance Association.** Upon issuance of a decision by a Resolution Party in favor of the Non-Maintaining Party, the Non-Maintaining Party may, within thirty (30) days after the decision by the Resolution Party in favor of the Non-Maintaining Owner elect to (a) activate the Maintenance Association by delivering notice to the Declarant and the Maintaining Party of its intent to activate the Maintenance Association and, in such case, the Maintenance Association shall be activated upon filing of the Maintenance Association Articles or (b) allow the Maintaining Owner to cure the Maintenance Failure and thereby waive any right to activate the Maintenance Association as a result of the Maintenance Failure. Any such waiver shall not constitute a waiver of any subsequent right of the Non-Maintaining Owner to exercise its rights under this **Section 3.3**, as a result of a new Maintenance Failure.

3.4 Maintenance Association and Board. Effective as of the Maintenance Association Activation Date, the Maintenance Association is charged with the duties and is given the powers set forth in this Article and its affairs shall be governed by the Governing Documents. Except for those acts which are expressly reserved to the vote of the Members in this Declaration, any duty, obligation or authority vested or required to be performed and any power or privilege which may be exercised by the Maintenance Association pursuant to this Declaration shall be performed or exercised by the Board or its authorized agents or representatives and any power, duty, obligation or authority vested in or required to be performed by the Board by this Declaration shall be deemed a power, duty, obligation or authority of the Maintenance Association.

3.5 Powers of Maintenance Association. Subject to the limitations expressly set forth in the Governing Documents, the Maintenance Association shall have the powers of a non-profit mutual benefit corporation organized under the laws of the State of California. The Maintenance Association shall have the power to do anything that may be authorized, required, or permitted to be done by the Maintenance Association under the Governing Documents, including, without limitation, the powers set forth below.

3.5.1 Performance of Duties; Commencement of Maintenance Association's Duties and Powers. The Maintenance Association shall have the power to undertake all of the express duties required under **Section 3.3** to be performed by the Maintenance Association. Unless otherwise specified in a Supplementary Declaration, the duties, rights and powers of the Maintenance Association as described in this Declaration shall commence from and after the date of the conveyance of fee ownership of any portion of the Covered Property from the Declarant to a Unit Owner under a Public Report, or such earlier date that the Declarant may elect,

and the Maintenance Association shall thereupon assume all such duties and such rights and powers.

3.5.2 Enforcement. The Maintenance Association, in its own name and on its own behalf, or on behalf of any Owner or Unit Owner who consents, shall have the power to (a) take disciplinary action and/or assess monetary fines against an Owner or Unit Owner for violation of the Governing Documents by such Owner, Unit Owner or their Permitted Users, (b) commence and maintain actions for damages or to restrain and enjoin any actual or threatened breach of any provision of the Governing Documents, (c) after Notice and Hearing, suspend the rights to use any Community Use Areas or suspend the membership rights and privileges and/or (d) enforce by mandatory injunction, or otherwise, all of the requirements of the Governing Documents.

3.5.3 Enforcement of Owners Association Documents. The Maintenance Association shall have the right, but not the obligation, to review periodically the operation of any Master Association or Owners Association within the Covered Property and the maintenance and repair of the Parcels or Building Portions maintained by such Owners Association or Master Association to assure that such Master Association or Owners Association, respectively, is complying with the maintenance and other obligations specifically imposed under this Declaration. The Maintenance Association shall have the power, but not the obligation, to enforce any Owners Association Declaration or other Owners Association Documents (a) if the Maintenance Association determines that the relevant Owners Association or Master Association is unable or unwilling to do so or (b) if the Maintenance Association determines, in its reasonable judgment, that it is in the best interests of the Covered Property to do so or (c) if such enforcement is required to comply with Governmental Requirements.

3.5.4 Right of Entry. The Maintenance Association and its authorized representatives shall have the power to enter the exterior portions of any Parcel to the extent there are Utility Facilities or other facilities or equipment servicing the Maintenance Responsibility Areas, the interior of a Building, to the extent reasonably necessary to perform the construction, maintenance or repair obligations of the Maintenance Association as required under the Governing Documents and to exercise its enforcement rights under this Declaration. Any right of entry shall be exercised in accordance with the same requirements set forth in **Section 2.5.1**. Such Persons shall not be deemed guilty of trespass by reason of such entry.

3.5.5 Contract for Goods and Services. The Maintenance Association shall have the power to contract for goods and/or services for the benefit of the Covered Property that are necessary for the Maintenance Association to perform its duties and obligations under the Governing Documents, and/or as may be required by Governmental Agencies. To the extent any such goods and services are applicable solely to a Cost Center, the Maintenance Association may assess such costs solely to the Cost Center.

3.5.6 Delegation of Powers. The Maintenance Association shall have the power to delegate its rights, authority and powers, in whole or in part, under the Governing Documents to professional managers, committees, employees, officers, or consultants, as may be deemed necessary by the Board.

3.5.7 Easements and Rights of Way. The Maintenance Association shall have the power to exercise any of the easement and other rights granted to the Maintenance Association under **Article 2**, including, without limitation, the right to grant the easements and licenses over the

Maintenance Responsibility Areas and the right to charge fees for the use of the Community Use Areas.

3.5.8 Capital Improvements. The Maintenance Association may approve the construction, installation or acquisition of a particular capital improvement to the Community Use Areas and/or Maintenance Responsibility Areas.

3.5.9 Mergers. The Maintenance Association shall have the power, to the extent permitted by Applicable Laws and provided, until the Turnover Date, the prior consent of Declarant has been obtained to participate in mergers and consolidations with other non-profit corporations organized for the same purposes as the Maintenance Association.

3.5.10 Acquire Real Property. The Maintenance Association shall have the power to acquire and hold real and personal property as may be necessary or convenient for the management or operation of the Maintenance Responsibility Areas, the administration of the affairs of the Maintenance Association or for the benefit of the Members, Owners and Unit Owners.

3.5.11 Restrict Access. The Maintenance Association shall have the right and authority to restrict access on or to any Maintenance Responsibility Area for purposes of facilitating construction of Improvements by the Maintenance Association, any Guest Builder or Owner on an adjacent Parcel, which may include the placement of scaffolding, cranes or similar equipment, on such terms as the Maintenance Association may deem appropriate in its sole and absolute discretion. Any such restriction shall reasonably minimize any impact on the visibility of and access to and from any neighboring Areas.

3.5.12 Borrow Money. The Maintenance Association shall have the right in accordance with the Governing Documents, to borrow money for the purpose of improving, replacing, restoring or expanding the Maintenance Responsibility Areas.

3.5.13 Enter Into Maintenance, Cost Sharing and Easement Agreements. The Maintenance Association shall have the power to enter into maintenance, cost sharing and/or easement agreements with owners of property adjacent or in the vicinity of the Covered Property (including, without limitation, Governmental Agencies) or any Owners Associations or Master Association. Unless otherwise specified in the agreement or a Supplementary Declaration, any agreements entered into by Declarant with any Governmental Agency relating to the Covered Property shall be binding on the Maintenance Association.

3.5.14 Cost Centers. The Maintenance Association shall have the power to form and administer Cost Centers in accordance with the terms and provisions of this Declaration, the Master Association Bylaws and any Supplementary Declarations.

3.5.15 Lighting. The Maintenance Association shall have the power to provide for and operate lighting throughout the Maintenance Responsibility Areas. The Maintenance Association shall have non-exclusive easements over and across the Parcels and external portions of Buildings to install, operate, maintain, repair and replace lighting. The costs and expenses incurred by the Maintenance Association in providing such lighting shall be assessed by the Maintenance Association to the Owners and Unit Owners. Such lighting shall conform to the lighting requirements of any Governmental Agencies applicable to the Covered Property.

3.5.16 Cost Center Advisory Committees. The Maintenance Association may form an advisory committee to advise the Maintenance Association on issues solely relating to a

Cost Center. A Cost Center advisory committee may advise the Board on issues related to the maintenance, operation and use of the Cost Centers. Additional procedures applicable to a Cost Center advisory committee may be set forth in a Supplementary Declaration.

3.6 Duties of Maintenance Association. Effective as of the Maintenance Association Activation Date, the Maintenance Association shall have the duty and obligation to perform the actions and duties set forth in this Declaration and the other Governing Documents subject to and in accordance with the Governing Documents and, the Governmental Entitlements and Applicable Laws.

3.6.1 Applicable Laws and Governmental Entitlements. The Maintenance Association shall comply with all Applicable Laws and the Governmental Entitlements.

3.6.2 Obligations Under Other Governing Documents. The Maintenance Association shall perform all other duties that may be expressly imposed on the Maintenance Association in any other Governing Documents.

3.6.3 Maintenance Responsibility Areas The Maintenance Association shall maintain, repair, replace, operate, and otherwise manage all Improvements and facilities within the Maintenance Responsibility Areas in accordance with the terms and provisions of the Governing Documents and the Governmental Entitlements. The Board shall periodically review the nature and scope of the operations of the Maintenance Association to assure such operations are in satisfactory compliance with the requirements of the Governing Documents and the Maintenance Manual. The Maintenance Association shall comply with the requirements of any agreements entered into between Declarant or any Guest Builder and a Governmental Agency pertaining to the Maintenance Responsibility Areas.

3.6.4 Maintenance Manual. The Maintenance Association shall comply with the provisions of the Maintenance Manual. The Board may, from time to time, make appropriate revisions to the Maintenance Manual based upon the Board's review thereof, to update such manual to provide for maintenance according to industry practices so long as such changes do not reduce the useful life or functionality of the items being maintained or adversely effects the operation of any of the facilities and equipment included within the Maintenance Responsibility Areas.

3.6.5 Cost Sharing Agreements. The Maintenance Association shall perform any obligations imposed on the Maintenance Association under any Cost Sharing Agreements and as deemed necessary by the Maintenance Association to enforce its rights under any Cost Sharing Agreements.

3.6.6 Public Access Easement Agreement. The Maintenance Association shall ensure that access to the public in the Public Use Areas is properly maintained at all times as required by the Governmental Entitlements.

3.6.7 Management. The Maintenance Association shall have the duty to retain a professional manager or other Persons and contract with independent contractors or managing agents who have professional experience in the management of planned communities or commercial projects to perform any services required for the maintenance, protection, operation and preservation of the Covered Property.

3.6.8 Assignment Maintenance Responsibilities. The Maintenance Association shall have the right to relinquish or assign its maintenance responsibilities to any Governmental Agencies, including without limitation, maintenance or assessment districts, utility companies and/or school districts.

3.6.9 Taxes and Assessments. The Maintenance Association shall have the duty to pay all real and personal property taxes levied against the Maintenance Association, Maintenance Association Property, or personal property owned by the Maintenance Association. Such taxes and assessments may be contested by the Maintenance Association provided that they are paid or that a bond insuring payment is posted before the sale or the disposition of any property to satisfy the payment of such taxes.

3.6.10 Insurance. The Maintenance Association shall have the duty to obtain, from reputable insurance companies and maintain the insurance described in **Article 10**.

3.6.11 Assessments. The Maintenance Association shall establish, determine, levy, collect and enforce all Assessments and cause to be prepared all budgets and financial statements as required by the Governing Documents and Applicable Laws.

3.6.12 Community Rules. The Maintenance Association shall adopt and be entitled to enforce the Community Rules as it considers to be appropriate relating to the use and operation of the Maintenance Responsibility Areas and other portions of the Covered Property. The Master Association may adopt rules which are applicable to some but not all of the Covered Property. The Maintenance Association may also adopt rules applicable to a Cost Center. Notwithstanding any provision of this Declaration to the contrary and to the extent Civil Code Section 1357.100 et seq. is applicable to the Community Rules, any rule which is considered to be an operating rule under Civil Code Section 1357.100 et seq. may not be adopted, changed or amended except by and pursuant to the procedures set forth in California Civil Code Section 1357.100, et seq. Any rules which are imposed on some but not all of the Covered Property shall not discriminate as between the various Owners and Unit Owners.

3.6.13 Warranties. The Maintenance Association shall comply with the terms of any warranty in favor of the Maintenance Association for any equipment or facilities within the Maintenance Responsibility Areas.

3.6.14 Cost Center Administration. The Maintenance Association shall administer and perform any obligations associated with any Cost Centers established under any Supplementary Declaration.

3.6.15 Cost Sharing Agreements. The Maintenance Association shall comply with the terms of any Cost Sharing Agreements.

3.6.16 Conservation Agreements. The Maintenance Association shall comply with all of the terms and requirements of any Conservation Agreements.

3.6.17 Liens and Charges. The Maintenance Association shall pay any amount necessary to discharge any lien or encumbrance upon the Maintenance Responsibility Areas, or any other property or interest of the Maintenance Association.

3.6.18 Members' Approval of Certain Actions. If any claim or other actions brought by the Maintenance Association against Declarant, including, without limitation, claims

involving allegations of construction defects relating to the Maintenance Responsibility Areas, the Maintenance Association shall not initiate a further action or arbitration proceeding under **Section 15.11** or otherwise without first obtaining the consent of a Majority of the Voting Power.

3.6.19 Use of Proceeds to Repair. If the Maintenance Association receives, on its own behalf or for the benefit of the Owners or Unit Owners any proceeds as a result of any construction defect or other claims brought by the Maintenance Association relating to repair or maintenance of the Maintenance Association Property, then the Maintenance Association shall apply such proceeds first for the purpose of making the repairs or replacing reserve funds previously utilized by the Maintenance Association to cause such repairs and then to the costs of such litigation. Any excess proceeds shall be applied as determined by the Board.

3.6.20 Reserved Rights of Declarant and Guest Builders. For so long as Declarant or any Guest Builder is entitled to exercise any right, or avail itself of any exemption, in **Article 8** or elsewhere in this Declaration, neither the Maintenance Association, nor the Board, nor any Owners Association, Master Association, Owner or Unit Owner shall take any action which is inconsistent with, or which would abrogate, any such right or exemption.

3.6.21 Access to Public Utilities. The Maintenance Association shall establish procedures for access to public utilities located in the Maintenance Responsibility Areas for maintenance by such public utilities subject to the applicable Governmental Agency's approval.

3.6.22 Public Use of Urban Amenity Trail. Except in the event of an Emergency or as may be reasonably necessary to repair damage to the Urban Amenity Trail, the Maintenance Association shall not prevent public access over the Urban Amenity Trail. The obligations of the Maintenance Association under this Section may not be modified or amended without the consents required under **Section 14.1**.

3.6.23 Cooperation. The Master Association shall cooperate, in good faith, with the Declarant and Guest Builders in complying with any Governmental Entitlements necessary to reflect the character and features of the applicable Covered Property. The Master Association acknowledges that the Covered Property and Annexable Property may be developed over a long period of time and that it will be necessary to establish a governance procedure which evolves over time.

3.7 Limitations on Authority of Board. The Maintenance Association shall not take any of the actions listed below except with the vote or approval of a Majority of the Voting Power of the Maintenance Association:

3.7.1 Limit on Capital Improvements. The Maintenance Association shall not incur aggregate expenditures for capital improvements to the Maintenance Responsibility Areas in any Fiscal Year in excess of five percent (5%) of the budgeted gross expenses of the Maintenance Association for that Fiscal Year;

3.7.2 Limit on Compensation. The Maintenance Association shall not pay compensation to members of the Board or the officers of the Maintenance Association for services performed in the conduct of the Maintenance Association's business; provided, however, the Board may cause a Member, director or officer to be reimbursed for actual out-of-pocket expenses incurred in carrying on the business of the Maintenance Association;

3.7.3 Limit on Third Person Contracts. The Maintenance Association shall not enter into a contract with a third person wherein the third person will furnish goods or services for the Maintenance Association for a term longer than one year. Without limiting the foregoing, the consent of the Members is required for all of the following contracts with the following exceptions:

(a) Any contract or agreement with any Governmental Agency relating to the Maintenance Responsibility Areas;

(b) An agreement for Utility Facilities or the providing of services related to the Utility Facilities not to exceed five (5) years duration but which may provide for automatic renewals for an additional five (5) years unless a Majority of the Voting Power object to such extension;

(c) A prepaid casualty and/or liability insurance policy not to exceed three (3) years duration; provided that the policy permits for short-rate cancellation by the insured;

(d) A contract (including, without limitation, a management contract) for a term not to exceed five (5) years that is terminable by the Maintenance Association after no longer than one year without cause, penalty or other obligations upon ninety (90) days written notice of termination to the other party;

(e) Any contract or agreement submitted to the California Department of Real Estate in connection with an application for any portion of the Covered Property for a final Public Report; and

(f) Any maintenance agreement for the maintenance of any portion of the Maintenance Association Property or other area that the Maintenance Association is obligated to maintain that is required as a condition to the effectiveness of any warranty in favor of the Maintenance Association.

3.8 Personal Liability. No volunteer officer or volunteer director of the Board, or of any committee of the Maintenance Association (each a "**Management Party**"), shall be personally liable to any Owner or Unit Owner, or to any other party, including the Maintenance Association, for any act or omission of any Management Party if such Person has, on the basis of such information as was actually possessed by him or her, acted in good faith without willful, wanton or gross misconduct when performing an act within the scope of the Person's duties (collectively, an "**Official Act**"). California Civil Code Section 1365.7, as drafted as of the date of recordation of this Declaration, does not apply to common interest developments that are not "exclusively residential." The Covered Property contains Commercial Property and Residential Property. However, the criteria and requirements set forth in California Civil Code Section 1365.7 are hereby incorporated herein by reference, and shall apply to the Management Parties, regardless of the fact that the Covered Property includes Commercial Property. The Maintenance Association has the power and duty to indemnify, defend, protect and hold harmless each Management Party for all damages, and expenses incurred (including, without limitation, reasonable attorneys' fees and costs), and satisfy any judgment or fine levied as a result of any action or threatened action brought because of an act or omission which such Person reasonably believed was an Official Act. Management Parties are deemed to be agents of the Maintenance Association when they are performing Official Acts for purposes of obtaining indemnification from the Maintenance Association pursuant to this Section. The entitlement to indemnification under this Declaration inures to the benefit of the estate, executor, administrator and heirs of any Person entitled to such indemnification. The Maintenance Association has the power, but not the duty, to indemnify any other person acting as an agent of the

Maintenance Association for damages incurred, pay expenses incurred, and satisfy any judgment or fine levied as a result of any action or threatened action because of an Official Act. The Maintenance Association also has the power, but not the duty, to contract with any person to provide indemnification in addition to any indemnification authorized by Applicable Laws on such terms and subject to such conditions as the Maintenance Association may impose.

ARTICLE 4

MEMBERSHIP IN THE MAINTENANCE ASSOCIATION AND VOTING RIGHTS

The Maintenance Association will function as a corporate entity with Members who will participate in the governance of the various Areas. This Article describes the membership rights. It also establishes certain classes of voting membership. The Maintenance Association has been formed to govern, maintain and manage the Covered Property. The Representatives serve as the Members of the Maintenance Association and, therefore, represent the interests of the Owners and Unit Owners under the Governing Documents. Additional provisions regarding the procedures for elections to and meetings of the Board are set forth in the Maintenance Association Bylaws.

4.1 Membership.

4.1.1 Qualifications. Members of the Maintenance Association shall be (i) Declarant (irrespective of whether Declarant is an Owner), for so long as Declarant is entitled to either cast a Class C vote as a Class C Member (as described below) or cast votes on behalf of any Guest Builders, and (ii) each Representative. Membership in the Maintenance Association shall be subject to this Declaration and the other Governing Documents. Votes shall be allocated to each Assessable Area based upon the Allocable Votes, which may change over time as more Assessable Areas are made subject to the Declaration and Assessments commence as to such Assessable Areas. The votes allocated to each Assessable Area shall be cast by the applicable Representative. For any Representative that is an Owners Association and for the Representative of a Master Association, the votes attributed to the applicable Assessable Area(s) shall be cast by an officer or other Person appointed by the applicable Owners Association or Master Association. Each Owners Association and the Master Association shall provide written notice to the Maintenance Association of the officer(s) or other Person authorized to act on behalf of such Owners Association or Master Association in the casting of votes, or if no such notice is given, any officer of such Owners Association or Master Association shall be entitled to act on its behalf in the casting of such votes. If the approval or consent of an Owners Association or a Master Association is required under this Declaration, such approval or consent shall also be obtained from an officer or other Person in the same manner as provided above for the casting of votes. Each Representative entitled to cast votes hereunder on behalf of an Owners Association or a Master Association shall obtain any approvals of its members as may be required by Applicable Laws or its governing documents. No votes shall be attributed to an Area until such time as such Area is an Assessable Area and Regular Assessments have commenced.

4.1.2 Transfer of Membership. An Owners Association and Master Association shall have no right to transfer its membership. Declarant's Class C membership may not be transferred except to a successor to Declarant's rights to the Covered Property or the Annexable Property. Transfer of Declarant's Class C membership shall be evidenced by the recordation in the Official Records of an Assignment of Declarant's Rights which specifically assigns such Declarant's rights under this Declaration. Any attempt to make a prohibited membership transfer shall be void and will not be reflected on the books of the Maintenance Association.

4.2 Classes of Voting Membership. The Maintenance Association shall have three (3) classes of voting membership which are described below.

4.2.1 Class A Membership. Class A Members shall originally be all Representatives other than Declarant. The Declarant shall not be a Class A Member for so long as there exists a Class B membership. Upon expiration of the Class B membership, Declarant shall become a Class A member to the extent of any Covered Property then owned. Each Class A Member will be entitled to cast the Allocable Votes for such Area.

4.2.2 Class B Membership. The Class B Member shall be the Declarant who shall be entitled to a number of votes equal to three (3) times the Allocable Votes for any Assessable Area or portion of an Assessable Area owned by Declarant or a Declarant Party or Guest Builder. The Class B membership shall cease and be converted to Class A membership on the happening of any of the following events, whichever occurs earliest:

(a) When Declarant and a Declarant Party collectively own fewer than one hundred fifty (150) acres of the total Land Area of the Covered Property and proposed Annexable Property; or

(b) On the twenty-fifth anniversary after the Commencement Assessment Date.

A Class B Member shall have the right to cause earlier conversion of its membership to Class A by so notifying the Secretary of the Maintenance Association in writing.

4.2.3 Class C Membership. The Class C Member shall be Declarant (whether or not Declarant is an Owner). The Class C membership shall not be considered a part of the Voting Power of the Maintenance Association and Declarant shall not be entitled to exercise any Class C votes except for the purpose of electing a majority of the members of the Board in accordance with the provisions set forth below. The Class C Member shall be entitled to solely elect a majority of the members of the Board until the date which is the earlier to occur of:

(a) When Declarant and a Declarant Party collectively own fewer than one hundred fifty (150) acres of the total Land Area of the Covered Property and Annexable Property; or

(b) On the twenty-fifth anniversary after the Assessment Commencement Date.

The Class C Member shall have the right to cause early termination of the Class C Membership or to reduce the number of directors which the Class C member is entitled to appoint by so notifying the Secretary of the Maintenance Association in writing.

4.3 Declarant's Right to Select Director. In any election of Directors after the Class C membership has been terminated, so long as Declarant or a Declarant Party owns any of the Covered Property or the Annexable Property, the Board shall adopt special procedures to ensure that at least one (1) Director is selected by Declarant. A representative to the Board selected by Declarant pursuant to the provisions of this Section may be removed prior to the expiration of his or her term of office only with the consent of Declarant.

4.4 Continuing Approval of Declarant. Notwithstanding the foregoing, and without limiting Declarant's rights provided elsewhere in this Declaration or the Maintenance Association Bylaws, until the Turnover Date, the approval of Declarant shall be required before the Maintenance Association may take any action through the Board or the Members, with respect to the following:

4.4.1 Maintenance. Reduction in the level of, or change in allocation of responsibility for (a) maintenance of and repairs to all or part of any Maintenance Responsibility Area subject to this Declaration, and (b) any other maintenance obligations of the Maintenance Association set forth in this Declaration;

4.4.2 Conveyance. Conveyance by the Maintenance Association of all or any part of the Shared Maintenance Areas and/or conveyance of easements on, over, through and across the Landscape Maintenance Areas;

4.4.3 Annexation. Annexation of any of the Annexable Property;

4.4.4 Assessments. Alteration in the method of fixing and collecting Assessments or any increase in Assessments beyond the amounts permitted under **Section 5.6** of this Declaration;

4.4.5 Cost Centers. The creation or elimination of a Cost Center as provided in this Declaration;

4.4.6 Community Rules or Maintenance Manual. Any changes to the Community Rules or Maintenance Manual;

4.4.7 Modifications to Maintenance Responsibility Areas. Modifications to Improvements in the Maintenance Responsibility Area;

4.4.8 Declarant's Easement Rights. Reduction or modification of any easement rights reserved to Declarant under the provisions of **Article 8** of this Declaration;

4.4.9 Enforcement of Declaration. Alteration in the method of enforcing the provisions of this Declaration;

4.4.10 Changes or Reductions in Services to Covered Property. Any material changes to or reductions in the services of the Maintenance Association as set forth in this Declaration; and

4.4.11 Amendments. Amendments to this Declaration or the Maintenance Association Bylaws which would diminish or otherwise affect Declarant's right of approval regarding the actions enumerated above or any other rights or approvals granted or reserved to Declarant or a Guest Builder.

4.5 Cost Center Approvals. Notwithstanding any other provisions of the Governing Documents, any action expressly for the benefit of or imposing an obligation only upon a Cost Center, the representation of Assessable Areas within the Cost Center which requires a vote of the Members, shall require the approval of the prescribed percentage of Representatives within the Cost Center.

4.6 No Amendment. Notwithstanding anything to the contrary in this Declaration, this Article 4 may not be amended without Declarant's prior written consent.

ARTICLE 5

ASSESSMENTS

Effective as of the Assessment Commencement Date, the Maintenance Association will collect various types of Assessments to provide it with the funds it needs to perform its duties and obligations under this Declaration and the Governing Documents. This Article describes the Assessments which can be levied by the Maintenance Association. For any Property governed by an Owners Association or Master Association, the Maintenance Association will charge the Owners Association or Master Association and the Owners Association or Master Association will then collect from each Unit Owner its share of the Assessments. This Article also sets forth the remedies of the Maintenance Association, if an Owner, Owners Association, Master Association or Unit Owner fails to pay Assessments when due.

5.1 Creation of Obligation for Assessments. The Maintenance Association shall establish, levy and collect the Assessments to pay for the Common Expenses. The Assessments shall be levied to and against each Assessable Area. Each Owner and Unit Owner, is deemed to covenant to pay to the Maintenance Association and personally assumes the obligation to pay all Assessments levied pursuant to the provisions of this Declaration. All Assessments levied herein, together with any Additional Charges, shall be a charge on the land and shall be a continuing lien upon the Assessable Area against which each such Assessment is made. Each Owner, and if an Owners Association exists, each Unit Owner, is deemed to covenant to allow the Maintenance Association to enforce by non-judicial foreclosure under a power of sale or by any other means authorized by Applicable Laws, any Assessment liens and rights established hereunder either (a) directly against such Owner or Unit Owner, or (b) by and through the covenants and procedures set forth in any Owners Association Declaration for enforcement of the payment of the Assessments to the Maintenance Association. Except for Reimbursement Assessments, Regular Assessments, Special Assessments and Capital Improvement Assessments shall not be levied against the Residences which are designated as Affordable Areas in a Supplementary Declaration.

5.1.1 Personal Obligation. An Assessment shall be both a personal obligation of the Owners or Unit Owners against whom the Assessment is levied and, on the recordation of a notice of delinquent assessment, a lien against the Assessable Area and each separate interest therein. Unlike the lien for non-delinquent Assessments, the personal obligation for delinquent Assessments shall not pass to successive Owners unless expressly assumed by such successive Owner or Unit Owner. No such assumption of personal liability by a successor Owner shall relieve any Owner or Unit Owner against whose separate interest the lien was levied from personal liability for delinquent Assessments. If more than one Person was the Owner or Unit Owner, the personal obligation to pay such Assessment shall be both joint and several.

5.1.2 No Waiver of Right to Use Facilities. No Owner or Unit Owner shall be exempt from liability for contribution towards the Assessments by waiver of the use of any of the Community Use Areas, or other portions of the Covered Property, or by the destruction or abandonment of such Owner's or Unit Owner's Property.

5.1.3 Duties of Owners Associations to Collect Assessments. Each Owners Association shall have the obligation on behalf of the Maintenance Association to allocate and assess the amount of Assessments levied to the Owners Association and Master Association

to collect such Assessments from each of their respective Unit Owners, and to pay such Assessments to the Maintenance Association under this Declaration. Each Owners Association and Master Association shall have such obligations regardless of whether an individual Unit Owner has paid the amounts allocable to such Unit Owner to the Owners Association and Master Association. Each Owners Association and Master Association shall have the obligation to pursue any defaulting Unit Owner to collect any delinquent assessments and file a lien against the Property of the defaulting Unit Owner. If an Owners Association or Master Association fails to pay the amounts levied hereunder, then the Maintenance Association, in addition to its rights and remedies hereunder and at law and in equity, shall have the right to place a lien on the personal and any real property of the Owners Association and Master Association, including, without limitation, any amounts and funds of the Owners Association and Master Association as more particularly described below.

5.1.4 Failure to Levy Assessments by an Owners Association and Master Association. If an Owners Association or Master Association fails to allocate, levy, assess or collect Assessments to and against the Parcels or Condominiums governed by such Owners Association or Master Association, the Maintenance Association shall have the authority to allocate, levy, assess and collect such Assessments either against such Owners Association or Master Association or directly against each Unit Owner in accordance with the procedures and rights granted to the Owners Association or Master Association under the Declaration. Each Owners Association and Master Association shall have the obligation, upon request by the Maintenance Association, to identify the names and addresses of the Unit Owners who have not paid their share of the Assessments levied hereunder and to inspect the records of the Owners Association and Master Association, including, without limitation, any records evidencing the collection efforts undertaken by the Owners Association or Master Association. Each Owners Association and Master Association shall have the duty to cooperate with the Maintenance Association and to undertake any actions reasonably agreed upon by the Maintenance Association and the Owners Association or Master Association to ensure the timely and prompt payment of Assessments.

5.2 Purpose of Assessments. The Assessments levied by the Maintenance Association shall be used to perform the obligations and duties of the Maintenance Association, to undertake the powers of the Maintenance Association under this Declaration and pay Common Expenses, including, without limitation, maintenance and operation of the Maintenance Responsibility Areas and any other areas for which the Maintenance Association is responsible under this Declaration.

5.3 Regular Assessments. Regular Assessments shall be established when the Maintenance Association approves the Annual Operating Budget for that Fiscal Year, which Annual Operating Budget shall be prepared in accordance with the provisions of this Declaration and the Governing Documents. Regular Assessments shall be calculated as provided in **Section 5.9** below and shall be payable in monthly installments. Increases to Regular Assessments shall be subject to the limitations set forth in **Section 5.6**. Declarant's obligation or subsidy for such Regular Assessments may be reduced in accordance with the terms of any maintenance or subsidy agreement executed by Declarant and the Maintenance Association.

5.3.1 Reserves. The Annual Operating Budget shall include amounts which are allocated for reserves in such amounts as the Maintenance Association reasonably considers appropriate to meet the costs of maintaining, replacing and repairing the portions of the Maintenance Responsibility Areas for which the Maintenance Association has maintenance obligations and to satisfy any requirements of Applicable Laws ("**Reserves**"). The Maintenance Association shall cause periodic reserve studies to be completed to assess the adequacy of and the

amount of annual contributions for Reserves, which reserve studies shall be performed as frequently as is required by Applicable Laws, or more frequently if deemed advisable by the Maintenance Association. Because Allocable Shares may differ with respect to costs incurred in connection with different items that are to be maintained, replaced or repaired, the Maintenance Association may provide for specific segregated Reserves for specific items (with all items to which a particular Reserve relates being items having the same associated Allocation Formulas). In such case (i) each such Reserve shall be separately identified in the Annual Operating Budget (along with the Allocable Shares relating thereto), and (ii) amounts in each Reserve shall be available only for payment of costs incurred in connection with the item(s) to which the applicable Reserve relates.

5.4 Special Assessments. If the Maintenance Association determines at any time that the estimated total amount of funds necessary to fund the Common Expenses of the Maintenance Association for a given Fiscal Year is or will become inadequate to meet Common Expenses for any reason, the Maintenance Association may levy a Special Assessment in order to raise funds for such operating or other costs, insufficient operating or reserve funds, or such other purposes as the Maintenance Association in its discretion considers appropriate. Special Assessments shall be subject to the limitations set forth in **Section 5.6** below. Special Assessments shall be allocated in the same manner as Regular Assessments.

5.5 Capital Improvement Assessments. In addition to any other Assessments provided for hereunder, the Maintenance Association may levy a Capital Improvement Assessment for the purpose of defraying, in whole or in part, the cost of any construction or replacement of a capital improvement. Capital Improvement Assessments shall be due and payable by all Owners in such installments and during such period or periods as the Maintenance Association shall designate.

5.6 Limitation on Increases in Regular Assessments, Special Assessments and Capital Improvement Assessments. The Maintenance Association may not impose Regular Assessments for any Fiscal Year which are more than twenty percent (20%) greater than the Regular Assessments levied for the preceding Fiscal Year or Special Assessments or Capital Improvement Assessments for any Fiscal Year which in the aggregate exceed five percent (5%) of the gross expenses of the Maintenance Association set forth in its Annual Operating Budget for that Fiscal Year unless (i) the Maintenance Association has complied with California Civil Code Section 1365(a), and (ii) a Majority of the Owners consent. If the consent of an Owners Association or Master Association is required, the Owners Association or Master Association shall obtain the consent of its Unit Owners to the extent required under the Owners Association Declaration and Applicable Laws. A vote by a Representative on behalf of its Unit Owners shall conclusively establish that the Owners Association or Master Association has complied with and obtained the approvals required under the Owners Association Declaration. The foregoing restrictions on increases do not apply to increases necessary for Emergency Situations as described below.

5.6.1 Emergency Situations. For purposes of this **Section 5.6**, an "Emergency Situation" means:

- (a) an extraordinary expense required by an order of a court;
- (b) an extraordinary expense necessary to repair or maintain the Maintenance Responsibility Areas or any portion of the Covered Property for which the Maintenance Association is responsible where a threat to personal safety or imminent risk of substantial property damage exists in the Covered Property or any other area which the Maintenance Association is required to maintain; and/or

(c) an extraordinary expense necessary to repair or maintain the Maintenance Responsibility Areas or any portion of the Covered Property which the Maintenance Association is responsible to maintain that could not have been reasonably foreseen by the Maintenance Association in preparing and distributing the Annual Operating Budget required under this Declaration, the Master Association Bylaws and California Civil Code Section 1365.

5.7 Reimbursement Assessments. The Maintenance Association may levy a Reimbursement Assessment against any Owner or the applicable Owners Association or Master Association, including, without limitation, an Owner or Owners Association within an Affordable Area (on behalf of the Owners Association or Master Association or a Unit Owner) to reimburse the Maintenance Association for costs incurred by the Maintenance Association (i) in repairing damage caused by such Owner, Unit Owner, Owners Association or Master Association, to any portion of the Covered Property which the Maintenance Association is obligated to maintain and repair pursuant to this Declaration, and (ii) in bringing any Owner, Unit Owner, any Owners Association or Master Association and its Area or Property, as the case may be, into compliance with the provisions of the Governing Documents. Such Reimbursement Assessment shall be levied in an amount required to reimburse the Maintenance Association for the actual costs incurred and for the amounts incurred to enforce the rights of the Maintenance Association under this Declaration. A Reimbursement Assessment may not be levied until a Notice and Hearing have been provided as may be required by the Governing Documents or Applicable Laws. Reimbursement Assessments shall be due and payable when levied by written notice to the Owner or the Owners Association or Master Association, as applicable, against whom the Reimbursement Assessment is levied, and shall be delinquent if not paid within thirty (30) days after the date levied. If the Reimbursement Assessment is levied and paid before all or any portion of the costs have been incurred by the Maintenance Association and the amount paid exceeds the costs incurred, the Maintenance Association shall promptly refund the excess to the Owner or Owners Association or Master Association, as applicable, or credit the amount against any future Assessments. If the costs exceed the amounts levied by the Maintenance Association as a Reimbursement Assessment, the Owner or Owners Association or Master Association, as applicable, shall reimburse the Maintenance Association within thirty (30) days after the date of the Maintenance Association's notice of the amount of the excess costs. If payment is not made when due, the payment shall be considered a delinquent Assessment and the Maintenance Association may enforce its rights for delinquent Assessments as provided in this Article.

5.7.1 Formation of Cost Centers. The Declarant, prior to the conveyance of a Property to an Owner or Unit Owner, may establish a Cost Center or expand an existing Cost Center by designating the Area as included within such Cost Center in a Supplementary Declaration. Subject to the provisions of **Section 4.4** of this Declaration, the Maintenance Association may also establish or expand additional Cost Centers with respect to portions of the Covered Property which directly receive a special benefit from the Maintenance Association for special services provided to such Owners. If any Cost Center is formed or expanded after any portions of the Area to be included within such Cost Center have been conveyed to an Owner, then the approval of a Majority of the Voting Power held by the Representative of the Area proposed to be included in the Cost Center shall be required and, if Declarant or Declarant Party owns any portion of the Covered Property or Annexable Property, the consent of the Declarant shall be required. Upon its approval, the Cost Center shall be described in a Supplementary Declaration recorded by the Declarant or Maintenance Association, as applicable, as provided in **Section 18.13** of this Declaration. From and after the formation of such a Cost Center, it shall be administered by the Maintenance Association as provided in the Governing Documents. Nothing contained herein shall give the Maintenance Association any rights to approve Cost Centers established by the

Declarant upon the recordation of this Declaration or the recordation of a Supplementary Declaration.

5.8 Agreements. Notwithstanding any other provisions of this Declaration or the Maintenance Association Bylaws regarding the term of contracts with Declarant or Guest Builders for providing services to the Maintenance Association, Declarant (and any Guest Builder with the prior written consent of Declarant) may enter into one or more written maintenance or subsidy agreements with the Maintenance Association under which Declarant (or such Guest Builder, as the case may be) shall pay all or any portion of the Common Expenses and/or perform all or any portion of the Maintenance Association's maintenance responsibilities in exchange for a temporary suspension or reduction of all or a portion of the Regular Assessments. Each such maintenance or subsidy agreement may require Owners to reimburse Declarant or any of such Guest Builders, through the Maintenance Association, for a portion of the costs expended by Declarant in satisfaction of Common Expenses.

5.9 Assessment Components and Rates.

5.9.1 Base Budget Component. Subject to the provisions of Section 5.11 hereof, Regular Assessments exclusive of the Common Expenses included in a Cost Center Budget ("Base Budget Component") shall be allocated among the Assessable Areas and Owners thereof based upon the applicable Allocable Share, as specified in a Supplementary Declaration.

5.9.2 Cost Center Assessment Component. The portion of the Regular Assessments budgeted exclusively to any particular Cost Center in the Cost Center Budget ("Cost Center Assessment Component") shall be assessed solely to the Owners of Assessable Areas within the applicable Cost Center, at a rate among all the Assessable Areas within the Cost Center subject to such Regular Assessment, as specified in a Supplementary Declaration.

5.9.3 Other Assessments. Special Assessments and Capital Improvement Assessments shall be allocated in the same manner as Regular Assessments. Reimbursement Assessments shall be levied directly to the individual Assessable Areas and Owner thereof in a manner consistent with the provisions of this Declaration.

5.10 Commencement of Regular Assessments. The payment of Regular Assessments shall commence as to each Assessable Area on the applicable Assessment Commencement Date for such Area set forth in a Supplementary Declaration.

5.11 Budgeting. Each Fiscal Year the Maintenance Association shall prepare, approve and make available to each Member an Annual Operating Budget as described in the Maintenance Association Bylaws, which shall be sufficient to provide for maintenance, repair and replacement of the Maintenance Responsibility Areas and to cover all of the other Common Expenses of the Maintenance Association as provided under the Governing Documents. The Annual Operating Budget may establish differential allocations of Common Expenses set forth therein for Commercial Owners or Residential Owners based on relative benefit received, as determined to be fair and appropriate by the Board in its reasonable, good faith judgment. The Allocable Share for each Assessable Area shall be calculated based on any such differential allocation included in the Annual Operating Budget.

5.12 Notice and Assessment Installment Due Dates. The Maintenance Association shall provide notice by first-class mail to each Owner and Owners Association or Master Association of any increase in the Regular Assessment, any Special Assessment or Capital

Improvement Assessment not less than thirty (30) days nor more than sixty (60) days prior to the increased Regular Assessment or the Special Assessment or Capital Improvement Assessment becoming due. The due dates for the payment of Regular Assessments normally shall be payable the first day of each month unless some other due date is established by the Maintenance Association. The due date for Special Assessments or Capital Improvement Assessments shall be specified in the notice provided by the Maintenance Association and if such Special Assessments or Capital Improvement Assessments are payable in installments, such installments normally shall be the first day of each month unless some other due date is established by the Maintenance Association. Each installment of Regular Assessments, Special Assessments and Capital Improvement Assessments shall become delinquent if not paid within fifteen (15) days after its due date. There shall accrue with each delinquent installment a late charge, an interest charge at the Applicable Rate and reasonable costs of collection, including attorneys' fees and costs, but which shall not in any event exceed the maximum rates permitted under California Civil Code Section 1366.

5.13 Assessment Rolls The Maintenance Association may maintain and revise annually, an assessment roll for the Assessable Area reflecting the name and address of each Owner, and other data necessary to levy the Assessments. If an Owners Association or Master Association has been established, upon a request by the Maintenance Association, such Owners Association or Master Association shall supply the Maintenance Association with the Owners Association's or Master Association's membership rolls on an annual basis or more frequently if so requested by the Maintenance Association.

5.14 Collection of Assessments; Liens. The right to collect and enforce Assessments payable by any Owners Association or Master Association is vested in the Maintenance Association acting for and on behalf of such Owners Association and Master Association. If any Assessment due from an Owners Association or Master Association is delinquent, the Maintenance Association shall be entitled to the following separate and cumulative rights and remedies, which the Maintenance Association shall have the right to select and use in any order as it determines reasonable and prudent, in the discretion of the Maintenance Association, without exclusion, waiver or prejudice; provided, however, that in the event of a delinquent Assessment as a result of a delinquency by a Unit Owner, the Maintenance Association shall provide forty-five (45) days' written notice to the applicable Unit Owner, and shall not initiate any enforcement proceedings against such Unit Owner unless the applicable Owners Association and Master Association is unable to or fails to enforce the payment obligation pursuant to the Owners Association Declaration applicable to such Unit Owner within such forty-five (45) day period. Notwithstanding anything to the contrary herein, a monetary fine or Reimbursement Assessment imposed by the Maintenance Association as a disciplinary measure for failure of an Owner or Unit Owner to comply with the Governing Documents or as a means of reimbursing the Maintenance Association for costs incurred by the Maintenance Association in the repair of damage to portions of the Covered Property or facilities for which the Owner or Unit Owner was responsible may not be characterized nor treated as a Assessment which may become a lien against the Owner's or Unit Owner's Property enforceable by a sale of the interest hereunder. The limitation in the preceding sentence however, does not apply to any Additional Charges.

5.14.1 Rights to Bring Legal Action Against an Owner. The Maintenance Association shall have the continuing right to bring legal action for collection of any delinquent Assessment against an Owners Association and Master Association and/or Unit Owner for any delinquency in the payment of any Assessment, or against the Owners Association and Master Association or any individual Unit Owner who is delinquent for nonpayment of its respective share

of such Assessment, as a debt and obligation of the Unit Owner or the Owners Association and Master Association as applicable.

5.14.2 Continuing Right of Maintenance Association Against the Owners Associations The Maintenance Association shall have the continuing right to levy, enforce and collect any Assessments to be levied, enforced and collected by an Owners Association or Master Association which is delinquent in whole or part. The Maintenance Association shall, by this Declaration, be deemed to have been assigned, and to have a perfected interest in and to, all rights to levy all Assessments, liens and funds which are now, and in the future to be paid by any or all of the Unit Owners to the applicable Owners Association or Master Association. The rights to impose and enforce Assessments and impose liens against any and all Owners are hereby assigned to the Maintenance Association by the applicable Owners Association or Master Association. Such assignment shall apply, to the extent that any Unit Owner has not paid to the applicable Owners Association or Master Association its, his or her Assessments by and pursuant to any applicable Owners Association Declaration, and for and to the extent that any Owners Association or Master Association has failed to pay the Maintenance Association the Assessments levied by the Maintenance Association for and in the amount equal to the pro rata share of the Assessments that have or should have been allocated, assessed, collected and enforced by the Owners Association or Master Association against such Unit Owner. Notwithstanding the foregoing, if the Maintenance Association elects not to exercise its rights to impose liens on any individual Unit Owner's Property, the Maintenance Association may require the applicable Owners Association or Master Association to impose such liens and exercise its rights and, in such case, during the period that the Maintenance Association has made its election not to exercise its rights, the assignment to the Maintenance Association will not be effective.

5.14.3 Assignment of Security Interest Each Owners Association and Master Association and each Unit Owner agrees to, and does hereby, pledge and grant to, and each member thereof shall agree to and shall pledge and grant to, the Maintenance Association a continuing security interest in and to the respective Owners Association or Master Association's assessments, funds, accounts, enforcement rights and lien rights (hereinafter referred to as the "Assigned Interests") as collateral for payment by any applicable Owners Association and Master Association to the Maintenance Association of the assessments levied to and against such Owners Association or Master Association. The Maintenance Association shall be entitled to file, record or otherwise perfect its interests in and as to any such Owners Association's or Master Association Assigned Interests as may be required, allowed or permitted under Applicable Laws. Each Owners Association and Master Association agrees that at any time and from time to time, at the expense of such Owners Association and Master Association such Owners Association and Master Association will promptly execute and deliver all further instruments and documents, and take all further action, that may be necessary or desirable, or that the Maintenance Association may request, to perfect, protect and maintain the security interest granted hereby or to enable the Maintenance Association to exercise and enforce its rights and remedies pursuant to the terms hereof with respect to any Assigned Interests assigned and pledged hereunder. The Maintenance Association may exercise in respect of the Assigned Interests, in addition to other rights and remedies provided for herein or otherwise available to it, all the rights and remedies provided a secured party upon the default of a debtor under the Uniform Commercial Code in effect in the State of California at that time.

5.14.4 Notice of Assessments and Foreclosure The Maintenance Association shall distribute a written notice regarding delinquent Assessments and foreclosure as set forth in California Civil Code Section 1365.1 during the sixty (60) day period immediately preceding the beginning of the Maintenance Association's Fiscal Year.

5.14.5 Delinquent Assessments. In collecting delinquent Assessments, the Maintenance Association shall comply with the requirements of California law, including, without limitation, California Civil Code Sections 1367.1 and 1367.4. As of the date of this Declaration, such laws require that, among other things, before the Maintenance Association records a lien against the Owner's Parcel or Unit Owner's Property, the Maintenance Association: (i) notify the delinquent Owner or Unit Owner of certain matters, and (ii) offer and, if requested by the Owner, participate in dispute resolution procedures pursuant to the Maintenance Association's or Unit Owner's "meet and confer" program required in California Civil Code Sections 1363.810 through 1363.850. The Maintenance Association shall comply with all requirements of California Civil Code Section 1367.1 and any other Applicable Laws. To the extent permitted by Applicable Laws, the Maintenance Association shall notify each Owners Association and Master Association on behalf of any delinquent Unit Owner and meet and confer with the Owners Association and Master Association on behalf of the delinquent Unit Owner, in which case, the delinquent Unit Owner may be present.

5.14.6 Creation of Lien. If there is a delinquency in the payment of any Assessment (other than a Reimbursement Assessment), any amounts that are delinquent, together with any Additional Charges, shall be a lien against each applicable defaulting Owner's Parcel or Unit Owner's Property upon the recordation in the Official Records of a notice of delinquent assessment ("**Notice of Delinquent Assessment**") as provided in California Civil Code Section 1367. After its recordation, the Notice of Delinquent Assessment shall be mailed to all Owners or Unit Owners of record for the applicable Parcel or Property for which the lien is being filed as provided in California Civil Code Section 1367.

5.14.7 Notice of Default; Foreclosures. If the Maintenance Association is entitled to file a lien as provided in Section 5.16.6, the Maintenance Association can record a notice of default and, subject to the requirements and limitations of California Civil Code Section 1367.4, can enforce the lien and cause the Parcel or Property with respect to which a notice of default has been recorded to be sold either in the same manner as a sale is conducted under California Civil Code Sections 2924, 2924b and 2924c or through judicial foreclosure and as provided in California Civil Code Section 1367.1. However, as a condition precedent to the holding of any such sale under Section 2924c, appropriate publication shall be made. In connection with any such sale, the Maintenance Association is authorized to appoint a trustee for purposes of conducting the sale. If a delinquency is cured before sale of the Parcel or Property, or before completing a judicial foreclosure, or if it is determined that a lien previously recorded against the Parcel or Property was recorded in error, the Maintenance Association shall apply payments and follow the procedures set forth in the Governing Documents. On becoming delinquent in the payment of any Assessments, each delinquent Owner or Unit Owner shall be deemed to have absolutely assigned all rent, issues and profits of its Parcel or Property to the Maintenance Association and shall further be deemed to have consented to the appointment of a receiver (which appointment may, at the election of the Maintenance Association, be enforced by the Maintenance Association through specific performance). The Maintenance Association, acting on behalf of the Members, shall have the power to bid upon such Parcel or Property at foreclosure sale and to acquire, hold, lease, mortgage and convey the Parcel or Property and, during its ownership, vote as a Unit Owner or an Owner of the Property or Parcel, as applicable.

5.14.8 Application of Payments. Any payments of sums due under this Article shall first be applied to Assessments owed, and only after Assessments owed have been paid in full shall the payments be applied to the fees and costs of collections, attorney's fees, late charges or interest. If an Owner or Unit Owner requests a receipt after payment of a delinquent

Assessment, the Maintenance Association shall provide a receipt which sets forth the date of payment and the individual who received such payment.

5.15 Additional Charges. In addition to any other amounts due or any other relief or remedy obtained against an Owner or Unit Owner who is delinquent in the payment of any Assessments, each Owner or Unit Owner agrees to pay Additional Charges incurred or levied by the Maintenance Association including such additional costs, fees, charges and expenditures as the Maintenance Association may incur or levy in the process of collecting from that Owner or Unit Owner any amounts which are due and delinquent.

5.16 Subordination of Lien to First Mortgages. The lien of Assessments herein shall be subordinate to the lien of any First Mortgage, as provided in **Section 13.2** below.

5.17 No Offsets. All Assessments shall be payable in the amounts of the particular Assessment and no offsets against such amount shall be permitted for any reasons, including, without limitation, a claim that the Maintenance Association is not properly exercising its duties of maintenance, operation or enforcement.

5.18 Failure to Fix Assessments. The omission by the Maintenance Association to fix the Assessments hereunder before the expiration of any Fiscal Year, for that or the next Fiscal Year, shall not be deemed either a waiver or modification in any respect of the provisions of this Declaration or a release of any Owner from the obligation to pay the Assessments or any installment thereof for that or any subsequent Fiscal Year, but the Assessment fixed for the preceding Fiscal Year shall continue until a new Assessment is fixed.

ARTICLE 6

USE RESTRICTIONS

The use restrictions set forth in this Declaration are intended to impose restrictions on the Covered Property for the benefit of all of the Covered Property.

6.1 Compliance With Applicable Laws and Governmental Entitlements. The Maintenance Association, Owners Associations, Master Associations, Owners and Unit Owners shall comply with all Applicable Laws, Governmental Entitlements and the Governing Documents. The Maintenance Responsibility Area and each other portion of the Covered Property shall be used and operated in accordance with the provisions of the Governmental Entitlements, the relevant Governing Documents, and Applicable Laws.

6.2 Discharge of Waste or Hazardous Materials. No discharge of waste or any substance or materials of any kind shall be made into any public or private sewer serving the Covered Property or any part thereof in violation of Applicable Laws. Hazardous Materials shall be manufactured or sold within the Covered Property. Storage and use of any such Hazardous Materials shall be allowed only if in compliance with all Applicable Laws. The Maintenance Association, each Owners Association, Master Association, Owner and Unit Owner shall comply with any best management practices to the extent applicable, and perform all maintenance that may be imposed by any water quality management plan(s) that may affect the Covered Property. The costs of the Maintenance Association's portion of such maintenance, if any, shall be treated as Common Expenses.

6.3 Oil and Mineral Rights. No oil drilling, oil development operations, oil refining, quarrying, or mining operations of any kind shall be permitted by any Owner or Unit Owner upon or in any portion of the Covered Property nor, subsequent to the recording of this Declaration, shall oil wells, tanks, tunnels, or mineral excavations or shafts be installed upon the surface of any portion of the Covered Property or within five hundred feet (500') below the surface of such properties. No derrick or other structure designed for use in boring for water, oil or natural gas shall be erected, maintained or permitted by any Owner or Unit Owner upon any portion of the Covered Property. No Owner or Unit Owner shall use a Building Portion to explore for or to remove any water, oil or other hydrocarbons, minerals of any kind, gravel, earth or any earth substance or other mineral of any kind. This provision shall be in addition to all existing restrictions of record.

6.4 Exemption of Declarant. The restrictions set forth in this Article shall not apply to Declarant so long as Declarant or, with the consent of Declarant, a Guest Builder, so long as Declarant is exercising any of its rights under Article 8 or any other rights or powers or easements reserved to Declarant under this Declaration.

6.5 Notice of Airport In Vicinity. The Covered Property is presently located in the vicinity of an airport, within what is known as an airport influence area. For that reason, the Property may be subject to some of the annoyances or inconveniences associated with proximity to airport operations (for example: noise, vibration, or odors). Individual sensitivities to those annoyances can vary from person to person. Each Owner should consider what airport annoyances, if any, are associated with the Property before such Owners completes its purchase and determine whether such annoyance are acceptable to such Owner.

ARTICLE 7

MAINTENANCE RESPONSIBILITIES

This Article sets forth the maintenance responsibilities of the Maintenance Association and the standards for that maintenance to ensure the overall quality and maintenance of the Maintenance Responsibility Areas. This Article also sets forth the maintenance obligations of Owners and Unit Owners. It is important that every Owner and Unit Owner understands the maintenance responsibilities set forth in this Article.

7.1 Maintenance. Unless the context otherwise requires, as used in this Article 7, "maintenance", "maintain" or "maintaining" means the operation, inspection, maintenance, repair, restoration and replacement of the areas and facilities designated for maintenance by the Maintenance Association, an Owner's Association and/or an Owner or Unit Owner. To the extent repair, restoration and replacement is required as a result of damage or destruction under Article 10, then the repair and replacement shall be governed by the provisions of Article 10.

7.2 Responsibilities of the Maintenance Association

7.2.1 Areas to be Maintained. The Maintenance Association shall maintain and provide for the maintenance of the Maintenance Responsibility Areas and any other areas specified for maintenance by the Maintenance Association in a Supplementary Declaration or as approved by the Board or Declarant. The Maintenance Responsibility Areas shall be maintained in a neat, clean, attractive and orderly condition of maintenance and repair and in accordance with all of the obligations set forth in the Maintenance Manual and the requirements and standards set forth in the Governing Documents and the Governmental Entitlements. Such obligations shall include, without limitation, the obligations to:

- (a) Maintain any Improvement or portion thereof within or comprising the Maintenance Responsibility Areas;
- (b) Maintain any access roads or trails or other access routs within any portion of the Maintenance Responsibility Areas;
- (c) Maintain the Urban Amenity Area, including the Urban Amenity Trail in accordance with the Governmental Entitlements;
- (d) Maintain all landscaped areas (including fertilizing and irrigating as necessary) in a healthy and thriving condition, free from weeds, trash and debris and replace injured and diseased trees and other vegetation within the Maintenance Responsibility Area;
- (e) Maintain and repair all sprinklers and other irrigation equipment as necessary to continually maintain any landscaped areas within the Maintenance Responsibility Areas;
- (f) Maintain any drainage retention, detention, bioswale or other basins and/or drainage facilities located within the Maintenance Responsibility Areas and included in the Private Storm Water Improvements in good working order and in a safe condition in accordance with all Governmental Entitlements, including without limitation, all requirements set forth in the Conservation Easement Agreements;
- (g) Maintain all Conservation Areas in accordance with the Conservation Easement Agreement and requirements of any other applicable Governmental Agencies;
- (h) Maintaining all Brush Management Areas located within the Maintenance Responsibility Areas in conformance with the requirements of the Brush Management Plan and any other requirements of the applicable Governmental Agencies;
- (i) Place and maintain upon or within the Maintenance Responsibility Areas, such signs as the Board may deem appropriate or as may be required by the City for the proper identification, use and regulation of the Maintenance Responsibility Areas;
- (j) Perform all such other and further acts which the Board deems necessary to preserve and protect the Maintenance Responsibility Areas in accordance with the general purposes specified in this Declaration, and
- (k) Perform any other maintenance obligations imposed under a Supplementary Declaration.

The Board shall be the sole judge as to the appropriate level of maintenance of all Maintenance Responsibility Areas and other properties maintained by the Maintenance Association. The Declarant, and after the Turnover Date, the Maintenance Association, shall have the sole right to allocate maintenance responsibilities over portions of the Maintenance Responsibility Areas to (a) Owners if the Board makes a determination based on the Board's business judgment as to what is in the best interests of the Owners and Unit Owners, considering cost, uniformity or harmony of appearance, location and other factors deemed relevant by the Board, and/or (b) to establish a Cost Center for providing maintenance services to such Owners as provided in this Declaration. Such allocation of maintenance responsibilities may, but shall not be required to be designated in a

Supplementary Declaration. The Maintenance Association may contract with others for the performance of the maintenance and other obligations of the Maintenance Association under this Article 7.

7.2.2 Commencement of Maintenance Responsibilities. Unless otherwise stated in an agreement with the Maintenance Association and Declarant, or as otherwise specified in a Supplementary Declaration after the Maintenance Association Activation Date, the Maintenance Association will be obligated to maintain the Maintenance Responsibility Areas upon the transfer or tender of responsibility of fee title to or an easement over the applicable Maintenance Responsibility Area to the Maintenance Association. Notwithstanding the foregoing, the contractors or subcontractors of Declarant or Guest Builders may be contractually obligated to maintain the landscaping or other Improvements on the Maintenance Responsibility Areas pursuant to warranties or other existing contractual obligations of Declarant or Guest Builders, in which case Declarant or Guest Builders shall have the right to perform such maintenance. The Maintenance Association shall not interfere with the performance of such warranty or other contractual maintenance obligations. Maintenance performed by such contractors or subcontractors of Declarant or Guest Builders shall not serve to postpone the commencement of Common Expenses pursuant to this Declaration, nor entitle an Owner or Unit Owner to claim any offset or reduction in the amount of such Regular Assessments.

7.3 Duty to Protect Against Mechanics' Liens. In performing its obligations for maintenance as provided in this Declaration, the Maintenance Association and any Owner or Unit Owner (for the purposes of this Section 7.3, the "Contracting Party", as applicable) shall each promptly pay all costs, expenses, liabilities and liens arising out of or in any way connected with contracts for any service, labor or materials provided or supplied to the Covered Property or the construction of any Improvements authorized or undertaken by the Contracting Party. A Contracting Party shall not cause or permit any mechanic's lien to be filed against the Covered Property for labor or materials alleged to have been furnished or delivered to the Covered Property or any Property by the Contracting Party. If any Contracting Party causes a lien to be filed, such Contracting Party shall: (i) immediately either cause the lien to be discharged within ten (10) days after notice to such responsible party by the Contracting Party, or post a bond which protects the title of the affected Contracting Party to their Property; (ii) indemnify, protect, defend and hold harmless the other Contracting Party, as applicable, from any loss, damage, liability, expense or claims whatsoever by reason of any lien which may be filed against the Covered Property or the other Contracting Party, such Contracting Party's Property for such work or services performed or materials supplied by any architect, engineer or contractor with whom the Contracting Party has contracted or any other person acting directly or indirectly by, through or under such architect, engineer or contractor supplying services, labor, materials or equipment; and (iii) pay all expenses incurred in connection therewith, including, without limitation, reasonable attorneys' fees and costs of defending against the foregoing claims by another Owner or Unit Owner and any costs of enforcing this indemnity prior to the defense thereof by the Contracting Party.

7.4 Inspections and Maintenance Manual. The Maintenance Association shall regularly inspect the Maintenance Responsibility Areas, including, without limitation, the landscaping, drainage and irrigation systems and shall comply with the requirements, including the inspection requirements of the Maintenance Manual. The Maintenance Association shall employ the services of such experts and consultants as are deemed necessary by the Maintenance Association to assist the Maintenance Association in performing its duties hereunder and follow any recommendations contained in the Maintenance Manual. The Board may, from time to time, make appropriate revisions to the Maintenance Manual, if any, based upon the Board's review of the Maintenance Manual, to update such Maintenance Manual to provide for maintenance according to

current industry practices so long as such changes do not reduce the useful life or functionality of the items being maintained. If requested by the Declarant, any such inspection reports shall be provided to the Declarant promptly following completion. If requested by Declarant, Declarant shall be invited to attend any such inspections. The written reports shall identify any items of maintenance or repair which either require current action by the Maintenance Association or will need further review and analysis. The Maintenance Association shall promptly cause all matters identified as requiring attention to be maintained, repaired, or otherwise pursued in accordance with prudent business practices and the recommendations of the inspectors and shall keep a record of all such matters in the Maintenance Association's minutes.

ARTICLE 8

DEVELOPMENT RIGHTS

Declarant requires certain rights to enable Declarant, the Declarant Parties and the Guest Builders to complete development, marketing and construction for the benefit of all of the Covered Property. This Article describes some of those rights which are in addition to other rights reserved to Declarant, the Declarant Parties and Guest Builders under this Declaration and the other Governing Documents.

8.1 Declarant Rights. Declarant, Declarant Parties and Guest Builders are undertaking the work of developing the Covered Property. The completion of the development work and the marketing, sale, rental and other disposition of the Parcels, Building Portions and Condominiums is essential to the establishment and operation of the Covered Property and the Annexable Property as a mixed-use urban center. Nothing in this Declaration shall be interpreted to deny Declarant and the Declarant Parties or, to the extent provided below, Guest Builders the rights set forth in this Article.

8.2 Access. Declarant, and to the extent approved in writing by the Declarant, Guest Builders and each of their agents, employees and contractors shall have the right to obtain reasonable access over and across the Maintenance Responsibility Areas or do within any portion of the Covered Property owned by it whatever is reasonably necessary or advisable in connection with the completion of the Covered Property.

8.3 Construction. Declarant, and to the extent approved in writing by the Declarant, Guest Builders and their agents, employees and contractors shall have the right to erect, construct and maintain on the Maintenance Responsibility Area or within any Building owned by it such structures, improvements, equipment and materials as may be necessary to accommodate the construction of the Buildings and Improvements within the Covered Property. Such rights may include the right to fence off areas to pedestrian and vehicular traffic and the right to store equipment, place construction trailers and create staging areas.

8.4 Future Subdivisions. Declarant reserves the right to subdivide and resubdivide any portion of the Covered Property and/or to change, with the consent of the City, any development plan for the Covered Property.

8.5 Size and Appearance of the Covered Property. Declarant shall have the right to fulfill any development and marketing plan for Covered Property and the right to change the scope and type and design of the Maintenance Responsibility Areas and any Buildings or other Improvements owned by Declarant, the landscaping or any other matter directly or indirectly

connected with the Covered Property in any manner deemed desirable by Declarant, provided Declarant has obtained any approvals required to be obtained from the City.

8.6 Title Rights This Declaration shall not be construed to constitute a limitation on Declarant's title rights to the Annexable Property prior to its Annexation, nor shall it impose any obligation on Declarant or any other person or entity to improve, develop or annex any portion of the Annexable Property.

8.7 Assignment of Declarant's Rights This Declaration shall not be construed to constitute a limitation on Declarant's title to the Additional Property prior to its Annexation, nor shall it impose any obligation on Declarant or any other person or entity to improve, develop or annex any portion of the Additional Property. The rights of Declarant under this Declaration may be assigned to any successor(s) by an express assignment in a recorded instrument, including without limitation, a deed, option or lease. This Declaration shall not be construed to limit the right of Declarant at any time prior to such an assignment to establish additional licenses, reservations and rights of way to itself, to utility companies, to the City, to the County, to the State, or to others as may be reasonably necessary to the proper development and disposal of property owned by Declarant.

8.8 Declarant Representative Until the Turnover Date, the Maintenance Association shall provide Declarant with written notice of all meetings of the Board and Declarant shall be entitled, without obligation, to have a representative present at all such Board meetings ("Declarant's Representative"). The Declarant's Representative shall be in addition to any member which the Declarant may have on the Board and, if Declarant elects to have an additional representative, the Declarant's Representative may be present in an advisory capacity only and shall not be a Board member or have any right to vote on matters coming before the Board.

8.8.1 Grant Easements Declarant, its contractors and subcontractors and with the consent of Declarant, a Guest Builder shall have the right to establish and/or grant over and across any Maintenance Association Property such easements and rights of way on, over, under or across all or any part thereof to or for the benefit of the State of California, the City, the County or any other political subdivision or public organization, or any public utility entity or cable television provider, for the purpose of constructing, erecting, operating and maintaining Improvements thereon, therein or thereunder at that time or at any time in the future, including: (i) roads, streets, walks, driveways, trails, parkways and park areas; (ii) poles, wires and conduits for transmission of electricity, providing telephone service and cable television service to the Community and for the necessary attachments in connection therewith; and (iii) public and private sewers, sewage disposal systems, storm water drains, land drains and pipes, water systems, sprinkling systems, water, heating and gas lines or pipes and any and all equipment in connection therewith. The Maintenance Association Property shall be subject to any dedication or easements stated in a final map for the Covered Property of an easement for public use for installation, maintenance and operation of facilities for public utilities over all of the Association Property. Said public utilities easement shall inure and run to all franchised utility companies and to the City, the County, and the State and shall include the right of ingress and egress over the Maintenance Association Property by vehicles of the City, the County and the State and such utility companies to properly install, maintain, repair, replace and otherwise service such utility facilities. The grant of said public utility easement shall not be interpreted to imply any obligation or responsibility of any such utility company or the City, the County or the State for maintenance or operation of any of the Maintenance Association Property or the facilities located thereon or the repair, replacement or reconstruction thereof except for those Improvements owned by the utility companies, the City, the

County or the State, and except as occasioned by the negligence or willful misconduct of the utility companies, the City, the County, or the State.

8.9 Size and Appearance of Community. Declarant shall not be prevented from modifying or changing the development plan in any manner deemed desirable by Declarant, if Declarant obtains governmental consents required by Applicable Law. The nature, design, quality and quantity of all Improvements to the Maintenance Association Property and the Association Maintenance Areas and other areas on the Covered Property shall be determined by Declarant, in its sole discretion.

8.10 Title Rights. This Declaration shall not be construed to constitute a limitation on Declarant's title rights to the Additional Property prior to its Annexation, nor shall it impose any obligation on Declarant or any other person or entity to improve, develop or annex any portion of the Additional Property. The rights of Declarant under this Declaration may be assigned to any successor(s) by an express assignment in a recorded instrument, including without limitation, a deed, option or lease. This Declaration shall not be construed to limit the right of Declarant at any time prior to such an assignment to establish additional licenses, reservations and rights of way to itself, to utility companies, to the City, to the County, to the State, or to others as may be reasonably necessary to the proper development and disposal of property owned by Declarant.

8.11 Power of Attorney. Each Owner and Unit Owner agree and acknowledges that the Owners own no interest in the Additional Property which may be developed, if at all, by Declarant in its sole and absolute discretion, or Unit Owner and (b) irrevocably appoints Declarant, for so long as Declarant owns all or any portion of the Additional Property, as its Attorney-in-Fact, for itself and each of its Mortgagees, optionees, grantees, licensees, trustees, receivers, lessee, tenants, judgment creditors, heirs, legatees, devisees, administrators, executors, legal representatives, successors and assigns, whether voluntary or involuntary, and thereby to have conveyed a Power of Attorney coupled with an interest to Declarant as its Attorney-in-Fact to prepare, execute, acknowledge and record any parcel map, final map or amended final map for all or any portion of the Property or Additional Property regardless of whether Declarant owns any interest in the property which is the subject of such parcel map, final map or amended final map. However, nothing herein shall be deemed or construed as an agreement by Declarant that any Owner shall be entitled to any participation in or discretion over the preparation and recordation of a parcel map, final map or amended final map for all or any portion of the Property or Additional Property. The acceptance or creation of any Mortgage or other encumbrance, whether or not voluntary, created in good faith, or given for value, shall be deemed to be accepted or created subject to each of the terms and conditions of the Power of Attorney described in this Section.

8.12 Maintenance Association or Cost Center. Until the Turnover Date, neither the Maintenance Association nor any Owner or Guest Builder, without the prior written consent of Declarant, shall create a Cost Center.

8.13 Supplementary Declarations. Declarant may, until the Turnover Date, record a Supplementary Declaration without the consent of any Owner or Unit Owner and therefore the Maintenance Association may record a Supplementary Declaration to do any of the following: (a) annex any portion of the Annexable Property and extend the plan of this Declaration to such Annexable Property, (b) prior to Annexation, delete any portion of the Annexable Property from the description of the Annexable Property attached to this Declaration as provided under this Declaration, (c) make modifications or adjustments to the description of the Annexable Property (including identification of additional Annexable Property) to reflect the development plan or any lot line adjustments, parcel maps and final subdivision maps and/or conditions or requirements

imposed by Governmental Agencies, (d) make such other complementary additions and modifications to this Declaration, (e) identify any other areas to be maintained by the Maintenance Association in addition to the areas identified in the Governing Documents; (f) establish Cost Centers; (g) prior to the conveyance of any Property modify the Assessable Area, (h) modify this Declaration to conform to any Governmental Entitlements or requirements of any Governmental Agencies, or Applicable Laws, (i) correct any provisions of this Declaration, any exhibits to this Declaration or any other previously recorded Supplementary Declaration and/or (j) for any other purposes specified or authorized in this Declaration, or any of the other Governing Documents. A Supplementary Declaration may also be recorded by Declarant or a Guest Builder to set forth alternative dispute resolution procedures governing disputes or claims between an Owner, a Unit Owner and a Guest Builder, which do not and will not include the Declarant or the Maintenance Association. If the signature or consent of any Guest Builder which owns any portion of the Covered Property subject to a Supplementary Declaration is required, such Guest Builder shall execute and consent to any such Supplementary Declaration.

8.14 Amendment. The provisions of this Article may not be amended without the consent of Declarant or, if approved in writing by Declarant, the consent of any Guest Builder, for so long as Declarant or such Guest Builder owns, or is the holder of a Mortgage covering any portion of the Covered Property or the Annexable Property.

ARTICLE 9

INSURANCE

This Article describes the obligations of the Maintenance Association and the Owners and Unit Owners regarding insurance

9.1 Insurance to be Maintained by the Maintenance Association. The Maintenance Association shall obtain and maintain the insurance coverages described below.

9.1.1 Property Insurance. The Maintenance Association shall obtain and maintain property insurance for the risks covered by and providing coverage at least as broad as a current ISO "special form" (a/k/a "all risk") policy or its equivalent ("Property Insurance") providing reasonable coverage for the costs of repair, rebuilding and replacing all improvements owned and/or operated by the Maintenance Association, including Maintenance Responsibility Areas and all personal property and fixtures owned by the Maintenance Association. Such insurance shall be maintained in the amount of the maximum insurable replacement value of the property to be insured thereunder as determined annually. All such insurance shall satisfy the requirements set forth below.

(a) Such Property Insurance shall insure against, but not limited to, losses or damage by fire, windstorm, hail, explosion, damage from aircraft and vehicles, and smoke damage.

(b) The amount of coverage for such Property Insurance shall be in the full amount of the full replacement value (without deduction for depreciation) of the Improvements.

(c) Such Property Insurance shall include coverage or endorsements for increased construction costs due to changes in building codes, regulations and similar laws and for demolition costs.

(d) Such Property Insurance may contain reasonable deductibles approved by the Board.

(e) Whenever any Improvements or alterations that are owned or operated by the Maintenance Association are in the course of construction, the Property Insurance required under this subsection for such Improvements or alterations shall be carried by the Maintenance Association in builder's risk form written on a completed value basis, insuring against loss to the full extent of the replacement cost of that which is being covered.

9.1.2 Liability Coverage – Maintenance Association. The Maintenance Association shall obtain and maintain liability insurance providing coverage at least as broad as a current ISO commercial general liability insurance form and maintain a policy or policies of primary commercial general liability insurance or its equivalent covering claims for bodily injury, death and property damage occurring on, in or about the Maintenance Responsibility Areas, with a "Per Occurrence Limit" (covering bodily injury, death, personal injury, contractual liability and property damage liability) of not less than Three Million Dollars (\$3,000,000) for total Claims for any one occurrence, \$3,000,000 products and completed operations aggregate, and not less than \$3,000,000 for total Claims in the aggregate during one policy year. Such commercial general liability insurance shall name Declarant (until the Turnover Date), the Board, and the Owners (as a group and not individually), and First Mortgagees (as a group and not individually) as additional insureds. Such insurance shall include, if reasonably available as determined by the Board, (a) coverage against water damage liability, (b) coverage for medical payments; (c) a broad form named insured endorsement, and (d) a cross-liability or severability of interest endorsement insuring against liability to each other insured. No such liability insurance shall be deemed to limit any Person's indemnity obligations or any other obligation of any Person under this Declaration. Such insurance shall be written on an occurrence basis and not a claims made basis, except to the extent that "claims made" policies of this type are generally acceptable under reasonable risk management practices for similar developments in the San Diego County area, and shall include a cross-liability or severability of interest endorsement insuring each insured against liability to each other insured. The limits of liability of this Section may be provided by a combination of primary and/or excess insurance.

9.1.3 Workers' Compensation Insurance. The Maintenance Association shall obtain Workers' Compensation insurance in an amount sufficient to satisfy Applicable Law. The Maintenance Association shall also maintain Employee's Liability insurance of at least \$1,000,000 per occurrence.

9.1.4 Fidelity Bonds. The Maintenance Association shall obtain liability insurance providing coverage at least as broad as a current ISO commercial general liability insurance form and/or maintain fidelity bonds, employee dishonesty insurance, or commercial crime insurance including employee dishonesty insurance. Such insurance shall define non-compensated directors, officers, committee members, and volunteers as employees for purposes of coverage. Such insurance shall cover all Board members, Maintenance Association officers and employees, other Maintenance Association committee members and any Maintenance Association manager of the Maintenance Association (or collectively, "**Board Representatives**"), that have access to any Maintenance Association funds. If the Maintenance Association hires a management company, the theft of Maintenance Association assets by any representative of the management company shall be covered for the benefit of the Maintenance Association.

9.1.5 Directors and Officers Liability Insurance. The Maintenance Association shall obtain liability insurance providing coverage at least as broad as a current ISO

commercial general liability insurance form and maintain officers and directors liability insurance for officers, directors, committee members, and volunteers of the Maintenance Association. There shall be no exclusion(s) pertaining to acts of the Community Declarant's representatives who may be serving as directors and/or officers of the Maintenance Association.

9.1.6 Assessments for Insurance. The cost of insurance coverage required to be maintained by the Maintenance Association shall constitute a Common Expense and be included as part of the Regular Assessments. Notwithstanding the foregoing, the Board may allocate the cost of insurance as a Cost Center Assessment if the insurance coverage provides a particular benefit to the Owners in a Cost Center, as reasonably determined from time to time by the Board or as specified in the Cost Center Budget.

9.1.7 Other Insurance. The Maintenance Association shall maintain other types of insurance as the Board determines to be necessary to fully protect the interests of the Owners or as may be required by a Governmental Agency.

9.1.8 Insurance to Satisfy California Civil Code. Section 1365.7 of the California Civil Code provides for a partial limitation on the liability of volunteer officers and directors of the Maintenance Association, provided that certain requirements, as set forth in such California Code Section 1365.7 are satisfied. The requirements include that general liability insurance and officers' and directors' liability insurance be carried by the Maintenance Association in specified amounts. The Maintenance Association shall maintain general liability insurance and officers' and directors' liability insurance in amounts which satisfy the requirements of the California Civil Code Section 1365.7 to limit the liability of volunteer officers and directors of the Maintenance Association.

9.2 Requirements for Insurance to be Maintained by the Maintenance Association.

9.2.1 No Liability for Failure to Obtain Insurance. The Maintenance Association, the Board, and any manager of the Maintenance Association, shall have no liability to any Owner, Unit Owner or Mortgagee if, using good faith efforts, it is unable to obtain the insurance required hereunder because the insurance is no longer available at commercially reasonable rates or terms. In any such event, the Maintenance Association shall immediately notify each Owner and any Mortgagee entitled to notice that the insurance will not be obtained or renewed and such Owner shall then notify any Unit Owners and Mortgagees who may be entitled to such notice.

9.2.2 Adjustment of Claims. The Maintenance Association shall have the right and authority to adjust or modify from time to time the amount and scope of any or all insurance policies maintained by the Maintenance Association to reflect the amount and types of coverage that it determines appropriate in its discretion. The Board is appointed attorney-in-fact by each Owner, to negotiate and agree on the value and extent of any property damage under any policy carried by the Maintenance Association. The Board is granted full right and authority to compromise and settle any property damage claim under any policy of property insurance carried by the Maintenance Association or enforce any such claim by legal action or otherwise and to execute releases in favor of any insurer with respect to any such claim.

9.2.3 No Separate Insurance. No Owner or Unit Owner shall separately insure the Improvements on or within a Property against loss by fire or other casualty covered by any insurance carried by the Maintenance Association in a manner that will result in any diminution in insurance proceeds otherwise payable under the Maintenance Association's policies. The Maintenance Association allow Owners to review a copy of the Maintenance Association's policy to

enable Owners to insure their Property without duplicating insurance carried by the Maintenance Association and inadvertently triggering any co-insurance clause in the Maintenance Association's policy. If any Owner or Unit Owner violates this provision, any diminution in insurance proceeds otherwise payable under the Maintenance Association's policies that results from the existence of such other insurance will be chargeable to the Owner or Unit Owner who acquired other insurance.

9.2.4 Waiver of Subrogation; Damage by Owners and Unit Owners. The Maintenance Association waives and releases all claims against the Owners and Unit Owners for any damage to the real and personal property that the Maintenance Association is obligated under this Declaration to insure (including, without limitation, any loss of use, loss of income or similar loss or damage), except that the Maintenance Association may claim against an Owner or Unit Owner for property damage caused by that Owner or Unit Owner to the extent that either (i) the peril causing such damage is not covered by the property insurance required by this Declaration to be maintained by the Maintenance Association or actually maintained by the Maintenance Association (whichever is greater), provided that such Owner's or Unit Owner's liability for such uninsured damage is limited to the amount of liability insurance required to be maintained by such Owner or Unit Owner pursuant to this Declaration; (ii) the peril causing such damage is covered by the Maintenance Association's property insurance but the damage is within the amount of the deductible or self-insured retention, provided that such Owner's or Unit Owner's liability for such damage is limited to the amount of liability insurance required to be maintained by such Owner or Unit Owner pursuant to this Declaration; or (iii) such damage is caused by the gross negligence or willful misconduct of that Owner or Condominium Association. Any property insurance policy obtained by the Maintenance Association must contain a waiver of subrogation rights by the insurer consistent with this Section; provided, however, that a failure or inability of the Maintenance Association to obtain such a waiver from an insurer shall not defeat or impair the waivers between the Maintenance Association and the Owners and Unit Owners as set forth herein. If an Owner or Unit Owner is liable for damage under this Section, the Maintenance Association may, after Notice and Hearing, levy a Reimbursement Assessment equal to the cost of repairing the damage or any insurance deductible paid under the Maintenance Association's insurance policy, as applicable, and the increase, if any, in insurance premiums directly attributable to such damage. The waivers of claims and subrogation set forth in this Subsection apply only in favor of the Owners and Unit Owners and do not limit, waive, release or discharge any claims that the Maintenance Association (or its insurers) may have against any third party, including, without limitation, any contractor, service provider, agent, or Invitee; provided, that such waivers shall also apply in favor of an Owner's or Unit Owner's Occupant under a written lease agreement if and to the extent that the Owner or Unit Owner has similarly agreed in such lease agreement to a waiver of claims and subrogation against such Occupant.

9.3 General Provisions Applicable to Insurance Coverages The provisions in this Section 11.5 shall apply to all insurance required to be maintained under this Article 11.

9.3.1 Insurance Policy Requirements. All insurance policies carried pursuant to this Article shall be issued, placed and maintained with companies rated at least A-/III by S&P and/or AM Best's Insurance Service or an equivalent rating provided that if, in the exercise of the reasonable business judgment of the Board, consistent with sound insurance practices, the Maintenance Association determines that insurance provided by insurers with ratings consistent with the foregoing is not available at commercially reasonable rates, the insurance policies may be issued by insurance companies with ratings below the minimum ratings. In the event any insurer's rating falls below this minimum rating mid-policy year, reasonable provisions shall be taken to replace said insurer as soon as practicable.

9.3.2 Cancellation. The policies shall provide that such policies may not be cancelled or substantially modified without at least thirty (30) days' prior written notice to the Maintenance Association and, in the case of the Maintenance Association's policies, the Members of the Maintenance Association, or in the event of a cancellation for non-payment of a premium without at least ten (10) days' prior written notice to all insureds. If the insurance required by this Declaration shall be effected by blanket or master policies as permitted under this Section, any certificates of insurance provided under this Section shall include schedules attached thereto (with respect to property or building insurance) showing the amount of insurance afforded by such policies applicable to the Property which is being insured.

9.3.3 Deductibles. The Board shall adopt a policy regarding payment of deductibles on any insurance coverage. Unless the Board determines otherwise, the Maintenance Association shall pay deductibles required under any insurance claim from Maintenance Association funds, unless insufficient funds are available to the Maintenance Association from the Maintenance Association's accounts or from funds borrowed by the Maintenance Association in accordance with this Declaration, in which event the Maintenance Association shall levy a Special Assessment, in accordance with the provisions of this Declaration, with respect to the amount of any such deductible which exceeds funds available to the Maintenance Association from Maintenance Association funds or from borrowing.

9.3.4 Reimbursement. Any prepaid premiums paid by Declarant on behalf of the Maintenance Association shall be included in the Common Expenses and the Owners and Unit Owners hereby authorize the Declarant to obtain reimbursement from the funds of the Maintenance Association.

9.3.5 Periodic Insurance Review. The Board periodically (and not less than once every three years) shall review the Maintenance Association's insurance policies and make such adjustments to the policies' terms and conditions as the Board considers to be in the best interests of the Owners. If applicable, the review shall include an appraisal by a qualified appraiser of the current replacement costs of all covered property under the Maintenance Association's property insurance policy unless the Board is satisfied that the current dollar limit of the property insurance policy, coupled with the amount of actual reserves on hand, is equal to or greater than the current replacement costs.

9.3.6 Summary to the Members. The Maintenance Association shall annually distribute a summary of the Maintenance Association's insurance policies to the Members.

9.3.7 Copies of Policies. Copies of the property insurance policies and certificates of insurance and detailed summaries of the liability policies of the Maintenance Association shall be retained by the Maintenance Association and be available for inspection by the Owners at reasonable times. All such insurance policies shall provide that they shall not be cancelable or substantially modified by the insurer without first giving at least thirty (30) days' prior notice in writing to the Owners and Eligible Mortgage Holders. In addition to the foregoing, the Maintenance Association shall provide to the Owners such information regarding the insurance of the Maintenance Association as may be required by Applicable Laws or under the Maintenance Association Bylaws.

ARTICLE 10

DESTRUCTION OF IMPROVEMENTS

This Article addresses what happens in the event of any damage or destruction to the Covered Property.

10.1 Repair and Reconstruction of Damaged Improvements. Except as otherwise stated in this **Article 10**, if any of the Improvements in the Maintenance Responsibility Area are damaged or destroyed by fire or other casualty, the Maintenance Association shall effect or cause the Repair (as defined below) in accordance with the requirements set forth in **Section 10.1.1(d)**. As used in this **Article 10**, the term "Repair" or "Repaired" refers to any repair, restoration, reconstruction or replacement of the Project Improvements and any other portions of the Insured Property.

10.1.1 Insurance Proceeds Adequate If the cost of repairing or rebuilding the Maintenance Responsibility Areas does not exceed the amount of insurance proceeds initially offered or paid by the insurance carrier by more than ten percent (10%) of the cost of reconstruction then the following shall apply:

(a) All insurance proceeds shall be paid to a commercial bank or trust company designated by the Board to be held for the benefit of the Maintenance Association and the Owners and their First Mortgagees, as their interests shall appear.

(b) The Board shall levy a Special Assessment against the Owners and Unit Owners in the same manner as provided in **Article 5** equal to the difference between the cost of repairing or rebuilding and the amount of available insurance proceeds, which sums shall be payable into the fund held by the Insurance Trustee.

(c) When the amount held by the Insurance Trustee is sufficient to pay the costs of repair and reconstruction, the Board shall thereupon contract for the repair or reconstruction of the Improvements, paying the cost of such work from the amount held by the Insurance Trustee, said repair or reconstruction to be for the purpose of returning the Improvements substantially to their appearance and condition immediately prior to the casualty.

(d) The Maintenance Association may rebuild such damaged or destroyed common facilities in a different manner, or in a different location within the Community Use Areas, or Maintenance Responsibility Area, provided that such Board action shall require consent of at least a Majority of the Board. If the Board cannot reach such a majority decision, any such change shall require the vote or written assent of a Majority of the Voting Power. In any event, if such changed plans require additional capital so as to constitute a Capital Improvement Assessment, the written assent of the Members representing at least a Majority of the Voting Power must be obtained if so required by **Article 5** of this Declaration. Notwithstanding the foregoing, if the damage or destruction affects only portions of a Cost Center, the vote or written consent of only Members within the applicable Cost Center shall be required.

10.1.2 Insurance Proceeds Inadequate. If the cost of such repairing or rebuilding exceeds the amount of available insurance by more than ten percent (10%) of the cost of reconstruction, then all insurance proceeds shall be deposited as provided in **Section 10.1.1(a)** the Board shall levy a Special Assessment and such damage and destruction shall constitute an Emergency Situation under **Section 5.6.1** and therefor the limitations set forth in **Section 5.6** shall

not apply. Any deductibles required to be paid by the Master Association as the result of a casualty event shall also be deemed to be an Emergency Situation for purposes of Section 5.6.1 and the limitations set forth in Section 5.6 shall not apply. Any decision regarding whether to levy a Special Assessment shall be made as soon as reasonably practical after the Maintenance Association determines that Insurance Proceeds are not adequate to complete the Repair but not later than sixty (60) days after the Maintenance Association determines that the Insurance Proceeds are not adequate to complete the Repair. Notwithstanding the foregoing, if the damage or destruction affects only portions of a Cost Center, the vote or written consent of only Members within such Cost Center shall be required. If the Members determine not to levy such Special Assessment, then the Board shall use the insurance proceeds available to make such restoration or repair as soon as reasonably possible or to clear the site of the damaged premises and complete such repairs as the Board deems appropriate and the costs thereof shall be paid for with the insurance proceeds. Any deficiency may be raised by a Reconstruction Assessment in an amount determined by the Board. In the event any excess insurance proceeds remain, the Board, in its sole discretion, may retain such sums in the general funds of the Maintenance Association or distribute pro-rata all or a portion thereof to the Members, subject to the prior rights of Mortgagees whose interest may be protected by insurance policies carried by the Maintenance Association. The rights of the Owners and the Owner's Mortgagee, if any, as to such pro-rata distribution shall be governed by the provisions of any Mortgage encumbering such Property.

ARTICLE 11

EMINENT DOMAIN

The City or other Governmental Agencies can exercise rights of eminent domain that allow the City or other Governmental Agencies to "take" all or a portion of the Covered Property. This Section describes what happens if a taking of all or a portion of the Covered Property occurs.

11.1 Condemnation. The term "taking" as used in this Article shall mean condemnation by eminent domain or sale under threat of condemnation. In the event of a threatened taking of all or any portion of the Maintenance Responsibility Areas or if any action is brought to condemn all or any portion of the Maintenance Responsibility Areas or a sale of all or a part thereof is made in lieu of condemnation, the Members hereby appoint the Board and such persons as the Board may delegate to represent all of the Owners in connection with the taking. The Board shall act, in its sole discretion, with respect to any awards being made in connection with the taking and shall be entitled to make a voluntary sale to the condemnor in lieu of engaging in a condemnation action. Any awards received on account of the taking shall be paid to the Maintenance Association, and used, held or distributed as reasonably deemed appropriate by the Board subject to the provisions hereof.

11.2 Total Taking. If the taking is of the entire Maintenance Responsibility Areas, the amount payable shall be paid to the Board as trustee for distribution to the Owners, subject to the rights of Mortgagees holding Mortgages covering the properties and all unpaid Assessments of each Owner, together with any interest charges attributable thereto. If the Owner is an Owners Association or Master Association, the Owners Association or Master Association shall distribute such proceeds in accordance with the procedures set forth in the Owners Association Documents. Said proceeds shall be distributed to the Owners and their respective Mortgagees according to the relative values of the respective properties in the Covered Property determined by an independent appraisal made by a qualified MAI real estate appraiser selected by the Board. The rights of an Owner and the Mortgagee as to such pro-rata distribution shall be governed by the provisions of the Mortgage encumbering such Property.

11.3 Minor Taking. If the award is for the acquisition of only part of the Maintenance Responsibility Areas and is less than ten percent (10%) of the value of all Maintenance Responsibility Areas, the entire amount thereof shall be payable to the Board and such amount, together with any interest earned thereon, shall be held by the Maintenance Association for the construction of capital Improvements on other portions of the Maintenance Responsibility Areas.

11.4 Major Taking. If the award is for the acquisition of only part of the Maintenance Responsibility Areas, but is in excess of ten percent (10%) of the value of all Maintenance Responsibility Areas, the Board, in its sole discretion, may retain all or any part thereof in the general funds of the Maintenance Association for the purpose of constructing alternative facilities for those so taken, or may distribute all or any part thereof to the Owners, as their interests appear, subject however, to any unpaid Assessments and the rights of Mortgagees, in the manner set forth above.

ARTICLE 12

ANNEXATION OF REAL PROPERTY

12.1 Annexation. Declarant may annex any of the Annexable Property by any of the methods set forth in this Article. To the extent there are minor boundary changes or lot line adjustments to the Annexable Property, any additional portions of land added as a result of such boundary or lot line adjustments shall be included within the Annexable Property. Declarant intends to sequentially develop the Annexable Property on a phased basis. However, Declarant may elect not to develop all or any part of the Annexable Property, to annex the Annexable Property to this Declaration in increments of any size whatsoever, or to develop more than one such increment at any given time and in any given order. Although Declarant shall have the ability to annex the Annexable Property as provided in this Article, Declarant shall not be obligated to annex all or any portion of the Annexable Property, and the Annexable Property shall not become subject to this Declaration unless and until a Supplementary Declaration covering it has been recorded. Until the Turnover Date, no Person other than Declarant may annex any of the Annexable Property without the prior consent of Declarant.

12.2 Annexation Without Approval. All or any part of the Annexable Property may be annexed by Declarant and become subject to this Declaration and subject to the jurisdiction of the Maintenance Association without the approval, assent or vote of the Maintenance Association or its Members.

12.2.1 Annexation Pursuant to Approval. If any Person other than Declarant desires to add property other than the Additional Property to the plan of this Declaration and to subject such property to the jurisdiction of the Maintenance Association and this Declaration, then such property may be annexed, if the vote or written assent of Declarant and Members representing sixty-seven percent (67%) of the Voting Power of the Maintenance Association is obtained and the Owners of the property to be annexed have consented to such annexation.

12.2.2 Covenants Running With the Land. Declarant may transfer all or any portion of the Annexable Property to a Guest Builder under a grant deed wherein Declarant reserves the right to annex such property and subject it to this Declaration. The restriction on the Annexable Property wherein it may be made subject to this Declaration upon the recordation of a Supplementary Declaration is hereby declared to be an equitable servitude upon the Annexable Property in favor of the Covered Property subject to this Declaration and any other real property owned by Declarant in the vicinity of the Covered Property and shall run with the land and be

binding on and inure to the benefit of all Persons having or acquiring any right, title or interest in such real property.

12.2.3 Use Restriction Exemption. Declarant, Guest Builders, and any Person to whom Declarant may assign all or a portion of its Declarant's rights under this Declaration is exempt from the restrictions established in **Article 6**.

12.2.4 Exercise of Rights. Each Owner grants an irrevocable, special power of attorney to Declarant and Guest Builders to execute and record all documents and maps necessary to allow Declarant to exercise its rights under this Article.

12.3 Mergers or Consolidations. Upon a merger or consolidation of the Maintenance Association with another association, the Maintenance Association's properties, rights and obligations may, by operation of law, be transferred to the surviving or consolidated association, or, alternatively, the properties, right and obligations of another association may, by operation of law, be added to the properties, rights and obligations of the Maintenance Association as a surviving corporation pursuant to a merger. The surviving or consolidated association may administer the covenants, conditions and restrictions established by this Declaration within the Covered Property, together with the covenants and restrictions established upon any other property as one plan.

12.4 Annexations Under Supplementary Declarations. Supplementary Declarations shall be recorded for each Annexation pursuant to this **Article 12**.

12.5 De-Annexation. Declarant may delete all or any portion of the Covered Property from the coverage of this Declaration or any Supplementary Declaration, provided (a) Declarant, a Declarant Party and/or a Guest Builder are the sole Owner(s) of all of the real property to be deleted, (b) with respect to such Covered Property, Assessments have not commenced and/or (c) the consent of the Owners of the portion of the Covered Property to be deannexed have been obtained. Such deletion shall be effective upon the recordation of a Supplementary Declaration or equivalent document, signed by Declarant and consented to by the affected Owner. Prior to annexation, Declarant may also, upon recordation of a Supplementary Declaration, delete any portion of the Annexable Property by so designating such portion of land to be excluded from the Annexable Property in a Supplementary Declaration.

ARTICLE 13

RIGHTS OF LENDERS

Certain Mortgagees need to protect their interests in the Covered Property. This Article gives certain Mortgagees rights to protect their security interests.

13.1 Conflict. Notwithstanding any contrary provision contained elsewhere in the Documents, the provisions of this Article shall control with respect to the rights and obligations of Mortgagees as specified herein.

13.2 Subordination of Lien to First Mortgages; Liability for Unpaid Assessments. If any Parcel or Condominium is encumbered by a First Mortgage made in good faith and for value, the foreclosure of any lien created by any provision set forth in this Declaration by power of sale or judicial foreclosure for Assessments, or installments of Assessments, shall not affect or impair the lien of the First Mortgage. The lien of Assessments shall be subordinate to the lien of any First Mortgage now or hereafter placed upon any Parcel or Condominium subject to Assessments. Any

First Mortgagee or other purchaser who obtains title to a Parcel or a Condominium pursuant to the remedies provided in the First Mortgage (including foreclosure of the First Mortgage or acceptance of deed in lieu thereof) shall take the property free of any claims for unpaid Assessments or charges against the Parcel or Condominium which became due and payable prior to the date such First Mortgagee or other purchaser acquired title unless the Owner of the Parcel or Condominium causes the exercise of such remedies (including foreclosure or deed in lieu thereof) to avoid payment of existing and unpaid Assessments. No such sale or transfer shall relieve the Parcel or Condominium from any Assessments thereafter becoming due or from the lien of any subsequent Assessments. A First Mortgagee or other purchaser who obtains title to a Parcel or a Condominium pursuant to the remedies provided in the First Mortgage shall be obligated to pay any Assessments that become due and payable on or after the date it acquires title to the Parcel or Condominium and as long as it remains in title, including any Special Assessments levied by the Maintenance Association to raise operating, reserve or other funds needed because of uncollected delinquent Assessments.

13.3 Notice to Eligible Holders. An Eligible Holder is entitled to timely written notice of the following events:

13.3.1 Any condemnation loss or casualty loss that affects a material portion of the Community Use Areas;

13.3.2 Any delinquency in the payment of Assessments owed by an Owner that is subject to a First Mortgage held by the Eligible Holder if the delinquency is not cured within sixty (60) days after its due date;

13.3.3 Any lapse, cancellation or material modification of any insurance policy or fidelity bond maintained by the Maintenance Association;

13.3.4 Any proposal to take any action specified in this **Article 13** or in **Articles 14 and 15**;

13.3.5 Any default by a Unit Owner that is subject to a First Mortgage held by the Eligible Holder in the performance of his or her obligations under this Declaration or the Maintenance Association Bylaws which is not cured within sixty (60) days; or

13.3.6 Any proposed action that requires the consent of a specified percentage of the Eligible Holders.

13.4 Inspection of Books and Records. Upon request, any First Mortgagee shall be entitled to inspect the books, records and financial statements of the Maintenance Association and the Governing Documents during normal business hours or under other reasonable circumstances.

13.5 Financial Statements. The Maintenance Association, at its expense, shall prepare an audited financial statement for the immediately preceding Fiscal Year and furnish the most recent audited financial statements to the First Mortgagee within a reasonable time after receipt of written request from any First Mortgagee.

13.6 Actions Requiring Eligible Holder Approval. Unless at least sixty seven percent (67%) of the Eligible Holders and at least sixty seven percent (67%) of the Eligible Holders of any First Mortgages encumbering the Residential Condominiums (in each case, based on one (1) vote

for each First Mortgage owned) have given their prior written approval, the Maintenance Association shall not be entitled to:

13.6.1 Change the fundamental purpose for which the Covered Property was created or terminate or abandon the status of the Governing Documents;

13.6.2 By act or omission abandon, partition, subdivide, encumber, sell or transfer any Maintenance Association Property. (The granting of easements for public utilities or for other public purposes consistent with the intended use of the Covered Property by the Maintenance Association and the Owners shall not be deemed a transfer within the meaning of this Section);

13.6.3 Except as specifically authorized under the Governing Documents, change the share of Assessments charged to, or the voting rights attributable to, any Member;

13.6.4 Except as specifically authorized under the Governing Documents, change the provisions applicable to reconstruction in the event of damage, or permit the use of insurance proceeds payable to or for the account of any Unit Owner by reason of loss or damage to any portion of the Covered Property to be used for other than the repair, replacement or reconstruction thereof;

13.6.5 Change any provision which, by its terms, is specifically for the benefit of Mortgagees or specifically confers rights on Mortgagees; or

13.6.6 Amend this Article 13.

13.7 **Mortgagee Protection.** A breach of any of the conditions contained in this Declaration shall not defeat nor render invalid the lien of any First Mortgage made in good faith and for value as to any Parcel or Condominium; provided, however, that the conditions contained in this Declaration shall be binding upon and effective against any Owner or Unit Owner from and after such Owner or Unit Owner's acquisition of a Parcel or Condominium by foreclosure, trustee's sale or otherwise.

13.8 **Rights of Cure; Voting Rights on Default.** In case of default by any Unit or Unit Owner in the payment of Assessments, a First Mortgagee may pay any Assessments or take any action reasonably necessary to cure any other default by such Owner or Unit Owner with the same effect as such cure by the Owner or Unit Owner itself. A First Mortgagee encumbering a Parcel with no Owners Association shall be entitled to exercise such voting rights upon delivery to the Maintenance Association of a notice certifying that such a default has occurred and that such Mortgagee is entitled to exercise such rights pursuant to its agreement with the Owner of such Parcel.

13.9 **Appearance at Meetings.** Because of its financial interest in the Covered Property, any First Mortgagee may appear (but cannot vote except as may be provided for herein) at meetings of the Members and the Board to draw attention to violations of this Declaration that have not been corrected or made the subject of remedial proceedings or Assessments.

13.10 **Right to Furnish Information.** Any First Mortgagee can furnish information to the Board concerning the status of any First Mortgage

ARTICLE 14

AMENDMENT AND TERM OF DECLARATION

This Article describes the procedures and requirements for amendments to this Declaration. Each Owner acknowledges that corrections and supplements to this Declaration may be necessary and that it is important to give Declarant the right to record such Supplementary Declarations without the consent of any Owner except as otherwise provided in this Declaration.

14.1 Amendments.

14.1.1 Amendments Prior to Commencement of Assessments. Prior to the commencement of Assessments under the Declaration, Declarant, without the consent of any Owner, may amend this Declaration. To the extent requested by Declarant, any Guest Builder which owns any portion of the Covered Property then subject to this Declaration shall execute any such amendment or restatement of this Declaration.

14.1.2 Amendments Subsequent to Commencement of Assessments. After the conveyance of a Property to an Owner or Unit Owner, other than Declarant or Guest Builders, this Declaration may be amended by the vote or written consent of at least a Majority of the Voting Power of each class of Members of the Maintenance Association. After conversion of the Class B membership in the Maintenance Association to Class A membership, this Declaration may be amended at any time and from time to time by the vote or written consent of (a) at least a Majority of the total Voting Power of the Members of the Maintenance Association, and (b) at least a Majority of the Voting Power of the Members of the Maintenance Association other than Declarant.

14.2 Amendment to Eliminate Easements Until the Turnover Date, the Declaration may not be amended without the consent of Declarant. This Declaration cannot be amended to modify or eliminate the easements or any other rights reserved to Declarant herein without prior written approval of Declarant and any attempt to do so shall have no effect. Any attempt to modify or eliminate this Section shall likewise require Declarant's prior written approval.

14.3 Amendments Regarding Urban Amenity Trail. The provisions of Section 3.6.22 shall not be amended to eliminate the right of the public to use the Urban Amenity Trail without the consent of 100% of the Owners and, to the extent required by the City, the consent of the City.

14.4 Conflict With Article 15 or Other Provisions of This Declaration. To the extent any provisions of this Article conflict with the provisions of Article 15 or any other provision of this Declaration, the provisions of Article 15 or the other provisions shall control.

ARTICLE 15

TERM AND ENFORCEMENT

This Declaration and the easements, covenants, conditions and restrictions established under the Declaration will continue in effect for 99 years and thereafter will continue unless a certain percentage of the Owners elect to terminate the Declaration. This will help to ensure the continued operation, use and viability of the Covered Property. This Article also describes the enforcement rights granted to the Declarant and the Maintenance Association and, to the extent applicable, to Owners.

15.1 Term. The covenants, conditions and restrictions of this Declaration shall run with and bind the Covered Property and shall inure to the benefit of and be enforceable by the Maintenance Association or any Member, their respective legal representatives, heirs, successors and assigns, for a term of ninety-nine (99) years from the date this Declaration is recorded, after which time said covenants, conditions and restrictions shall be automatically extended for successive periods of ten (10) years each, unless an instrument, signed by ninety percent (90%) of the then Owners and ninety percent (90%) of their Mortgagees at least one (1) year prior to the end of any such period in the manner required for a conveyance of real property, in which it is agreed that this Declaration shall terminate at the end of the then-applicable term.

15.2 Enforcement and Nonwaiver.

15.2.1 Rights of Enforcement of Governing Documents. The Declarant and the Maintenance Association, acting through the Board, shall have the right to enforce, by proceedings at law or in equity, all restrictions, conditions, covenants and restrictions, now or hereafter imposed by the provisions of the Governing Documents or any amendment thereto, including the right to prevent the violation of such restrictions, conditions, covenants, or reservations and the right to recover damages or other dues for such violation. Failure of the Declarant or the Maintenance Association to enforce any covenants or restrictions herein contained shall in no event be deemed a waiver of the right to do so thereafter.

15.2.2 Procedure for Enforcement. Notwithstanding anything to the contrary set forth in Section 15.2.1 in enforcing any action under the Governing Documents for monetary damages, injunctive relief or declaratory relief (excluding claims in Small Claims Court), the parties shall comply with the applicable notice and delivery requirements and other provisions of California Civil Code Section 1350 et seq. relating to such enforcement action. The exception for disputes related to Assessments set forth in Section 1354 shall not apply to disputes between a Member and the Maintenance Association regarding Assessments imposed by the Maintenance Association, if the Member chooses to pay in full the Maintenance Association all of the Assessments as specified in California Civil Code Section 1366.3.

15.3 Notice of Actions Against Declarant. All legal actions against Declarant initiated by the Maintenance Association, an Owner or other claimant ("Claimant"), with respect to a Repair Issue, as defined below, shall be resolved in accordance with and subject to the terms of this Article. The Maintenance Association shall comply with the provisions of California Civil Code Sections 1368.4, prior to the filing of any civil action by the Maintenance Association against the Declarant or other Guest Builder within the Covered Property for either alleged damage to the Maintenance Responsibility Areas or other property within the Covered Property that the Maintenance Association is obligated to maintain or repair, or alleged damage to any other portion of the Covered Property, to the Maintenance Responsibility Areas or other property that the Maintenance Association is obligated to maintain or repair ("Repair Issue"). Such notice shall specify all of the matters set forth in California Civil Code Sections 1368.4 as applicable.

15.4 Notice to Seller. In the event that a Claimant discovers any Repair Issue, Claimant shall, within a reasonable time after discovery, notify the Maintenance Association, in writing, of the specific nature of such Repair Issue and such other matters as required by applicable law ("Notice of Repair Issue"). Such notice shall include: (i) a description of the Repair Issue, (ii) the date upon which the Repair Issue was discovered, and (iii) dates and times when the Claimant will be available during ordinary business hours so that service calls or inspections by Maintenance Association can be scheduled.

15.5 Right to Enter, Inspect, Repair and/or Replace. Within thirty (30) days after the receipt by Maintenance Association of a Notice of Repair Issue or the independent discovery of any Repair Issue by Maintenance Association, Maintenance Association shall have the irrevocable right, upon reasonable notice to Claimant and during normal business hours, to enter onto or into, the applicable Covered Property for the purposes of inspecting and, if deemed necessary by Maintenance Association, repairing and/or replacing any Improvement which is the subject of the Repair Issue. In conducting such inspection, repairs and/or replacement Maintenance Association shall be entitled to take any actions as it shall deem reasonable and necessary under the circumstances, and Claimant shall reasonably cooperate with the Maintenance Association. If Claimant fails to cooperate to arrange a mutually-convenient date and time for inspection, or fails to permit Maintenance Association or its agent access to perform its inspection, the time for performance for Maintenance Association or its agent to complete the inspection and/or to take any further action hereunder shall be extended until Claimant complies, but in no event shall such Claimant's actions toll any applicable statutes of limitations nor shall Claimant have any right to seek any other rights or remedies unless Claimant complies with all the requirements hereof.

15.6 Offer to Repair. Within thirty (30) days after the inspection, if Maintenance Association elects to proceed with the repair, Maintenance Association shall provide Claimant with an offer in writing to repair the violation. Such written offer shall include a statement of the violation that is being repaired, explaining the nature, scope and location of the repair, and setting a reasonable completion date for the repair. The offer shall also include the names, addresses, telephone numbers and license numbers of the contractors whom Maintenance Association intends to have perform the repair. The offer to repair shall be accompanied by an offer to mediate over the scope of nature of the offer to repair if Claimant so chooses. The mediator shall be selected jointly and the costs of such mediator shall be split equally by Maintenance Association and Claimant. The mediator shall have sufficient availability such that the mediation occurs within fifteen (15) days after the request to mediate is received and occurs at a mutually convenient location. If, after four (4) hours, the mediation has failed to resolve the dispute over the offer to repair, the Claimant shall allow the repair to be performed by Maintenance Association or its contractor.

15.7 Nature of Repairs. With respect to any Repair Issue which Maintenance Association elects to repair, such repair shall be completed in conformance with industry standards, subject to Applicable Laws and regulations, including the time necessary to obtain any applicable building or other permits, and subject to unavoidable delays, including, without limitation, inclement weather, earthquake, flood, other acts of God, war, terrorism, unavailability of parts or materials, labor shortages, strikes, riots, insurrection, or other similar matters. Maintenance Association shall make reasonable effort to complete the repair within one hundred twenty (120) days, or within such time as may be reasonable under the circumstances given the nature of the repair. Under no circumstances shall Maintenance Association or any of Maintenance Association's Agents be obligated to improve any Improvements beyond the original standard set forth in applicable building or other codes in effect at the time of original construction. Each Claimant, by acceptance of a deed acknowledges, understands and agrees that no Claimant nor the Board nor the Association has any rights to recover any damages or expenses circumstantially or otherwise related to any Repair Issue, including, without limitation, expenses incurred due to inconvenience or unpleasantness relating to the Repair Issue, lost business income as a result of nuisance, delays or disruptions, or any similar costs or expenses. In the event that Claimant alleges that a repair completed pursuant to the procedures set forth in this Section is not properly completed, or if Maintenance Association fails to follow such procedures, Claimant shall have the right to institute mediation/arbitration proceedings pursuant to Section 15.11 below.

15.8 Similar Requirements Under Civil Code Section 1375. California Civil Code Section 1375 sets forth a process which must be followed by owners' associations prior to filing complaints for damages against persons such as Declarant and Declarant's Agents with respect to design and/or construction. Such process includes requirements to provide various notices and time to respond. To the extent that (i) the provisions hereunder in this Section are enforced by the Maintenance Association, (ii) the provisions hereunder in this Section are substantially similar to such provisions in Section 1375 of the California Civil Code, and (iii) an action is subsequently commenced under Section 1375 of the California Civil Code, the Maintenance Association shall be excused from performing the substantially similar requirements under Section 1375 of the California Civil Code.

15.9 No Effect on Code of Civil Procedure Section 411.35. California Code of Civil Procedure Section 411.35 requires that before claims for professional negligence may be filed against certain design professionals (e.g., architects, engineers or land surveyors), the claimant's attorney must provide certification that (i) it has reviewed the applicable facts, consulted with experts, and concluded that there is a reasonable and meritorious cause for filing an action, or (ii) the attorney was unable to so consult with such experts (a) despite making at least three (3) good faith attempts, or (b) because of pending expiration of the applicable statute of limitations for filing of the claim. Nothing herein shall be interpreted to eliminate or abrogate the requirement to comply with Section 411.35 of the Code of Civil Procedure or to effect the liability of design professionals, including architects and architectural firms.

15.10 Legal Actions. All legal actions initiated by a Claimant shall be brought in accordance with, and subject to the term of this Article as hereinafter set forth. In the event a Claimant initiates any legal action, cause of action, proceeding, reference or arbitration against Declarant or Declarant's agents or contractors (collectively, "**Declarant's Agents**"), alleging damages (i) for the costs of repairing or the replacement of all or any portion of the Community (including any Repair Issue), (ii) for the diminution in value of any real or personal property resulting from such Repair Issue, or (iii) for any consequential damages resulting from such Repair Issue, any judgment or award in connection therewith shall first be used to correct and or repair such Repair Issue or to reimburse the Claimant for any costs actually incurred by such Claimant in correcting and/or repairing the Repair Issue. Any excess funds remaining after repair of such Repair Issue shall be paid into the Maintenance Association's applicable reserve fund.

15.11 Alternative Dispute Resolution Procedure. The purpose of this Section 15.11 is to provide an expedited means of resolving any claims, disputes and disagreements which may arise between (a) the Maintenance Association and/or an Owner and (b) Declarant after the close of escrow or other conveyance of any portion of the Property by Declarant that are not resolved pursuant to the procedures set forth above (individually referred to as "**Dispute**", collectively as "**Disputes**"). **THIS PROCESS INVOLVES WAIVER OF THE RIGHT TO A JURY TRIAL. BY RECORDATION OF THIS DECLARATION AND BY ACCEPTING A DEED TO ANY PORTION OF THE PROPERTY, RESPECTIVELY, DECLARANT, EACH OWNER AND THE ASSOCIATION, AGREE TO BE BOUND BY THE PROVISIONS OF THIS ARTICLE 15.11.** Notwithstanding the foregoing, a Guest Builder may impose its own dispute resolution procedures for disputes between an Owner, Unit Owner and a Guest Builder which do not include Declarant and/or the Maintenance Association.

15.11.1 Mediation. Subject to the provisions of Section 15.11.2 below, and except for actions in small claims court or Disputes that have already been mediated, Owner, Maintenance Association and Declarant agree to submit any and all Disputes to mediation with Judicial Arbitration and Mediation Services ("**JAMS**"), prior to disputes commencing arbitration. The

cost of mediation shall be paid by Declarant, but each party shall bear its own attorneys' fees and costs.

15.11.2 Arbitration.

(a) Agreement to Arbitrate. The Maintenance Association, each Claimant and Declarant shall resolve any Dispute not resolved as provided above exclusively through binding arbitration in the county in which the Property is located. This arbitration provision shall apply to Disputes of any kind or nature regardless of when the Dispute first arose or the nature of the relief sought.

(b) Waiver of Trial by Judge or Jury. By agreeing to resolve all Disputes through binding arbitration, the Maintenance Association, each Claimant and Declarant each give up the right to have their respective claims and defenses decided by a judge or a jury. Instead all claims and defenses will be decided by the arbitrator, or by the appeal arbitrator(s), if applicable.

(c) Rules Applicable to All Cases. The arbitration will be conducted either by JAMS in accordance with the JAMS rules ("JAMS Rules") then applicable to the claims presented, as supplemented by this paragraph, or by an alternative arbitration service mutually agreed upon by all parties to the arbitration ("Alternative Arbitration Service") which Alternative Arbitration Service shall apply such arbitration services standard rules ("Alternative Arbitration Rules"). The following supplemental rules shall apply to all arbitration proceedings and shall govern in the event of a conflict between the rules set forth below and the rules of JAMS, or the Alternative Arbitration Rules as applicable.

(d) Qualifications and Appointment of Arbitrators. The arbitrator shall be neutral, impartial and either a retired judge or a member or former member of the California State Bar with at least fifteen (15) years experience as a practicing lawyer. The arbitrator shall be mutually agreed upon and shall be selected in accordance with the JAMS Rules, or the Arbitration Rules, as applicable, but in no event shall such arbitration be selected more than sixty (60) days after a notice of claim is filed.

(e) JAMS Fees; Attorney Fees and Costs. All fees charged by JAMS or the Alternative Arbitration Service and the arbitrator shall be advanced by Declarant. If Declarant is the prevailing party in the arbitration, the arbitrator may, in his or her discretion and only to the extent permitted by law and the JAMS Minimum Standards of Procedural Fairness, direct the Claimant to reimburse the Declarant all or part of the JAMS fee and arbitrator's fee advanced by the Declarant. Each party shall bear its own attorneys fees and costs, except those attorneys fees and costs to which a party may be entitled as a remedy by Applicable Law.

(f) Preliminary Procedures. If state or federal law requires the Maintenance Association or an Claimant or Declarant to take steps or procedures before commencing an action in court, then the Claimant or Declarant must take such steps or follow such procedures, as the case may be, before commencing the arbitration. Nothing contained herein shall be deemed a waiver or limitation of the provisions of California Civil Code Sections 1368.4, 1375, 1375.05 or 1375.1.

(g) Participation by Other Parties. The Maintenance Association, an Claimant and Declarant, to the extent any such party is defending a claim in the arbitration, may, if it chooses, have all necessary and appropriate parties included as parties to the arbitration.

(h) **Rules of Law.** The arbitrator must follow California substantive law (including statutes of limitations) but strict conformity with the rules of evidence is not required, except that the arbitrator shall apply Applicable Law relating to privilege and work product. The arbitrator shall be authorized to provide all recognized remedies available at law or equity for any cause of action.

15.11.3 Additional Rules Applicable to Certain Cases. In any arbitration in which a claim of Owner, the Maintenance Association or Declarant exceeds \$250,000 in value, the following additional rules will supplement the JAMS Rules and govern in the event of a conflict between the following rules and the rules set forth above, the JAMS Rules, or both.

(a) **Qualifications of Arbitrator.** In addition to the requirements of Paragraph 15.11.2(c) above, the arbitrator shall be a retired judge of the California Superior Court, a California Court of Appeal, or the California Supreme Court.

(b) **Rules of Law** The California Evidence Code shall apply.

(c) **Written Decision.** Within thirty (30) days after the hearing is closed, the arbitrator must issue a written decision. If either Owner or Declarant requests it, the arbitrator must issue a reasoned award.

15.11.4 Procedure for Appeal of Certain Cases. In any arbitration in which a claim or arbitration award of the Maintenance Association, Owner or Declarant exceeds \$500,000 in value, the Maintenance Association, Owner and Declarant hereby adopt and agree to the JAMS Optional Appeal Procedure. The following additional rules will supplement the JAMS Optional Appeal Procedure or any appeal procedures of the Alternative Arbitration Service, as applicable, and shall govern in the event of a conflict between the following rules and the JAMS Optional Appeal Procedure.

(a) **Right of Appeal.** There shall be no right to appeal unless the oral evidence received by the arbitrator was preserved in a manner such that it can be converted to an accurate and reliable written transcript.

(b) **Appellate Panel.** An appeal shall be decided by one (1) neutral appeal arbitrator unless either party, within the time permitted for the appointment of the appeal arbitrator, elects to have the appeal decided by a panel of three (3) appeal arbitrators. Any party who elects to have an appeal decided by a panel of three (3) appeal arbitrators agrees to be solely responsible for the cost of having two (2) additional appeal arbitrators. The sole appeal arbitrator, or at least one member of any panel of three (3) arbitrators, shall have prior experience as a member of an appellate panel of the California Court of Appeal.

(c) **Issues on Appeal.** The only issues that may be considered on appeal are: (1) the award of money was excessive; (2) the award of money was insufficient; (3) the arbitrator awarded non-monetary relief that was inappropriate; (4) a party who received non-monetary relief should have received other or additional relief. A majority of the appeal arbitrators may affirm the arbitration award or make any alternative award they find to be just, but they must not reject the arbitrator's decisions (a) that a particular party is entitled to relief of some nature or amount or (b) that a particular party is responsible to provide relief of some nature or amount.

(d) **Expenses and Costs on Appeal.** The fees charged by JAMS or the Alternative Arbitration Service and the appeal arbitrator(s) shall be advanced by Declarant,

except as provided in Paragraph 15.11.2(c)(ii) above. The party who files the appeal must, at its sole expense, provide JAMS and all non-appealing parties with a certified copy of the hearing transcript, and must provide JAMS with copies of all documentary evidence and all other tangible evidence received by the arbitrator. If more than one party appeals, the appealing parties must share equally the cost of the transcript and copies of all other documentary and tangible evidence received by the arbitrator. The appeal arbitrators may, within thirty (30) days of their determination award costs of the nature provided in the Federal Rules of Appellate Procedure. If Declarant is the prevailing party on appeal, the appeal arbitrator(s) may, in his, her or their discretion and only to the extent permitted by law and JAMS Minimum Standards Of Procedural Fairness, include all or part of the JAMS fee, or the Alternative Arbitration Service, and arbitrator's fee advanced by Declarant in the award of costs on appeal.

(e) New Evidence. The appeal arbitrators must not receive new evidence. The appeal arbitrators must make their decision based only on the evidence that was presented to the arbitrator, except that the appeal arbitrators may visit any site involved in the Dispute.

(f) Federal Arbitration Act. Because many of the materials and products incorporated into the Community are manufactured in other states, the development and conveyance of the Property evidences a transaction involving interstate commerce and the Federal Arbitration Act (9 U.S.C. §1, et seq.) now in effect and as it may be hereafter amended will govern the interpretation and enforcement of the arbitration provisions of this Declaration.

(g) Final and Binding Award. The decision of the arbitrator or, if an appeal is heard, the decision of the appeal arbitrators, shall be final and binding. A petition to confirm, vacate, modify or correct an award may be filed in any court of competent jurisdiction in the county in which the Property is located, but the award may be vacated, modified or corrected only as permitted by the Federal Arbitration Act.

NOTICE: EACH OWNER AND UNIT OWNER AGREES TO HAVE ANY DISPUTE ARISING OUT OF THE MATTERS INCLUDED IN THIS SECTION ENTITLED "ARBITRATION OF DISPUTES" DECIDED BY NEUTRAL, BINDING ARBITRATION IN ACCORDANCE WITH THE FEDERAL ARBITRATION ACT AND THE CALIFORNIA ARBITRATION ACT, TO THE EXTENT THE CALIFORNIA ARBITRATION ACT IS NOT INCONSISTENT WITH THE FEDERAL ARBITRATION ACT. OWNER AND UNIT OWNER IS GIVING UP ANY RIGHTS IT MIGHT POSSESS TO HAVE THE DISPUTE LITIGATED IN A COURT OR JURY TRIAL OR OTHER PROCEEDING. EACH OWNER, BY ACCEPTANCE OF A DEED TO A CONDOMINIUM, IS GIVING UP ITS JUDICIAL AND/OR STATUTORY RIGHTS TO DISCOVERY AND APPEAL, EXCEPT TO WHATEVER EXTENT ANY RIGHTS ARE SPECIFICALLY INCLUDED IN THIS ARBITRATION AGREEMENT. IF AN OWNER OR UNIT OWNER OR THE MAINTENANCE ASSOCIATION REFUSES TO SUBMIT TO ARBITRATION, (I) SUCH PARTY MAY BE COMPELLED TO ARBITRATE UNDER THE FEDERAL ARBITRATION ACT AND THE CALIFORNIA ARBITRATION ACT, AND/OR (II) ARBITRATION MAY GO FORWARD IN THE ABSENCE OF THE REFUSING PARTY.

ARTICLE 16

GENERAL PROVISIONS

This last Article sets forth the general provisions which govern the Covered Property.

16.1 Estoppel Certificates. The Maintenance Association, at any time and from time to time, upon not less than twenty (20) days' prior written notice, shall execute, acknowledge and deliver to the requesting Owner and to any prospective purchaser, tenant or Mortgagee of such Owner, an estoppel certificate of the Maintenance Association: (i) that this Declaration is unmodified and in full force and effect (or, if there have been modifications, that this Declaration is in full force and effect as modified and stating the modifications), (ii) to the best of the Maintenance Association's knowledge, whether or not there are then existing any defenses against the enforcement of any of the obligations of such party under this Declaration (and, if so, specifying same), (iii) to the best of the Maintenance Association's knowledge, whether or not there are then existing any defaults by the applicable Owner or Unit Owner under this Declaration (and, if so, specifying same), (iv) the dates, if any, to which Assessments and other charges under this Declaration have been paid by such party and the amounts of the most recently charged Assessments, and (v) any other information that may reasonably be required by any of such persons. It is intended that any such certificate delivered pursuant to this Section 16.1 may be relied upon by the requesting Owner or any prospective purchaser, tenant or Mortgagee of any portion of the Covered Property. The Maintenance Association may charge a reasonable fee to prepare the estoppel certificate. Unit Owners are not entitled to request estoppels directly and only the Owners Association or Master Association for such Unit Owner may request the estoppel.

16.2 Owners Association Authority. The board of directors of an Owners Association or Master Association shall have the full power and authority to take any and all actions on behalf of such Owners Association or Master Association and to bind the Owners Association or Master Association and its members with respect to any of the rights and duties of the Owners Association or Master Association under this Declaration, and the consent of the members of the Owners Association or Master Association shall not be required unless the action would require consent of the members of the Owners Association or Master Association pursuant to California Civil Code Section 1366(b) or unless consent is specifically required under the Owners Association Declaration. The Maintenance Association shall not be liable to any Unit Owner if the Maintenance Association, acting in good faith, accepts any consent or approval by such Owners Association or Master Association and the Maintenance Association shall have no obligation to verify whether the Owners Association or Master Association has obtained the consents of its members.

16.3 Owners Association Declaration Amendment. In no event may any Owners Association Declaration be amended, modified or supplemented in any way which materially and adversely affects this Declaration or the other Governing Documents, without the consent of the Maintenance Association.

16.4 Headings. The headings used in this Declaration are for convenience only and are not to be used to interpret the meaning of any of the provisions of this Declaration.

16.5 Severability. The provisions of this Declaration shall be deemed independent and severable, and the invalidity or partial invalidity or unenforceability of any provision or provisions of it shall not invalidate any other provisions. In the event that any phrase, clause, sentence, paragraph, section, article or other portion of this Declaration shall other portion of this Declaration shall become illegal, null, void, against public policy, or otherwise unenforceable, for any reason, the

remaining portions of this Declaration shall not be affected thereby and shall remain in force and effect to the fullest extent permissible by Applicable Laws.

16.6 Cumulative Remedies. Each remedy provided for in this Declaration shall be cumulative and not exclusive. Failure to exercise any remedy provided for in this Declaration shall not, under any circumstances, be construed as a waiver.

16.7 Violations as Nuisance. Every act or omission in violation of the provisions of this Declaration shall constitute a nuisance and, in addition to all other remedies herein set forth, may be abated or enjoined by any Owner, any member of the Board, the manager, or the Maintenance Association.

16.8 Access to Books. Declarant may, at any reasonable time and upon reasonable notice to the Board or manager, at his or her own expense, cause an audit or inspection to be made of the books and financial records of the Maintenance Association.

16.9 Liberal Construction. The provisions of this Declaration shall be liberally construed to effectuate its purpose. Failure to enforce any provision hereof shall not constitute a waiver of the right to enforce said provision thereafter.

16.10 Notification of Sale of Property. Concurrently with the consummation of the conveyance of any Property under circumstances whereby the transferee becomes an Owner thereof, or within five (5) business days thereafter, the transferee shall notify the Board or the manager of the Maintenance Association in writing of such sale. Such notification shall set forth the name of the transferee and his or her mortgagee and transferor, the common address of the Building Portion purchased by the transferee, the transferee's and the mortgagee's mailing address, and the date of sale. Prior to the receipt of such notification, any and all communications required or permitted to be given by the Maintenance Association, the Board or the manager shall be deemed to be duly made and given to the transferee if duly and timely made and given to said transferee's transferor.

16.11 Notices. Mailing addresses may be changed at any time upon written notification to the Board. Unless otherwise permitted hereunder, notices shall be in writing and shall be given by certified mail, return receipt requested, overnight courier or personal delivery. Notices shall be deemed received three (3) days after mailing if mailed by certified mail, return receipt requested, one (1) business day after deposit with an overnight courier or upon receipt if delivered in person. All notices to the Maintenance Association shall be delivered to the current address of the Maintenance Association. All notices to an Owner shall be delivered to a Parcel or Building Portion unless an Owner notifies the Maintenance Association in writing of a change of address.

16.12 Number; Gender. The singular shall include the plural and the plural the singular unless the context requires the contrary, and the masculine, feminine and neuter shall each include the masculine, feminine or neuter, as the context requires.

16.13 Exhibits. All exhibits referred to are attached to this Declaration and incorporated by reference.

16.14 Binding Effect. This Declaration shall inure to the benefit of and be binding on the successors and assigns of the Declarant, and the heirs, personal representatives, grantees, tenants, successors and assigns of the Owners and Unit Owners.

16.15 Statutory References. All references in this Declaration to various statutes, codes, regulations, ordinances and other laws shall be deemed to include those laws in effect as of the date of this Declaration and any successor laws as may be amended from time to time.

16.16 Governing Law. This Declaration shall be governed by and construed under the laws of the State of California.

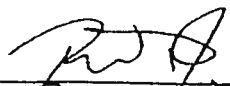
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10327

IN WITNESS WHEREOF, Declarant has executed this Declaration as of the date first written
above.

DECLARANT:

Pardee Homes, a California corporation

By: 
Name: ROBERT DAWSON
Title: VICE PRESIDENT

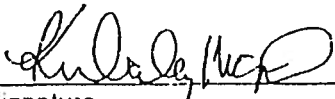
STATE OF CALIFORNIA)
)
COUNTY OF San Diego)

On 8/2/09, before me, Kimberly Wright, Notary Public,

personally appeared Robert Dawson
who proved to me on the basis of satisfactory evidence to be the person(s) whose name(s) is/are
subscribed to the within instrument and acknowledged to me that he/she/they executed the same in
his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the
person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing
paragraph is true and correct.

WITNESS my hand and official seal.


Signature

(Seal)



LIST OF EXHIBITS

- Exhibit "A"LEGAL DESCRIPTION OF THE COVERED PROPERTY
Exhibit "B"LEGAL DESCRIPTION OF THE ANNEXABLE PROPERTY
Exhibit "C" CONSERVATION EASEMENT AREAS
Exhibit "D"DETENTION BASINS
Exhibit "E"MAINTENANCE ASSOCIATION ARTICLES
Exhibit "F" MAINTENANCE ASSOCIATION BYLAWS
Exhibit "G" URBAN AMENITY AREA AND URBAN AMENITY TRAIL

ALL DEPICTIONS ON EXHIBITS ARE FOR ILLUSTRATIVE PURPOSES ONLY. ALL DIMENSIONS ON EXHIBITS ARE APPROXIMATE ONLY. THE ACTUAL LOCATION AS INSTALLED SHALL CONTROL.

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EXHIBIT "A"

LEGAL DESCRIPTION OF THE COVERED PROPERTY

LOTS 1 THROUGH 147, INCLUSIVE, A, B, C, E AND F, OF PACIFIC HIGHLANDS RANCH UNIT NO. 6, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, ACCORDING TO MAP THEREOF NO. 15573, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, JUNE 29, 2007.

EXHIBIT "B"

10331

LEGAL DESCRIPTION OF THE ANNEXABLE PROPERTY

The description of the Annexable Property may be modified or supplemented by Declarant in a Supplementary Declaration as provided under this Declaration.

PARCEL A: (APN 305-010-31)

THOSE PORTIONS OF SECTION 9, TOWNSHIP 14 SOUTH, RANGE 3 WEST, SAN BERNARDINO MERIDIAN, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, ACCORDING TO THE OFFICAL PLAT THEREOF, AS DESCRIBED IN THE FOLLOWING PARCELS 1 AND 2.

PARCEL 1:

THE NORTHWEST QUARTER OF THE SOUTHWEST QUARTER.

PARCEL 2:

THE EASTERLY 100.00 FEET OF THE SOUTHWEST QUARTER OF THE SOUTHWEST QUARTER.

EXCEPTING THEREFROM THAT PORTION THEREOF LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 1, ACCORDING TO MAP THEREOF NO. 14311, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 7 ACCORDING TO MAP THEREOF NO. 14816, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY.

PARCEL B: (APN 305-010-19 AND PORTIONS OF 305-010-31)

THE NORTHEAST QUARTER OF THE SOUTHWEST QUARTER OF SECTION 9, TOWNSHIP 14 SOUTH, RANGE 3 WEST, SAN BERNARDINO MERIDIAN, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, ACCORDING TO THE OFFICAL PLAT THEREOF.

PARCEL C: (APN 305-010-30)

THE SOUTHWEST QUARTER OF THE SOUTHWEST QUARTER OF SECTION 9, TOWNSHIP 14 SOUTH, RANGE 3 WEST, SAN BERNARDINO MERIDIAN, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, ACCORDING TO THE OFFICAL PLAT THEREOF.

EXCEPTING FROM SAID SOUTHWEST QUARTER OF THE SOUTHWEST QUARTER OF SECTION 9, THE EASTERLY 100.00 FEET THEREOF.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 1, ACCORDING TO MAP THEREOF NO. 14311, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 7, ACCORDING TO MAP THEREOF NO. 14816, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY.

PARCEL D: (APN 305-010-29)

THE SOUTHEAST QUARTER OF THE SOUTHWEST QUARTER OF SECTION 9, TOWNSHIP 14 SOUTH, RANGE 3 WEST, SAN BERNARDINO MERIDIAN, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, ACCORDING TO THE OFFICIAL PLAT THEREOF.

EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 1, ACCORDING TO MAP THEREOF NO. 14311, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 7, ACCORDING TO MAP THEREOF NO. 14816, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 10, ACCORDING TO MAP THEREOF NO. 14817, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY.

PARCEL E: (APN 305-010-32)

THE WEST HALF OF THE SOUTHEAST QUARTER OF SECTION 9, TOWNSHIP 14 SOUTH, RANGE 3 WEST, SAN BERNARDINO MERIDIAN, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, ACCORDING TO THE OFFICIAL PLAT THEREOF.

EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 7, ACCORDING TO MAP THEREOF NO. 14816, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 10, ACCORDING TO MAP THEREOF NO. 14817, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 5, ACCORDING TO MAP THEREOF NO. 14754, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY.

PARCEL F: (APN 305-010-35 AND 305-011-09)

PARCEL 1 OF PARCEL MAP NO. 11/18, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, OCTOBER 9, 1981.

EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 5, ACCORDING TO MAP THEREOF NO. 14754 FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY MARCH 19, 2004.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 10, ACCORDING TO MAP THEREOF NO. 14817, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, MAY 28, 2004.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 6, ACCORDING TO MAP THEREOF NO. 15537, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, JUNE 29, 2007.

PARCEL G: (APN 305-010-34, 305-011-10, 305-021-27 AND 305-022-01)

PARCEL 2 OF PARCEL MAP NO. 11718, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, OCTOBER 9, 1981.

EXCEPTING THEREFROM THAT PORTION LYING SOUTHEASTERLY OF THE BASELINE OF THAT WATER EASEMENT TO THE CITY OF SAN DIEGO, RECORDED MARCH 31, 1971 AS FILE NO. 61545 OF OFFICIAL RECORDS.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 5, ACCORDING TO MAP THEREOF NO. 14754 FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY MARCH 19, 2004.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PARCEL MAP NO. 19625, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, DECEMBER 14, 2004 AS FILE NO. 2004-1174904 OF OFFICIAL RECORDS.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 6, ACCORDING TO MAP THEREOF NO. 15537, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, JUNE 29, 2007.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 21 AND 22 MORE PARTICULARLY DESCRIBED AS FOLLOWS:

BEGINNING AT THE NORTHEAST CORNER OF PARCEL 2 OF SAID PARCEL MAP NO. 11718; THENCE ALONG THE EASTERLY LINE OF SAID PARCEL 2

- | | | |
|-------------------------|--------------|---|
| 1. SOUTH 00°23'13" WEST | 1340.93 FEET | TO THE TRUE POINT OF BEGINNING;
THENCE LEAVING SAID EASTERLY LINE, |
| 2. SOUTH 89°15'20" EAST | 303.25 FEET, | THENCE |
| 3. SOUTH 03°08'45" WEST | 211.41 FEET | TO THE BEGINNING OF A 260.00 FOOT
RADIUS CURVE CONCAVE
NORTHWESTERLY; THENCE ALONG THE ARC
OF SAID CURVE |
| 4. SOUTHWESTERLY | 56.02 FEET | THROUGH A CENTRAL ANGLE OF 12°20'45";
THENCE |
| 5. SOUTH 15°29'30" WEST | 416.79 FEET | TO THE BEGINNING OF A NON-TANGENT
1789.00 FOOT RADIUS CURVE CONCAVE
NORTHWESTERLY, A LINE RADIAL TO SAID
POINT BEARS SOUTH 27°05'40" EAST;
THENCE ALONG THE ARC OF SAID CURVE |
| 6. SOUTHWESTERLY | 231.76 FEET | THROUGH A CENTRAL ANGLE OF 07°25'21"; |

THENCE

7. SOUTH 70°19'41" WEST	396.13 FEET	TO THE BEGINNING OF A 1911.00 FOOT RADIUS CURVE CONCAVE SOUTHEASTERLY; THENCE ALONG THE ARC OF SAID CURVE
8. SOUTHWESTERLY	179.17 FEET	THROUGH A CENTRAL ANGLE OF 05°22'19"; THENCE
9. SOUTH 64°57'22" WEST	395.68 FEET	TO THE BEGINNING OF A 1911.00 FOOT RADIUS CURVE CONCAVE SOUTHEASTERLY; THENCE ALONG THE ARC OF SAID CURVE
10. SOUTHWESTERLY	338.20 FEET	THROUGH A CENTRAL ANGLE OF 10°08'24"; THENCE
11. SOUTH 54°48'58" WEST	217.82 FEET	TO THE BEGINNING OF A 20.00 FOOT RADIUS CURVE CONCAVE NORTHERLY, SAID POINT ALSO LYING ON THE EASTERLY RIGHT-OF- WAY LINE OF LOPELIA MEADOWS PLACE DEDICATED PER DEED RECORDED DECEMBER 16, 2005 AS DOC. NO. 2005-1080844 OF OFFICAL RECORDS AND MAP NO. 15573; THENCE ALONG SAID EASTERLY LINE AND THE ARC OF SAID CURVE
12. WESTERLY	31.75 FEET	THROUGH A CENTRAL ANGLE OF 90°57'12"; THENCE ALONG SAID EASTERLY LINE, THE FOLLOWING ELEVEN COURSES:
13. NORTH 34°13'50" WEST	94.50 FEET	TO THE BEGINNING OF A 412.00 FOOT RADIUS CURVE CONCAVE NORTHEASTERLY; THENCE ALONG THE ARC OF SAID CURVE
14. NORTHWESTERLY	151.84 FEET	THROUGH A CENTRAL ANGLE OF 21°06'57"; THENCE
15. NORTH 13°06'53" WEST	101.29 FEET;	THENCE
16. NORTH 82°31'33" EAST	23.85 FEET	TO THE BEGINNING OF A NON-TANGENT 512.00 FOOT RADIUS CURVE CONCAVE SOUTHWESTERLY, A LINE RADIAL TO SAID POINT BEARS NORTH 75°02'21" EAST; THENCE ALONG THE ARC OF SAID CURVE
17. NORTHWESTERLY	195.34 FEET	THROUGH A CENTRAL ANGLE OF 21°51'35"; THENCE
18. NORTH 36°49'14" WEST	106.15 FEET	TO THE BEGINNING OF A 1062.00 FOOT RADIUS CURVE CONCAVE SOUTHWESTERLY; THENCE ALONG THE ARC OF SAID CURVE
19. NORTHWESTERLY	57.17 FEET	THROUGH A CENTRAL ANGLE OF 05°14'33";

		THENCE
20. NORTH 42°03'47" WEST	395.04 FEET;	THENCE
21. SOUTH 59°43'23" WEST	18.90 FEET;	THENCE
22. NORTH 42°03'47" WEST	13.25 FEET	TO THE BEGINNING OF 456.50 FOOT RADIUS CURVE CONCAVE NORTHEASTERLY; THENCE ALONG THE ARC OF SAID CURVE
23. NORTHWESTERLY	161.92 FEET	THROUGH A CENTRAL ANGLE OF 20°12'24"; THENCE LEAVING SAID EASTERLY LINE
24. NORTH 68°15'37" EAST	67.04 FEET;	THENCE
25. NORTH 77°30'58" EAST	166.73 FEET;	THENCE
26. NORTH 70°55'40" EAST	98.48 FEET;	THENCE
27. NORTH 67°41'12" EAST	26.34 FEET;	THENCE
28. NORTH 62°59'24" EAST	76.56 FEET;	THENCE
29. NORTH 69°38'06" EAST	432.69 FEET;	THENCE
30. NORTH 52°12'13" EAST	43.48 FEET;	THENCE
31. NORTH 57°12'01" EAST	100.00 FEET;	THENCE
32. NORTH 57°11'32" EAST	50.00 FEET;	THENCE
33. NORTH 55°57'51" EAST	113.31 FEET;	THENCE
34. NORTH 63°53'19" EAST	54.00 FEET	TO THE BEGINNING OF A NON-TANGENT 973.00 FOOT RADIUS CURVE CONCAVE NORTHEASTERLY, A LINE RADIAL TO SAID POINT BEARS SOUTH 63°53'19" WEST; THENCE ALONG THE ARC OF SAID CURVE
35. SOUTHEASTERLY	82.91 FEET	THROUGH A CENTRAL ANGLE OF 04°56'27" TO THE BEGINNING OF A NON-TANGENT 3266.00 FOOT RADIUS CURVE CONCAVE SOUTHEASTERLY, A LINE RADIAL TO SAID POINT BEARS NORTH 23°59'17" WEST; THENCE ALONG THE ARC OF SAID CURVE
36. NORTHEASTERLY	229.12 FEET	THROUGH A CENTRAL ANGLE OF 04°01'10" TO THE BEGINNING OF A COMPOUND CURVE HAVING A RADIUS OF 121.00 FOOT; THENCE ALONG THE ARC OF SAID CURVE
37. NORTHEASTERLY	76.09 FEET	THROUGH A CENTRAL ANGLE OF 36°01'49" TO THE BEGINNING OF A REVERSE CURVE HAVING A RADIUS OF 238.00 FOOT; THENCE

ALONG THE ARC OF SAID CURVE

- | | | |
|--------------------------|--------------|---|
| 38. SOUTHEASTERLY | 65.80 FEET | THROUGH A CENTRAL ANGLE OF 15°50'25";
THENCE |
| 39. SOUTH 89°46'43" EAST | 450.01 FEET; | THENCE |
| 40. NORTH 82°59'54" EAST | 98.39 FEET | TO THE BEGINNING OF A 51.00 FOOT RADIUS
CURVE CONCAVE SOUTHWESTERLY;
THENCE ALONG THE ARC OF SAID CURVE |
| 41. SOUTHEASTERLY | 77.49 FEET | THROUGH A CENTRAL ANGLE OF 87°03'33";
THENCE |
| 42. SOUTH 09°56'33" EAST | 133.86 FEET | TO THE TRUE POINT OF BEGINNING. |

EXCEPTING THEREFROM THOSE PORTIONS OF RANCHO SANTA FE FARMS ROAD DEDICATED PER DEED RECORDED SEPTEMBER 1, 1982 AS DOC. NO. 82-271466 OF OFFICIAL RECORDS.

PARCEL H: (APN 305-011-03, 04 AND 05)

THOSE PORTIONS OF SECTION 9, TOWNSHIP 14 SOUTH, RANGE 3 WEST, SAN BERNARDINO MERIDIAN, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, ACCORDING TO THE OFFICIAL PLAT THEREOF, AS DESCRIBED IN THE FOLLOWING PARCELS 1 AND 2.

PARCEL 1:

THE SOUTH HALF OF THE NORTHWEST QUARTER AND THE NORTHWEST QUARTER OF THE SOUTHWEST QUARTER

PARCEL 2:

THE SOUTHWEST QUARTER OF THE NORTHEAST QUARTER

EXCEPTING THEREFROM THE EASTERLY 24 ACRES.

PARCEL I: (APN 304-031-17)

THE EASTERLY HALF OF THE SOUTHEAST QUARTER OF SECTION 8, TOWNSHIP 14 SOUTH, RANGE 3 WEST, SAN BERNARDINO MERIDIAN, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, ACCORDING TO OFFICIAL PLAT THEREOF.

EXCEPTING THEREFROM THOSE PORTIONS LYING WITHIN N. C. W. NEIGHBORHOOD 4A, UNIT 4, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA ACCORDING TO MAP THEREOF NO. 12149, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, AUGUST 16, 1988.

ALSO EXCEPTING THEREFROM THAT PORTION THEREOF LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 1, ACCORDING TO MAP THEREOF NO. 14311, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY.

PARCEL J: (APN 305-021-13)

THE SOUTHWEST QUARTER OF THE SOUTHWEST QUARTER OF SECTION 10, TOWNSHIP 14 SOUTH, RANGE 3 WEST, SAN BERNARDINO MERIDIAN, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, ACCORDING TO THE OFFICIAL PLAT THEREOF.

EXCEPTING THEREFROM THAT PORTION LYING SOUTHERLY OF THE CENTERLINE OF OLD SURVEY 57 ALSO KNOWN AS BLACK MOUNTAIN WAY DEDICATED PER BOARD OF SUPERVISORS MINUTES DATED FEBRUARY 27, 1886, IN BOOK 7, PAGE 200.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 5, ACCORDING TO MAP THEREOF NO. 14754 FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY MARCH 19, 2004.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PARCEL MAP NO. 19625, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, DECEMBER 14, 2004 AS FILE NO. 2004-1174904 OF OFFICIAL RECORDS.

ALSO EXCEPTING THEREFROM THAT PORTION LYING WITHIN PACIFIC HIGHLANDS RANCH UNIT NO. 6, ACCORDING TO MAP THEREOF NO. 15537, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, JUNE 29, 2007.

PARCEL K: (APN 306-011-33)

PARCEL 2 OF PARCEL MAP NO. 12027, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, MARCH 26, 1982 AS FILE NO. 82-082638 OF OFFICIAL RECORDS.

EXCEPTING THEREFROM THAT PORTION CONVEYED TO THE CITY OF SAN DIEGO IN DEED RECORDED DECEMBER 28, 2001 AS FILE NO. 2001-0965036 OF OFFICIAL RECORDS.

PARCEL L: (APN 305-071-18 AND 305-041-01)

THE EAST HALF OF THE WEST HALF OF THE SOUTHEAST QUARTER, AND THE EAST HALF OF THE SOUTHEAST QUARTER OF SECTION 10; THE SOUTHERLY 400 FEET THE SOUTHWEST QUARTER OF THE NORTHWEST QUARTER, THE WEST HALF OF THE NORTHWEST QUARTER OF THE SOUTHWEST QUARTER, AND THE WEST HALF OF THE SOUTHWEST QUARTER OF THE SOUTHWEST QUARTER OF SECTION 11; AND THE EAST HALF OF THE WEST HALF OF THE NORTHEAST QUARTER, THE NORTHEAST QUARTER OF THE NORTHEAST QUARTER, THE NORTHEAST QUARTER OF THE SOUTHEAST QUARTER, AND THE EAST HALF OF THE NORTHWEST QUARTER OF THE SOUTHEAST QUARTER OF SECTION 15, ALL BEING IN TOWNSHIP 14 SOUTH, RANGE 3 WEST, SAN BERNARDINO BASE AND MERIDIAN, IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA, ACCORDING TO THE OFFICIAL PLAT THEREOF.

EXCEPTING THEREFROM SAID SECTION 10, THAT PORTION LYING NORTHERLY OF THE CENTER LINE OF THAT DIRT ROAD (KNOWN AS BLACK MOUNTAIN ROAD OR FOURTH STREET EXTENSION) RUNNING IN A GENERALLY EAST-WEST DIRECTION THROUGH THE SOUTH HALF OF

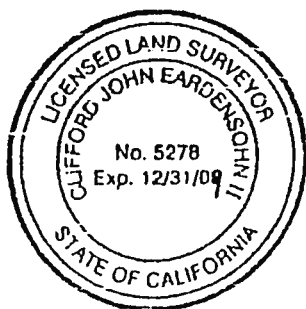
10338

SECTION 10, AS SAID ROAD EXISTED AND WAS LOCATED ON AUGUST 31, 1956.

ALSO EXCEPTING THEREFROM THAT PORTION OF THE SOUTHEAST QUARTER OF SAID SECTION 10 LYING NORTHWESTERLY OF THE CENTER LINE OF THE 60 FOOT EASEMENT TO THE CITY OF SAN DIEGO, RECORDED SEPTEMBER 1, 1982, RECORDER'S FILE NO. 82-271465 OF OFFICIAL RECORDS.

ALSO EXCEPTING THEREFROM THAT PORTION THEREOF LYING WITHIN PARCEL MAP NO. 12027, FILED IN THE OFFICE OF THE COUNTY RECORDER OF SAN DIEGO COUNTY, MARCH 26, 1982.

ALSO EXCEPTING THEREFROM THAT PORTION CONVEYED TO THE CITY OF SAN DIEGO IN DEED RECORDED DECEMBER 28, 2001 AS FILE NO. 2001-0965036 OF OFFICIAL RECORDS.



BY *John Eardensohn*
JOHN EARDENSOHN, L.S. 5278
(MY LICENSE EXPIRES 12-31-09)

DATED: 6/19/09

10339

PARCEL M:

LOTS A AND B OF PACIFIC HIGHLANDS RANCH UNIT 7 ACCORDING TO MAP NO. 14816 FILED IN THE OFFICE OF THE SAN DIEGO COUNTY RECORDER ON MAY 28, 2004 IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA.

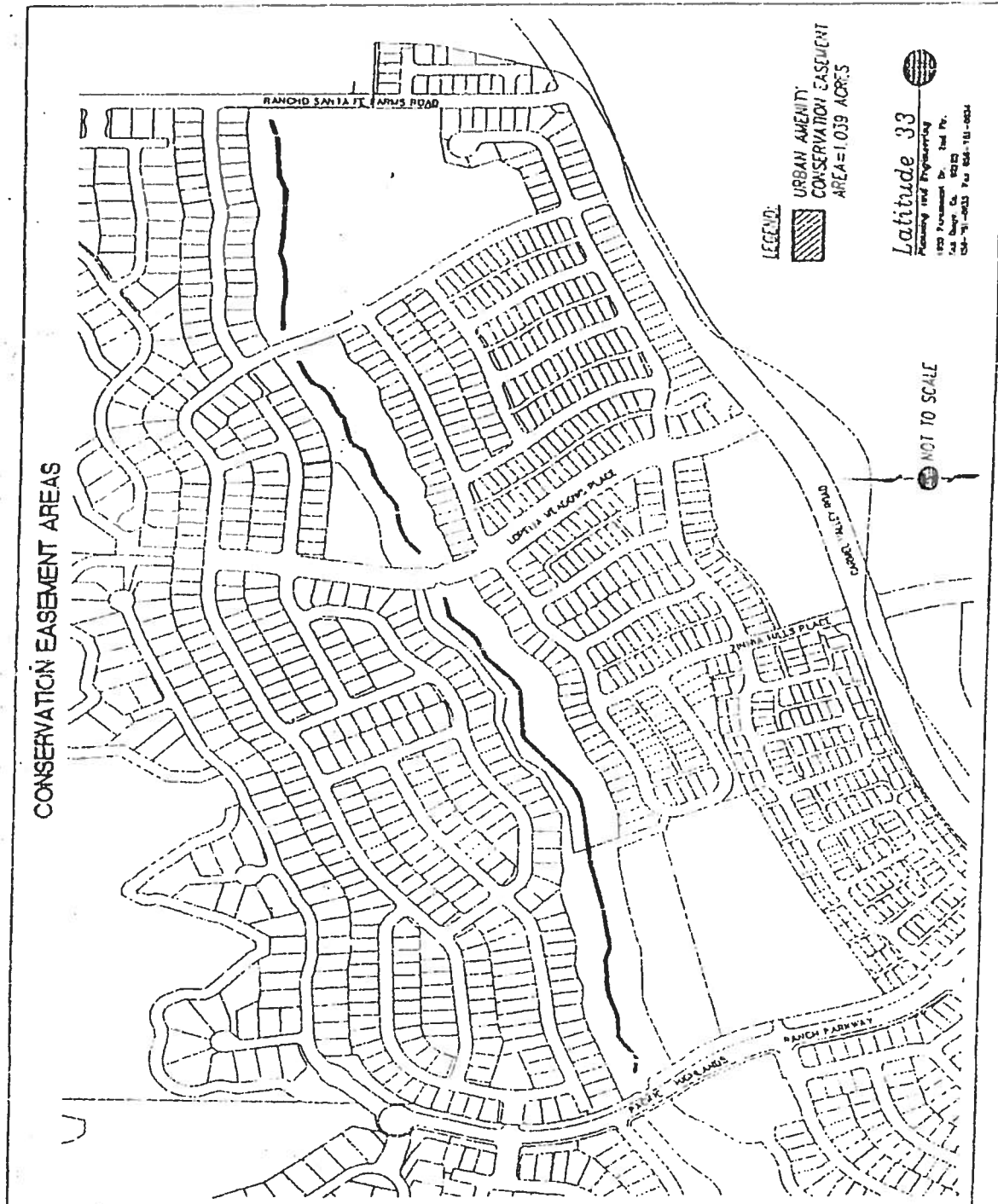
PARCEL N:

LOTS B, C, D, E, F AND G OF PACIFIC HIGHLANDS RANCH UNIT 12 ACCORDING TO MAP NO. 15034 FILED IN THE OFFICE OF THE SAN DIEGO COUNTY RECORDER ON JUNE 23, 2005 IN THE CITY OF SAN DIEGO, COUNTY OF SAN DIEGO, STATE OF CALIFORNIA.

EXHIBIT "C"

10340

CONSERVATION EASEMENT AREAS



10341

EXHIBIT "D"

DETENTION BASINS

This exhibit depicts the approximate location of actual and proposed future Detention Basins. The location and number of the Detention Basins may change and detention basins may be eliminated. Additional Detention Basins may be identified in a Supplementary Declaration. The areas within which the Detention Basins are located are included in the Conservation Easement Areas.

[Attached Hereto]

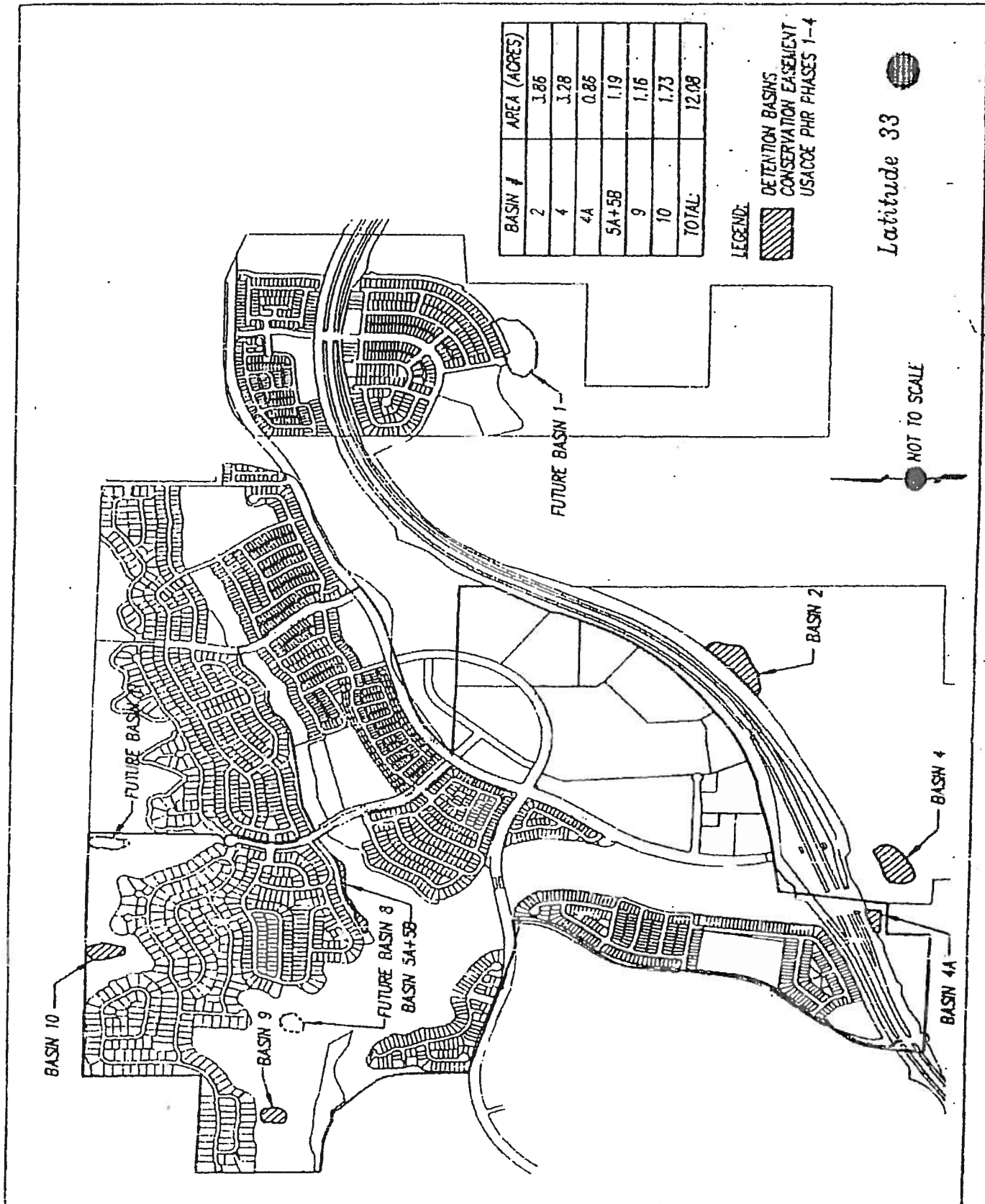


EXHIBIT "E"

MAINTENANCE ASSOCIATION ARTICLES

ARTICLES OF INCORPORATION

OF

PHR MAINTENANCE ASSOCIATION,
a California nonprofit mutual benefit corporation

I

The name of this corporation is PHR Maintenance Association (hereinafter referred to as the "Association").

II

A. This corporation is a nonprofit mutual benefit corporation organized under the Nonprofit Mutual Benefit Corporation Law. The purpose of this corporation is to engage in any lawful act or activity, other than credit union business, for which a corporation may be organized under such law.

B. This corporation does not contemplate pecuniary gain or profit to the members thereof. This corporation is an association formed to manage a common interest development, under the Davis-Stirling Common Interest Development Act, and the specific primary purposes for which it is formed are to provide for management, administration, maintenance, preservation and architectural control of the residential lots and association property within that certain tract of property situated in the City of San Diego, County of San Diego, California, commonly known as Pacific Highlands Ranch. Subject to the provisions of the recorded or to be recorded Declaration of Covenants, Conditions and Restrictions of PHR Maintenance Association applicable to the development (hereinafter referred to as the "Declaration"), the general purposes and powers of the Association are:

- (1) to promote the health, safety and welfare of the residents within the development;
- (2) to exercise all of the powers and privileges and to perform all of the duties and obligations of the Association arising from the Declaration;
- (3) to fix, levy, collect and enforce payment by any lawful means, all charges or assessments pursuant to the terms of the Declaration and to pay all expenses in connection therewith and all office and other expenses incident to the conduct of the business of the Association, including all licenses, taxes and governmental charges levied or imposed against the property of the Association;
- (4) to acquire (by gift, purchase or otherwise), own, hold, improve, build upon, operate, maintain, convey, sell, lease, transfer, dedicate for public use or otherwise dispose of real or personal property in connection with the affairs of the Association;
- (5) to borrow money, and to mortgage, pledge, deed in trust, or hypothecate any or all of its real or personal property as security for money borrowed or debts incurred;
- (6) to have and to exercise any and all powers, rights and privileges which a corporation organized under the Nonprofit Mutual Benefit Corporation Law of the State of California by law may now or hereafter have or exercise; and
- (7) to act in the capacity of principal, agent, joint venturer, or partner, or otherwise.

The foregoing statement of purposes shall be construed as a statement both of purposes and of powers, and purposes and powers in each clause shall in no way be limited or restricted by reference to or inference from the terms or provisions of any other clause, but shall be broadly construed as independent purposes and powers. Notwithstanding any of the above statements of purposes and powers, the Association shall not, except to an insubstantial degree, engage in any activities or exercise any powers that are not in furtherance of the primary purposes of the Association.

III

The initial business address of the Association is: c/o Pardee Homes, 10880 Wilshire Blvd, Suite 1900, Los Angeles, CA 90024. The nearest front and side streets of the development are Zinnia Hills Place and Lopelia Meadows Place. The nine digit zip code of the development is 92130-0000.

IV

This Association is intended to qualify as a Homeowners' Association under the applicable provisions of the Internal Revenue Code, and of the Revenue and Taxation Code of California. No part of the net earnings of this organization shall inure to the benefit of any private individual, except as expressly provided in those Sections with respect to the acquisition, construction, or provision for management, maintenance, and care of the Association property, and other than by a rebate of excess membership dues, fees, or assessments. In the event of the dissolution, liquidation, or winding up of the Association, upon or after termination of the Community, in accordance with provisions of the Declaration, its assets remaining after payment, or provision for payment, of all debts and liabilities of the Association, shall be divided among and distributed to the members in accordance with their respective rights therein.

V

These Articles may be amended only by the affirmative vote or written consent of a majority of the Board of Directors of this Association and the affirmative vote, in person or by proxy, or written consent of Members representing a majority of the voting power of the Association Members which shall include a majority of the votes of Members other than Declarant, or where the Class B membership is still in effect, as provided in the Declaration and the Bylaws, a majority of voting power of Class A membership and of Class B membership. The vote on a proposed amendment to these Articles shall be held by secret written ballot in accordance with the procedures set forth in California Civil Code Section 1363.03 and the rules adopted by the Board of Directors of this Association pursuant thereto.

VI

The authorized number and qualifications of Members of the Association, the different classes of members, if any, the property, voting, and other rights and privileges of Members, and their liability for assessments and the method of collection thereof, shall be as set forth in the Bylaws.

VII

The Declarant under the Declaration shall be entitled to designate a majority of the members of the Association's Board of Directors in conjunction with the first (but only the first) election of directors by the Members of the Association.

VIII

The name of the Association's initial agent for service of process is: Barbara Bail. The address of its initial agent is: Pardee Homes, 10880 Wilshire Blvd., Suite 1900, Los Angeles CA 90024.

IX

The name and address of the Association's managing agent as defined in Civil Code § 1363.1 is not known yet.

10345

IN WITNESS WHEREOF, for the purposes of forming this corporation under the laws of the State of California, the undersigned has executed these Articles of Incorporation this ____ day of _____, 200__.

Incorporator

EXHIBIT "F"

MAINTENANCE ASSOCIATION BYLAWS

BYLAWS

OF

PHR MAINTENANCE ASSOCIATION,
A California Nonprofit Mutual Benefit Corporation

ARTICLE 1
NAME

1.1 **Name.** The name of the association is PHR MAINTENANCE ASSOCIATION, a California nonprofit mutual benefit corporation (hereinafter referred to as the "Association"). The Association is organized under the California Nonprofit Mutual Benefit Corporation Law.

ARTICLE 2
DEFINITIONS

2.1 **Declaration.** The "Declaration" shall mean, collectively, the Declaration of Covenants, Conditions and Restrictions of PHR Maintenance Association recorded in the Office of the County Recorder of San Diego, California, on _____, 20____, as Instrument No. _____, and any amendments or supplements recorded or to be recorded pursuant thereto, for the real property legally described in the Declaration.

2.2 **Other Definitions.** Each and every definition set forth in the Article of the Declaration entitled "Definitions" shall have the same meaning in these Bylaws and each and every such definition is incorporated by reference herein and made a part hereof.

ARTICLE 3
PRINCIPAL OFFICE

3.1 **Principal Office.** The principal office for the transaction of the business of the Association is hereby fixed and located within the Community or as close as practicable thereto, in the City of San Diego, County of San Diego, State of California. The Board is hereby granted full power and authority to change said principal office from one location to another within the City of San Diego.

ARTICLE 4
MEMBERS

4.1 **Membership; Voting Rights.** The qualification for membership, the classes of membership and the voting rights of Members shall be as set forth in the Article of the Declaration entitled "Membership in the Maintenance Association and Voting Rights," all of which are hereby incorporated by reference herein. The provisions of these Bylaws, which are binding upon all Members, are not exclusive, as Members shall also be subject to the terms and provisions of the Articles and the Declaration.

4.2 **Membership Certificates.** In its discretion, the Board may, but need not, issue appropriate membership certificates evidencing membership in the Association.

4.3 **Place of Meeting.** All meetings of Members shall be held at the principal office of the Association, or at such other place in the City of San Diego, County of San Diego, in reasonable proximity to the Community, as may be fixed from time to time by resolution of the Board.

4.4 Organizational Meeting. An organizational meeting shall be held as soon as practicable after incorporation of the Association, and the directors elected then shall hold office until the First Membership Election (as defined in Section 5.5 below). All offices of the Board shall be filled at the organizational meeting.

4.5 Regular Meetings of Members and Notice. The first annual meeting of Members of the Association shall be held no later than six (6) months after the closing of the Maintenance Association Activation Date. Thereafter, regular meetings of Members of the Association shall be held at least once in each calendar year at a time and place as selected by the Board.

4.6 Special Meetings. A special meeting of Members for any purpose may be called at any time by the President, at its discretion, as directed by resolution of a majority of a quorum of the Board, or upon a written request specifying the general nature of the business to be transacted being presented to the Secretary signed by Members representing at least five percent (5%) of the total Voting Power of the Members. Upon receipt of such written request, the Secretary shall promptly cause the notice to be given to the Members entitled to vote in the same manner as required by Section 4.7, which meeting shall be held not less than thirty-five (35) days nor more than ninety (90) days after adoption of such resolution or receipt of such request. The notice of any special meeting shall be given within twenty (20) days after adoption of such resolution or receipt of such written request. If notice is not given within twenty (20) days after receipt of the request, the Members requesting the meeting may give notice. No business shall be transacted at a special meeting other than business the general matter of which is disclosed in the notice. Each First Mortgagee may designate a representative to attend all special meetings of the Members. Notwithstanding the foregoing, notice of a special meeting to reverse an Operating Rule change must be delivered in accordance with and within the time frame specified in California Civil Code Section 1357.140. Any special meeting called for the purpose of reversing an Operating Rule shall be conducted in accordance with California Civil Code Section 1357.140.

4.7 Notice of Meetings. A written notice of all Members' meetings, regular or special, shall be given by the Board to each Member entitled to vote and to any Mortgagee who has requested in writing that such notice be sent to it, either personally or by first-class, registered or certified mail, or other means of written communication (other than mail) addressed to a Member at the address of the Member appearing on the books of the Association or given by Member to the Association for notice purposes, or if no such address appears or is given, at the place where the principal office of the Association is located, or by publication at least once in a newspaper of general circulation in the county in which the principal office of the Association is located. The notice of a meeting shall set forth the place, date and time of the meeting, and the general nature of the business to be undertaken, including any matters the Board intends to present for action by the Members; provided, however, that except as otherwise provided by law or under these Bylaws, any proper matter may be presented at the meeting for action. The Members' meetings, regular or special, shall be held not less than ten (10) days nor more than thirty (30) days after notice of such meeting is given to the Members.

4.8 Record Date and Closing Membership Register. The Board may fix, in advance, a date as the record date for determining which Members are entitled to notice of a meeting of Members. Such "notice" record date shall be not more than ninety (90) nor less than ten (10) days before the date of the meeting. If no "notice" record date is fixed, the record date for notice is the close of business on the business day preceding the day on which notice is given. The Board may fix, in advance, a date as the record date for determining which Members are entitled to vote at a meeting of Members. Such "voting" record date shall be not more than sixty (60) nor less than ten (10) days before the date of the meeting. If no "voting" record date is fixed, Members who are otherwise eligible to vote are entitled to vote at the meeting. The Board may fix, in advance, a date as the record date for determining which Members are entitled to cast written ballots. Such "written ballot" record date shall be not more than sixty (60) nor less than ten (10) days before the date on which the first written ballot is mailed or solicited. If no "written ballot" record date is fixed, Members on the day the first written ballot is mailed or solicited who are otherwise eligible to vote are entitled to cast written ballots.

4.9 Quorum. Except as otherwise provided in the Declaration, the presence at any meeting in person or by proxy of Members entitled to cast at least twenty-five percent (25%) of the total Voting Power of all Members of the Association who are entitled to vote on the business to be transacted shall constitute a quorum. No business other than to adjourn the meeting can be conducted at a meeting of the Members unless a quorum is present. If any meeting cannot be held because a quorum is not present, Members representing a majority of the votes present, either in person or by proxy, may adjourn the meeting to a time not less than five (5) days nor more than thirty (30) days from the time the original meeting was called, at which adjourned meeting the quorum requirement shall be at least twenty-five percent (25%) of said total Voting Power. If a time and place for the adjourned meeting is not fixed by those in attendance at the original

meeting or if for any reason a new date is fixed for the adjourned meeting after adjournment, notice of the time and place of the adjourned meeting shall be given to the Members in the manner prescribed for annual meetings. Any meeting of Members where a quorum is present may be adjourned for any reason to a time not less than forty-eight (48) hours nor more than thirty (30) days from the time of such meeting by Members representing a majority of the votes present thereat, either in person or by proxy; provided however, that the only matters that may be voted upon at any meeting attended, in person or by proxy, by less than one-third (1/3) of the total Voting Power of the Members are matters for which notice of the general nature of such matters was provided to the Members in the notice of the meeting.

4.10 Voting. Voting of Members regarding each of the following matters shall be by secret ballot in accordance with the requirements of California Civil Code Section 1363.03, regardless whether such statute has yet become operative: (i) an election regarding assessments; (ii) selection of Board members; (iii) amendments to the Governing Documents; and (iv) the grant of exclusive use easements over Association Property pursuant to California Civil Code Section 1363.07. To the extent (if any) permitted by California law, election to and removal from the Board shall be by cumulative voting as defined in California Corporations Code Section 7615, subject to all applicable requirements of the California Corporations Code and California Civil Code. Each Member shall be entitled to vote, in person or by proxy, as many votes as such Member is entitled to exercise as provided in the Governing Documents multiplied by the number of directors to be elected or removed, and he may cast all of such votes for or against a single candidate or director, or such Member may distribute them among the number of candidates or directors to be elected or removed, or any two or more of them. The candidates receiving the highest number of votes up to the number of directors to be elected shall be deemed elected. As to removal, unless the entire Board is removed by a vote of the Members, an individual director shall not be removed prior to the expiration of its term of office if the votes cast against removal would be sufficient to elect the director if voted cumulatively at an election at which the same total number of votes were cast and the entire number of directors authorized at the time of the most recent election of the Board member were then being elected.

4.11 Proxies. At all meetings of Members each Member may be present in person or by a representative, known as a proxy, duly authorized by an instrument in writing, executed by such Member and filed with the Secretary of the Association prior to the meeting to which it is applicable. Proxies shall specify the person or persons authorized to exercise the proxy and the length of time the proxy will be valid. Any proxy or written ballot distributed by any person to the membership of the Association shall afford the opportunity to specify a choice between approval or disapproval between each matter or group of matters to be acted upon, and where the Member specifies a choice, the vote shall be cast in accordance with that choice. It is not mandatory that a candidate for election to the Board be specifically named in the proxy or written ballot. All proxies shall be revocable at any time by written notice to the Secretary of the Association or by attendance in person by such Member at the meeting for which such proxy was given and all proxies shall automatically cease when the ownership interest or interests of the Member entitling such Member to membership in the Association ceases. In any event, no proxy shall be valid after the expiration of eleven (11) months from the date of the proxy, unless otherwise provided in the proxy, except that the maximum term of any proxy shall be three (3) years from the date of execution. Such powers of designation and revocation may be exercised by the guardian of any such Member's estate or by such Member's conservator, or in the case of a minor having no guardian, by the parent entitled to such minor's custody, or during the administration of any such Member's estate, by its executor or administrator where the latter's interest in such property is subject to administration in its estate.

4.12 Parliamentary Procedure. The President of the Association or another person elected at a meeting shall preside over meetings of Members. All meetings of Members shall be conducted in accordance with a recognized system of parliamentary procedure or any parliamentary procedures the Association may adopt.

4.13 Majority of Owners. Except as otherwise provided herein, in the Declaration, the Articles or the California Corporations Code, the majority of the total Voting Power present and voting, in person or by proxy, at a duly held meeting at which a quorum is present, shall prevail. The Members present at a duly called or held meeting at which a quorum is present may continue to transact business until adjournment, notwithstanding the withdrawal of enough Members to leave less than a quorum, if any action taken (other than adjournment) is approved by at least a majority of the total Voting Power required to constitute a quorum.

4.14 Action Without Meeting. Unless otherwise prohibited herein, in the Declaration, the Articles or the California Corporations Code, any action which may be taken at a meeting of the Members except the election of directors where cumulative voting is a requirement, may be taken without a meeting if authorized by a writing signed by

Owner other than Declarant ("First Membership Election"). Until the First Membership Election, the Board shall consist of those directors who are appointed by Declarant. Thereafter, election to the Board shall be by secret ballot in accordance with the requirements of Section 4.10 above. Directors shall be elected as follows:

- (i) Two (2) directors shall be the candidates receiving the highest number of votes from the Commercial Class A Members;
- (ii) Two (2) director shall be the candidates receiving the highest number of votes from the Residential Class A Members; and
- (iii) One (1) director shall the candidate receiving the highest number of votes from the all Class A Members.

In the event the same candidate receives the highest number of votes pursuant to Sections 5.5.1, 5.5.2 and/or 5.5.3, the candidate with the next highest number of votes from the requisite class of Members shall be deemed elected. In the event a membership class fails to vote to elect a director, the vacant position shall be filled by the candidate receiving the next highest number of votes. The term of office of the directors shall be as set forth below. At the First Membership Election, the Declarant shall designate a majority of the Board and the remaining directors shall be the candidates receiving the highest number of votes from the Class A Members (excluding Declarant), which election shall be held by secret ballot in accordance with the requirements of Section 4.11 above. (The Class B Member(s) shall not be entitled to vote for directors at the First Membership Election.) The directors appointed by Declarant shall serve for a term of three (3) years and the director(s) elected by the Class A Members shall serve for a term of two (2) years. After the expiration of the initial terms, all directors' terms shall be one (1) year. Successor directors shall be elected annually to replace those directors whose terms expire; provided that a successor director shall be elected by the same class of Members set forth in Section 5.5.1, 5.5.2 and 5.5.3 as applicable, as such director's predecessor. Upon expiration of the initial three-year terms of the Declarant-designated directors, all directors shall be elected by the Members in accordance with the requirements set forth above. All directors shall hold office until their respective successors are elected. Except as otherwise provided in the Declaration and the Bylaws, elections to the Board shall be in accordance with the provisions of the California Corporations Code and California Civil Code.

5.6 Removal. At any regular or special meeting of the Members of which notice has been given properly as provided in these Bylaws, the entire Board or any individual director may be removed from office as hereinafter set forth, provided that the same notice of said meeting has also been given to said entire Board or any individual director whose removal is to be considered at said meeting. The entire Board or any individual director may be removed from office by a majority of the affirmative votes cast in the voting on any motion or resolution for removal. However, unless the entire Board is removed, an individual director shall not be removed prior to the expiration of such director's term of office if the number of votes cast against the motion or resolution for such director's removal would be sufficient to elect the director if voted cumulatively at an election at which the same total number of votes were cast and the entire number of directors authorized at the time of the most recent election of the directors were then being elected; provided, however, if a special meeting is called to remove a director appointed by Declarant pursuant to Section 5.5 or elected by Declarant using its Class B voting power, then no such director shall be removed without the consent of Declarant; provided, further, that the directors appointed by Declarant at the First Membership Election may be removed and replaced by Declarant, in its sole discretion.

5.7 Vacancies.

5.7.1 Generally. Except for a vacancy created by the removal of a director, vacancies on the Board may be filled by a majority of the directors, though less than a quorum, and each director so elected shall hold office until such director's successor is elected by the Members; provided, however, that a director appointed by Declarant pursuant to Section 5.5 may be replaced only by Declarant. A vacancy or vacancies shall be deemed to exist in case of the death, resignation or removal of any director, when the Board increases the number of directors but fails to elect the additional directors as provided for at the meeting at which such increase is authorized, or at an adjournment thereof, or in case the Members fail, at any time, to elect the full number of the authorized directors, a vacancy or vacancies shall be deemed to exist. The Members may at any time elect directors to fill any vacancy not filled by the directors and may elect the additional directors in the same election in which an amendment of these Bylaws is voted authorizing an increase in the number of directors.

all of the Members who would be entitled to vote at a meeting for such purpose and filed with the minutes of the proceeding of the Members or, in certain circumstances, by written ballot without a meeting, as set forth in Section of the Declaration entitled "Limitations on Authority of Board."

4.15 Consent of Absentees. The transactions of any meeting of the Members, either annual or special, however called and noticed, shall be as valid as though had at a meeting duly held after regular call and notice, if a quorum is present either in person or by proxy, and if, either before or after the meeting, each of the persons entitled to vote not present either in person or by proxy, signs a written waiver of notice, or a consent to the holding of such meeting, or an approval of the minutes thereof. All such waivers, consents and approvals shall be filed with the Association's records or made a part of the minutes of the meeting.

4.16 Minutes, Presumption of Notice. Minutes or a similar record of the proceedings of meetings of Members, when signed by the President or Secretary, shall be presumed truthfully to evidence the matters set forth therein. A recitation in the minutes of any such meeting that notice was properly given shall be prima facie evidence that such notice was given.

4.17 Notice Requirements. Before the Board makes a decision temporarily suspending the membership rights and privileges and/or assessing monetary penalties against any Owner or other person entitled to exercise such rights or privileges for any violation of the Governing Documents or Board resolutions, the aggrieved Owner shall be provided with an opportunity to be heard by the Board, orally or in writing, in accordance with the procedures set forth in California Corporations Code Sections 7341 and California Civil Code Section 1363.

ARTICLE 5 DIRECTORS

5.1 Powers. The Board shall have all powers conferred upon the Association as set forth herein and in the Declaration and the Articles, excepting only those powers expressly reserved to the Members.

5.2 Duties. In addition to those duties of the Board required by law, it shall be the duty of the Board:

- to select, appoint and remove all officers, agents and employees of the Association and prescribe such powers and duties to them as may be consistent with applicable law, the Articles, the Declaration and these Bylaws;
- to supervise all officers, agents and employees of the Association, and to see that their duties are properly performed; and
- to perform all obligations of the Association as provided in the Declaration and these Bylaws.

5.3 Number. The Board shall consist of five (5) directors, which prior to the First Membership Election shall be appointed by Declarant at the organizational meeting of the Association referred to in Section 4.4 hereof, which directors need not be Members of the Association.

5.4 Nomination. Nomination for election to the Board may be made by a nominating committee consisting of three (3) persons. To the extent (if any) permitted by California law, nominations may also be made from the floor at each meeting at which directors are to be elected. The nominating committee shall consist of a chairperson, who shall be a director, and two (2) other persons who may either be Members of the Association or representatives of Declarant. Each member of the nominating committee shall be appointed by the Board to serve for a period of one (1) year, and vacancies thereon shall be filled by the Board. The nominating committee shall make as many nominations for election to the Board as it shall, in its discretion, determine, but not less than the number of vacancies to be filled, and shall comply with the Association Rules adopted to implement the requirements of California Civil Code Section 1363.03.

5.5 Election and Term of Office. Directors shall be elected by the Members no earlier than forty-five (45) days and no later than six (6) months after close of escrow for sale of the first Condominium in the Project to an

5.7.2 Declaration of Vacancy. Except for directors appointed by the Declarant, the Board, by a majority vote of the directors who meet all of the required qualifications to be director, may declare vacant the office of any director who fits into any of the following categories:

The director does any of the following:

- (i) Fails to attend three (3) consecutive regularly scheduled meetings of the Board or fails to attend more than six (6) meetings of the Board, regular or special, within any twelve (12) month period;
- (ii) Fails to comply with a duly approved action of the Board;
- (iii) Fails to comply with the Association's Governing Documents, having been provided proper notice and received a due process hearing at which the Board determines that a violation exists; or
- (iv) Falls more than three (3) months in arrears in the payment of monthly assessments.

The director engages in any of the following types of behavior:

- (v) Receives any type of monetary gain, or other gain such as services, products, gifts or gratuities of a significant value, which have been provided in relation to a director's service on the Board, and which is not disclosed. Disclosure must take place at an open meeting of the Board and be recorded in the minutes. Compensation for services duly approved by the Board and unrelated to duties as a director or officer of the Association, or reimbursement of expenses associated with service to the community do not constitute unethical or detrimental behavior and are permissible;
- (vi) Takes any action considered to be grossly detrimental to the general safety, health and welfare of the community and its Members; or
- (vii) Addresses fellow directors with abusive language in such a manner that causes distress and emotional harm. Abusive language is any language which causes humiliation or intimidation, or inflicts ridicule, coercion, threats or mental abuse, or other language of a punitive nature, or language which is prejudicial or grossly profane.

5.8 Resignation. If any director tenders its resignation to the Board, the Board shall have the power to elect a successor to take office at such time as the resignation shall become effective provided, however, that a director appointed by Declarant in connection with the First Membership Election may, at Declarant's election, be replaced only by Declarant. No reduction of the number of directors shall have the effect of removing any director from office prior to the expiration of its term of office.

5.9 Special Election. As long as a majority of the Voting Power of the Association resides in the Declarant, or as long as there are two (2) outstanding classes of membership in the Association, not less than two (2) of the directors (the "specially elected directors") shall be elected solely by the votes of Class A Members other than Declarant. The election of the specially elected directors shall take place along with the regular election of directors and shall comply with the requirements set forth in Section 4.10 above. Declarant shall not have the right to participate in or vote in such special election (although Declarant or Declarant's representatives may be present when the votes are counted), and the candidates receiving the highest number of votes up to the number of specially elected directors to be elected shall be deemed to be the specially elected directors, and their term shall be the same as that of any other director. Unless Members (excluding Declarant) holding a majority of all voting rights (excluding any voting rights held by Declarant) assent by vote or written consent, such specially elected directors cannot be removed. In case of the death, resignation, or removal of a specially elected director, the provisions set forth in this Section respecting the election of a specially elected director shall apply as to the election of a successor. Except as provided in these Bylaws, the provisions of these Bylaws and of the Articles and the Declaration applicable to directors, including their election and removal shall apply to a specially elected director.

5.10 Compensation. No director shall receive any compensation for any service such director may render to the Association as a director; provided, however, any director may be reimbursed for actual out-of-pocket expenses incurred by such director in the performance of its duties. The Board shall also have the right to hire any consultants as may be deemed necessary and to compensate such consultants; provided that such consultant has no financial interest in Declarant or any individual Board member.

5.11 Organizational Meeting of the Directors. Immediately following the organizational meeting of the Members, the Board shall hold a regular meeting for the purpose of organization, appointment of officers and the transaction of other business. Notice of such meeting is hereby dispensed with.

5.12 Other Regular Meetings. Other regular meetings of the Board shall be held when business warrants such a meeting as determined by the Board, but not less than every three (3) months at such place and hour as may be fixed from time to time by resolution of the Board. The Board shall select a meeting place. Should any such meeting fall upon a legal holiday, then that meeting shall be held as soon as possible thereafter. Notice of the time and place of any such meeting shall be communicated to Board members not less than four (4) days prior to the meeting; provided, however, that notice of a meeting need not be given to any Board member who has signed a waiver of notice or a written consent to holding of the meeting and notice of regular meetings need not be given if the time and the place of the regular meetings are fixed by the Board.

5.13 Special Meetings. Special meetings of the Board shall be held when called by written notice signed by the President of the Association, or by any two (2) directors other than the President. The notice shall specify the time and place of the meeting and the nature of any special business to be considered and the time and place of the meeting, which shall not be less than four (4) days from the date of such notice if given by first class mail or forty-eight (48) hours from the date of such notice if the notice is given by any other method set forth below; provided, however, that notice of a meeting need not be given to any director who has signed a waiver of notice or a written consent to holding of the meeting. The notice shall be given by first class mail, personal delivery or overnight courier, telephone (including a voice message system or other system of technology designed to record and communicate messages), facsimiles, electronic mail or other electronic means to all directors at the address, telephone or facsimile number or electronic mail address appearing on the books of the Association as given by the director for purpose of notice.

5.14 Emergency Meetings. An emergency meeting of the Board may be called by the President, Vice President or the Secretary of the Association, or by any two (2) members of the Board other than the President, if there are circumstances that could not have been reasonably foreseen which require immediate attention and possible action by the Board, and which of necessity make it impracticable to provide notice to Members as required in Section 5.19 of these Bylaws. The notice for such emergency meeting shall be given to the directors by personal delivery, telephone (including a voice message system or other system with technology designed to record and communicate messages), facsimiles, electronic mail or other electronic means at any time prior to the emergency meeting.

5.15 Presiding Officer. The President of the Association shall be the chairperson of the Board and shall preside at all meetings of the Board.

5.16 Waiver of Notice. The transaction of any business at any meeting of the Board, however called and noticed, or whenever held, shall be as valid as though had at a meeting duly held after regular call and notice, if a quorum is present and if, either before or after the meeting, each of the directors not present signs a written waiver of notice or a consent to holding such meeting or an approval of the minutes thereof. All such waivers, consents or approvals shall be filed with the records of the Association or made a part of the minutes of the meeting. Notice of meeting shall also be deemed to be given to any director who attends the meeting without protesting before or at its commencement about the lack of notice.

5.17 Quorum. A majority of the total number of directors shall constitute a quorum for the transaction of business at a meeting of the Board. Every act or decision done or made by a majority of the directors present at a duly held meeting at which a quorum is present shall be regarded as the act of the Board. Directors may participate in a meeting through use of a conference telephone or similar communications equipment, so long as all directors participating in such meeting can hear one another. Participation in a meeting pursuant to this Section constitutes presence in person at such meeting.

5.18 Adjournment. A quorum of the directors may adjourn any Board meeting to meet again at a stated day and hour; provided, however, that in the absence of a quorum, a majority of the directors present at any Board meeting, either regular or special, may adjourn from time to time until the time fixed for the next regular meeting of the Board.

5.19 Notice of Board Meetings to Members; Participation by Members; Executive Sessions. The Secretary shall post a notice of the time and place of all regular and special Board meetings in a conspicuous place within the Association Property, or by mail or delivery of the notice to each Member, or by newsletter or similar means of communication, except for an emergency meeting described in Section 5.14 above, not less than four (4) days prior to the scheduled time of the meeting. Regular, special and emergency meetings of the Board (excluding any meetings while the Board is in executive session) shall be open to all Members of the Association; provided, however, that Members who are not on the Board shall be permitted to speak at Board meetings subject to such reasonable time limits as may be set by the Board. In addition, if the nature of the business is first announced in open session, the Board may vote to adjourn and reconvene in executive session out of the presence of the Members to discuss and vote upon litigation matters, matters that relate to the formation of contracts with third parties, personnel matters, and orders of business of a similar or otherwise sensitive nature. In any matter relating to the discipline of a Member or the Member's payment of assessments as specified in California Civil Code Sections 1367 and 1367.1, the Board shall meet in executive session with respect to such matter if requested by that Member, and the Member shall be entitled to attend the executive session. Any matter discussed in executive session shall be generally noted in the minutes of the Board immediately following Board meeting that is open to the entire membership. If the Board meets to decide upon the adoption, change or amendment of an Operating Rule, the Board shall comply with the requirements of California Civil Code Section 1357.130.

5.20 Board Minutes. The minutes, minutes proposed for adoption that are marked to indicate draft status, or a summary of the minutes of any meeting of the Board, other than an executive session, shall be available to Members within thirty (30) days of the applicable meeting of the Board. The minutes, proposed minutes, or summary of the minutes shall be distributed to any Member upon request and upon reimbursement of the Association's cost for making that distribution. Further, the Members shall be notified in writing at the time that the pro-forma operating budget of the Association set forth in Section 9.2 of these Bylaws is distributed, or at the time of any general mailing to the entire membership of the Association, of their right to have copies of the minutes of meetings of the Board, and how and when those minutes may be obtained. As used in this Section, "meeting" includes any congregation of the majority of the members of the Board at the same time and place to hear, discuss, or deliberate upon any item of business scheduled to be heard by the Board, except those matters that may be discussed in the executive session.

5.21 Action Taken Without a Meeting. Notwithstanding anything to the contrary contained in these Bylaws, the directors shall have the right to take any action in the absence of a meeting which they could take at a meeting by obtaining the written consent of all the directors. Such written consent shall be filed with the minutes of the proceedings of the Board. Any action so approved shall have the same effect as though taken at a meeting of the Board. An explanation of any action taken shall be posted at a prominent place within the Association Property within three (3) days after the written consents of all directors have been obtained.

5.22 Committees. Subject to any contrary provisions of the Declaration, the Articles and these Bylaws, if any, the Board may appoint a nominating committee as provided in this Article. In addition, the Board may appoint such other committees as it deems appropriate in order to carry out its purpose.

5.23 Administration of Association's Civil Claims. Subject to any contrary provisions of the Declaration and these Bylaws, if any, the Board may institute, defend, settle or intervene on behalf of the Association in litigation, arbitration, mediation or administrative proceedings in matters pertaining to (a) enforcement of the Governing Documents; (b) damage to the Association Property; or (c) damage to any separate interest which arises out of, or is integrally related to, damage to the Association Property or other separate interest that the Association is obligated to maintain or repair. Notwithstanding the foregoing no representative of Declarant on the Board shall vote on the initiation of any claim under California Civil Code Section 895 et seq., such that from and after the First Membership Election, Declarant shall have no control over the Association's ability to decide whether to initiate a claim under such statutory provisions and in the event of such a vote, the affirmative vote of the two non-Declarant representatives on the Board shall be binding so long as quorum of the Board is present at any meeting where such vote is taken.

ARTICLE 6 OFFICERS

6.1 Enumeration of Officers. The officers of the Association shall be a President and Vice President, both of whom shall at all times be directors, a Chief Financial Officer and a Secretary and such other officers as the Board may create from time to time by resolution. Officers other than the President and Vice President may, but need not, be directors.

6.2 Appointment; Term. The appointment of officers shall take place at the organizational meeting of the Board and thereafter at each meeting of the Board following each annual meeting of the Members. The officers of the Association, except such officers as may be appointed in accordance with Section 6.3 below, shall be appointed annually by the Board and each shall hold office for one (1) year unless such officer shall sooner resign, or shall be removed, or shall otherwise be or become disqualified to serve.

6.3 Special Appointments. The Board may appoint such other officers as the affairs of the Association may require, each of whom shall hold office for such period, have such authority and perform such duties as the Board may, from time to time, determine.

6.4 Resignation and Removal. Any officer may be removed from office with or without cause by the vote of a majority of all directors then in office at any regular or special meeting of the Board at which a quorum is present. Any officer may resign at any time by giving written notice to the Board, the President or the Secretary. Such resignation shall take effect on the date of receipt of such notice or at any later time specified therein, and, unless otherwise specified therein, the acceptance of such resignation shall not be necessary to make it effective.

6.5 Vacancies. A vacancy in any office may be filled by appointment by the Board. The officer appointed to fill such vacancy shall serve for the remainder of the term of the officer he or she replaces.

6.6 Multiple Offices. Any two (2) or more offices except those of President and Secretary may be held by the same person.

6.7 Duties. The duties of the officers shall be as follows:

6.7.1 President. The President shall be the chief executive of the Association and shall have, subject to the control of the Board and the provisions of the Declaration, general supervision, direction and control of the business and officers of the Association. The President shall be an ex-officio member of all standing committees, if any, and shall have the general powers and duties of management usually vested in the office of the president of a corporation, and shall have such other powers and duties as may be prescribed by the Board or these Bylaws. The President shall see that orders and resolutions of the Board are carried out.

6.7.2 Vice President. The Vice President shall act in the place and stead of the President in the event of the President's absence, inability or refusal to act, and when so acting, shall have all of the powers of, and be subject to all the restrictions upon, the office of President. The Vice President shall have such other powers and shall perform such other duties as may be prescribed by the Board or these Bylaws.

6.7.3 Secretary. The Secretary shall record the votes and keep, or cause to be kept, a book of minutes at the principal office or such other place as the Board may order, of all meetings and proceedings of the Board and of the Members, with the time and place of the holding of same, whether regular or special, and if special, how authorized, the notice thereof given, the names of those present or represented at Members' meetings and the proceedings thereof. The Secretary shall keep, or cause to be kept, at the principal office, a membership register showing the following: (a) the names and addresses of all directors; (b) the names and addresses of the Members; (c) the property to which each membership relates; (d) the number of memberships held by each Member; (e) the number of votes represented by each Member; (f) the number and date of membership certificates issued, if any; and (g) the number and date of cancellation of membership certificates, if any. The Secretary shall give, or cause to be given, notice of all meetings of the Members and of the Board required by these Bylaws or by law to be given, and shall keep the seal of the

Association in safe custody, and shall have such other powers and perform such other duties as may be prescribed by the Board or by these Bylaws.

6.7.4 Chief Financial Officer. The Chief Financial Officer shall keep and maintain, or cause to be kept and maintained, adequate and correct accounts of the properties and business transactions of the Association. The books of account shall, at all reasonable times, be open to inspection by any director or by any Member. The Chief Financial Officer shall deposit all monies and other valuables in the name and to the credit of the Association with such depositories as may be designated by the Board. The Chief Financial Officer shall disburse the funds of the Association as may be ordered by the Board, shall render to the President and directors, whenever they request it, an account of all its transactions as Chief Financial Officer and of the financial condition of the Association, and shall have such other powers and perform such other duties as may be prescribed by the Board or these Bylaws.

6.8 Withdrawal of Funds from Reserve Account. Withdrawal of funds from the Association's reserve account shall require the signatures of either:

two (2) directors; or

one (1) director and an officer of the Association who is not also a director.

6.9 Compensation. No officer shall receive any compensation for any service such officer may render to the Association as an officer; provided, however, any officer may be reimbursed for actual out-of-pocket expenses incurred by such officer in the performance of its duties.

ARTICLE 7 INDEMNIFICATION

7.1 Generally. A director, officer, committee member, employee or other "agent" of the Association who was or is a party to or is threatened to be made a party to any "proceeding" (including a proceeding by or on behalf of the Association) because he or she is or has been a director, officer, committee member, employee or "agent" of the Association shall be indemnified, defended and held harmless by the Association against all expenses, judgments, fines, settlements or other amounts actually and reasonably incurred in connection with the "proceeding," action or suit to the maximum extent permitted by applicable law, including, pursuant to the provisions of California Civil Code Section 1365.7. Terms used in this Article shall have the same meaning as in Section 7237 of the California Corporations Code or any successor statutes or laws.

7.2 Approval. Upon written request to the Board by any person seeking indemnification, the Board shall promptly determine whether the applicable standard of conduct for indemnification set forth in the California Nonprofit Mutual Benefit Corporation Law has been met. If so, the Board shall authorize indemnification. If the Board cannot authorize indemnification because the number of directors who are parties to the "proceeding" with respect to which indemnification is sought prevent a quorum of directors who are not parties to the "proceeding", the Board shall promptly call a special meeting of Members. At the meeting, the Members shall determine whether the applicable standard of conduct for indemnification set forth in the California Nonprofit Mutual Benefit Corporation Law has been met. If so, the Members shall authorize indemnification. Members or other persons seeking to be indemnified shall not be entitled to vote on any matters with respect to the authorization of indemnification.

7.3 Advancing Expenses. Except as otherwise determined by the Board in a specific instance, "expenses" incurred by a director, officer, committee member, employee or "agent" seeking indemnification under Section 7.1 shall be advanced by the Association prior to the final disposition of the proceeding upon receipt of a written undertaking by or on behalf of the director, officer, committee member, employee or "agent" to repay the amount unless it is ultimately determined that the person is entitled to be indemnified by the Association.

ARTICLE 8
ASSESSMENTS

8.1 Liability for Assessments; Collection. As more fully provided in the Article of the Declaration entitled "Assessments," each Member is obliged to pay to the Association Regular Assessments, Special Assessments, Capital Improvement Assessments, Enforcement Assessments and Reimbursement Assessments to be collected as therein set forth, all of which are hereby incorporated by reference herein as if set forth in full.

ARTICLE 9
ASSOCIATION'S ACCOUNTS

9.1 Books and Records.

9.1.1 Records Available. The Association shall make available for inspection and copying by any Member, the Member's duly appointed representative, or any Mortgagee those Association records required to be made available by California Civil Code Section 1365.2, on the terms and subject to the conditions set forth in California Civil Code Section 1365.2. Members shall have such additional access and inspection rights with respect to records of the Association as is provided in Article 12 (commencing with Section 8330) of Chapter XIII of Part III of Division II of Title 1 of the California Corporations Code. At the time the pro forma operating statement is delivered under Section 9.2.1 of these Bylaws or at the time of any mailing, Members shall be notified in writing of their right (a) to have copies of minutes, (b) how and where to obtain such copies, and (c) the cost of obtaining such copies.

9.1.2 Rules Regarding Inspection. The Board shall establish by resolution reasonable rules with respect to:

Notice to be given to the custodian of the records of the Association by the Member, representative or Mortgagee desiring to make an inspection.

Hours and days of the week when an inspection may be made; and

Payment of the cost of reproducing copies of documents requested by a Member or by a representative or Mortgagee.

9.1.3 Rights of Directors. Every director of the Association shall have the absolute right at any reasonable time to inspect all books, records and documents of the Association and the physical properties owned or controlled by the Association. The right of inspection by a director includes the right to make extracts and copies of documents.

9.2 Budget, Financial and Insurance Statements. The Board of the Association shall regularly prepare, review and, where required, distribute the following financial and other information in accordance with the requirements of California law:

9.2.1 Budgets. A pro-forma operating statement (budget) for each Fiscal Year that contains all information required by California Civil Code Section 1365 shall be distributed to all Members of the Association within the time frame required by California Civil Code Section 1365. In lieu of distributing the pro-forma operating statement to all Members, the Board may elect to distribute a summary of such statement to the Members if it complies with the requirements set forth in Civil Code Section 1365(c).

9.2.2 Review of Accounts. The Board shall do the following not less frequently than quarterly, as required by California Civil Code Section 1365.5. To the extent this Section is inconsistent with California Civil Code Section 1365.5, the provisions of California Civil Code Section 1365.5 shall control:

Cause a current reconciliation of the Association's maintenance and operation account to be made and review the same;

same;
Cause a current reconciliation of the Association's reserve account to be made and review the

year's budget;
Review the current year's actual reserve revenues and expenses compared to the current

Review the most current account statements prepared by the financial institution where the Association has its maintenance and operation account and reserve account; and

Review an income and expense statement for the Association's maintenance and operation account and reserve account.

9.2.3 Annual Report. An annual report shall be distributed to the Members of the Association within one hundred and twenty (120) days after the close of the Fiscal Year consisting of the following: (a) a balance sheet as of the end of the Fiscal Year; (b) an operating (income) statement for the Fiscal Year; (c) a statement of changes in financial position for the Fiscal Year; (d) any information required to be reported under Section 8322 of the California Corporations Code. For any Fiscal Year in which the gross income to the Association exceeds Seventy-Five Thousand Dollars (\$75,000.00), a copy of the review of the annual report shall be prepared in accordance with generally accepted accounting principles by a licensee of the California State Board of Accountancy. If the report is not prepared by an independent accountant, it shall be accompanied by the certificate of an authorized officer of the Association that the statement was prepared from the books and records of the Association without independent audit or review.

9.2.4 Association Policies Regarding Assessments and Foreclosure. A statement setting forth the Association's policies and practices in enforcing the lien rights and other legal remedies for the default in the payment of Assessments against Members shall be distributed to the Members of the Association, as required by California Civil Code Section 1365.1.

9.2.5 Copies to Mortgagees. Copies of each such balance sheet, operating statement and pro forma operating statement for the Association shall be mailed to any Mortgagee who has requested in writing that such copies be sent to it at such Mortgagee's expense.

9.2.6 Insurance Summary. The Board shall distribute to Members the summary of the Association's insurance policies required by California Civil Code Section 1365(e) within the time period required by that statute.

9.2.7 Additional Information. The Board shall prepare, review and distribute such additional information and reports as, when and in the manner required by California law.

9.3 Reserves.

9.3.1 Availability of Reserve Fund Information. The Association shall prepare and provide to Members a document entitled "Assessment and Reserve Funding Disclosure Summary" ("Reserve Summary") in compliance with California Civil Code Section 1365.2.5.

9.3.2 Transfer of Reserve Funds. As provided in Section 1365.5 of the California Civil Code, the Board shall not expend funds designated as reserve funds for any purpose other than the repair, restoration, replacement, or maintenance of, or litigation involving the repair, restoration, replacement, or maintenance of, major components for which the Association is obligated to repair, restore, replace, or maintain and for which the reserve fund was established. However, the Board may authorize a temporary transfer of moneys from a reserve fund to the Association's general operating fund to meet short-term cash flow requirements or other expenses, if the Board has provided notice of the intent to consider the transfer in a notice of meeting, which shall be provided as specified in Section 5.19. The notice shall include the reasons the transfer is needed, some of the options for repayment, and whether a Special Assessment may be considered. If the Board authorizes the transfer, the Board shall issue a written finding describing the reasons why a transfer from reserves to operating funds is necessary and how and when the moneys will be repaid to the reserve fund. The Association must notify all members of the decision in the next mailing to all Members and of the availability

of an accounting of these expenses. The transferred funds shall be restored to the reserve fund within one (1) year of the date of the initial transfer, except that the Board may, after giving the same notice required for considering a transfer, and upon making a finding supported by documentation that a temporary delay would be in the best interest of the Community, temporarily delay the restoration of these funds until the time the Board reasonably determines to be necessary. The Board shall exercise prudent fiscal management in maintaining the integrity of the reserve account, and shall, if necessary, levy a Special Assessment to recover the full amount of the expended funds within the time limits required by this Section. Such Special Assessment is subject to the limitation imposed by California Civil Code Section 1366. The Board may, at its discretion, extend the date the payment of the Special Assessment is due; provided that any such extension shall not prevent the Board from pursuing any legal remedy to enforce the collection of any unpaid Special Assessment. In addition to the foregoing, when a decision is made to use reserve funds or to temporarily transfer moneys from the reserve fund to pay for litigation involving the repair, restoration, replacement or maintenance of major components for which the Association has the obligation to repair, restore, replace or maintain and for which the reserve fund was established, the Association shall notify the Members of that decision and the next available mailing to all Members pursuant to California Corporations Code Section 5016, and of the availability of an accounting of those expenses. The Association shall make an accounting of expenses related to such litigation on at least a quarterly basis, which shall be made available for inspection by Members at the Association's office.

9.3.3 Reserve Study. As part of the study of the reserve account requirements pursuant to California Civil Code Section 1365(e), the Board shall, at least once every three (3) years, cause to be conducted a reasonably competent and diligent visual inspection of the accessible areas of the major components which the Association is required by the Declaration to repair, replace, restore, or maintain if the current replacement value of the major components is equal to or greater than one-half (1/2) of the Association's gross budget which excludes the Association's reserve account for that period. The Board shall review this study, or cause it to be reviewed, annually and shall consider and implement necessary adjustments to the Board's analysis of the reserve account requirements as a result of that review. The study shall, at a minimum, include those items required by California Civil Code Section 1365.5(c).

As used in this Section 9.3 "reserve accounts" means (a) monies that the Board has identified for use to defray the future repair or replacement of, or additions to, those major components which the Association is obligated to maintain; and (b) the funds received and not yet expended or disposed from either a compensatory damage award or settlement to the Association from any person or entity for injuries to property, real or personal, arising from any construction or design defects, which funds shall be separately itemized from funds described in clause (a). In addition, as used in this Section 9.3, "reserve account requirements" means the estimated funds which the Board has determined or required to be available at a specified point in time to repair, replace, or restore those major components which the Association is obligated to maintain under the Declaration.

9.4 Managing Agent's Handling of Association Fund. The managing agent, as set forth in the Articles of Incorporation, if any, shall handle any Association funds in compliance with Section 1363.2 of the California Civil Code.

9.5 Changes in Common Interest Development Act. The provisions set forth above in this ARTICLE 9 are intended to comply with the provisions of the Common Interest Development Act set forth in California Civil Code Section 1350, et seq. ("CID Act"). Upon any changes to the CID Act relating to the Association's account, reporting requirements hereunder or any other changes affecting the terms and provisions of these Bylaws, the Board shall comply with the provisions of the CID Act and the Board shall have the right to attach to these Bylaws any changes required as a result of the changes to the CID Act without any vote of the Members.

ARTICLE 10 AMENDMENTS

10.1 Vote Required. These Bylaws may be amended only with the approval of a majority of the Voting Power of the Association and a majority of the votes of Members other than the Declarant. The vote on a proposed amendment to these Bylaws shall be held by secret ballot in accordance with the procedures set forth in California Civil Code Section 1363.03.

10.2 Amendment of Specific Provisions. Notwithstanding Section 10.1 and this Section 10.2, the percentage of the Voting Power of the Association or of Members other than the Declarant necessary to amend a specific clause or provision in these Bylaws shall not be less than the prescribed percentage of affirmative votes required for action to be taken under that clause or provision.

10.3 Compliance with Business and Professions Code. Notwithstanding any other provision in this ARTICLE 10, the adoption of any amendment to these Bylaws shall comply with the provisions of California Business and Professions Code Section 11018.7, to the extent that said Section is applicable.

10.4 Amendment by Board. These Bylaws may be amended by a majority of the entire Board, (i) at any time before the Assessment Commencement Date, or (ii) if the amendment is within the Board's power to adopt without Owner approval pursuant to the California Corporations Code and either (a) the proposed amendment conforms the Bylaws to California law or the requirements of VA, FHA, DRE, FNMA, GNMA or FHLMC, or (b) the proposed amendment corrects a typographical error in the Bylaws.

10.5 Further Approvals Required. Notwithstanding anything to the contrary contained in these Bylaws, Sections 5.3, 5.5, 5.7, 5.8, 5.9, 5.13 and 5.23 of these Bylaws shall not be amended without the vote or approval by written ballot of at least (a) ninety percent (90%) of the Voting Power of the members of the Association other than Declarant, and (b) at least ninety percent (90%) of the Mortgagees.

ARTICLE 11

GENERAL PROVISIONS

11.1 Checks, Drafts, Etc. Except as otherwise set forth herein, all checks, drafts, or other orders for payment of money, notes or other evidences of indebtedness, issued in the name of or payable to the Association, shall be signed or endorsed by the President and Chief Financial Officer or by such persons and in such manner as, from time to time, shall be determined by resolution of the Board.

11.2 Contracts, etc.; How Executed. The Board, except as otherwise provided in these Bylaws, may authorize any officer or officers, agent or agents to enter into any contract or execute any instrument permitted under the Declaration or these Bylaws in the name of and on behalf of the Association, and such authority may be general or confined to specific instances; and unless so authorized by the Board, no officer, agent or employee shall have any power or authority to bind the Association by any contract or engagement or to pledge its credit or to render it liable for any purpose or for any amount.

11.3 Inspection of Bylaws. The Association shall keep in its principal office for the transaction of business the original or a copy of these Bylaws, as amended, certified by the Secretary, which shall be open to inspection by all of the Members at all reasonable times.

11.4 Singular Includes Plural. Wherever the context of these Bylaws requires same, the singular shall include the plural, the masculine shall include the feminine and the term "person" shall include a corporation or other entity, as well as a natural person.

11.5 Conflicting Provisions. In the case of any conflict between any provisions of the Declaration and these Bylaws, the provisions of the Declaration shall control. In the case of any conflict between any provisions of the Articles and these Bylaws, the Articles shall control.

11.6 Fiscal Year. The Fiscal Year of the Association shall be a calendar year unless and until a different Fiscal Year is adopted by the Board at a duly constituted meeting thereof.

11.7 Proof of Membership. If requested by the Board, no person shall exercise the rights of membership in the Association until satisfactory proof thereof has been furnished to the Secretary. Such proof may consist of either a copy of a duly executed and acknowledged grant deed or title insurance policy showing said person to be the owner of an interest entitling it to membership. Such deed or policy shall be deemed conclusive in the absence of a conflicting claim based on a later deed or policy.

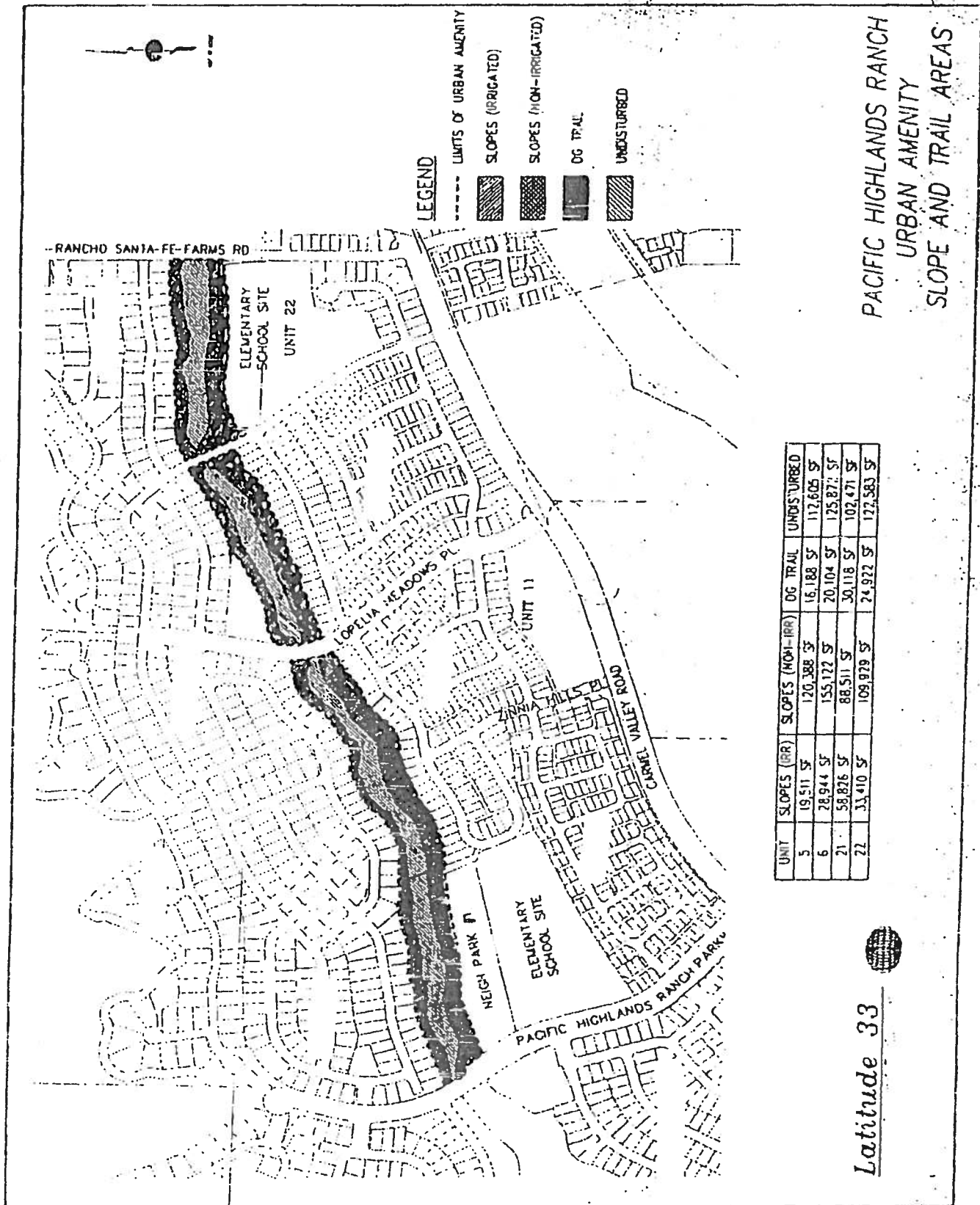
11.8 Property Management Report. Any company hired by the Association to serve any management functions shall prepare, on a yearly basis, a report covering such issues, as may be required, from time to time, by the Board.

11.9 Reserves. Any amounts collected by or paid to the Association in excess of operational needs shall be, at the election of the Board (a) set aside as reserves for future financial needs in the manner set forth in the Declaration and deposited into insured interest-bearing accounts or (b) refunded in whole or in part or (c) carried over to future assessment periods and applied to reduce future assessments. These sums may include amounts collected by Declarant from Owners through purchase escrows representing capital contribution by such Owners to the Association.

11.10 Statutory References. All references in these Bylaws to various statutes, codes, regulations, ordinances and other laws shall be deemed to include those laws in effect as of the date of these Bylaws and any successor laws as may be amended from time to time.

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EXHIBIT "G"
URBAN AMENITY AREA AND URBAN AMENITY TRAIL
[Attached Hereto]



Latitude 33